



Jaguar 3Q 2026 Outlook & Premium Ideas

Thank you for your interest in Jaguar 3Q 2026 Outlook and Premium Ideas. This file will provide you with full access to the following:

- 2Q 2026 Recap
- 2H 2026 Macro Outlook
- Jaguar 3Q 2026 Premium Ideas with full analysis
- Plus, links to all of our previous Quarterly Outlooks and Premium Ideas!

Enclosed within, you will find Fahad's latest macroeconomic insights and key debates for the new quarter ahead, plus our latest set of Jaguar Premium Ideas to help you get positioned for asymmetric risk-reward trading opportunities. As always, each Premium Idea is backed by noise-free research, with heavy emphasis on bottom-up fundamentals, overlaid with top-down and technical analysis, plus out-of-box thinking and game theory wherever applicable. We are rigorous in our research, but we are never dogmatic about how a stock or company should be evaluated, as we favor a versatile and case-by-case approach to idea generation. **Since the inception of our quarterly outlooks in 1Q 2017, a portfolio implemented with common stock positions of our premium ideas, refreshed only once every quarter, will have returned 229% vs 99% for the S&P 500, on moderately higher realized volatility than that benchmark.** We hope that you'll find the information and ideas within useful.

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2Q26 Recap

The following table shows the performance of our Premium Ideas from the 2Q26 Quarterly Outlook. The portfolio finished higher by 7.11%, missing the benchmark S&P 500 by 94 bps, which closed 8.04% higher.

2Q26 Top Picks

	Name	Symbol	Sector	Stock Price			\$\$ Allocation	Portfolio Gain	Beat S&P?
				13-Apr	26-Jun	Gain/(Loss)			
1	Adtran	ADTN	Technology	\$ 15.00	\$ 13.52	-9.9%	\$ 10,000.00	\$ (986.67)	NO
2	Allison Transmission	ALSN	Industrials	\$ 128.04	\$ 119.84	-6.4%	\$ 10,000.00	\$ (640.42)	NO
3	Axsome Therapeutics	AXSM	Biotech	\$ 177.10	\$ 241.67	36.5%	\$ 10,000.00	\$ 3,645.96	YES
4	Celcuity	CELC	Biotech	\$ 117.75	\$ 99.95	-15.1%	\$ 10,000.00	\$ (1,511.68)	NO
5	CG Oncology	CGON	Biotech	\$ 66.91	\$ 71.96	7.5%	\$ 10,000.00	\$ 754.75	NO
6	Cummins	CMI	Industrials	\$ 613.74	\$ 685.87	11.8%	\$ 10,000.00	\$ 1,175.25	YES
7	Edgewise Therapeutics	EWTX	Biotech	\$ 33.10	\$ 41.46	25.3%	\$ 10,000.00	\$ 2,525.68	YES
8	Karman Holdings	KRMN	Aerospace & Defense	\$ 82.61	\$ 46.42	-43.8%	\$ 10,000.00	\$ (4,380.83)	NO
9	MDA Space	MDA	Aerospace & Defense	\$ 42.78	\$ 50.48	18.0%	\$ 10,000.00	\$ 1,799.91	YES
10	NWPX Infrastructure	NWPX	Industrials	\$ 84.36	\$ 148.01	75.5%	\$ 10,000.00	\$ 7,545.05	YES
11	Transocean	RIG	Energy	\$ 6.56	\$ 5.11	-22.1%	\$ 10,000.00	\$ (2,210.37)	NO
12	YPF	YPF	Energy	\$ 41.93	\$ 45.33	8.1%	\$ 10,000.00	\$ 810.88	YES
Total Profit								\$ 8,527.51	
Portfolio Return								7.11%	
S&P Current Price								7,354	
S&P QoQ Return								8.04%	
Overall Beat S&P?								NO	
Alpha								-0.94%	

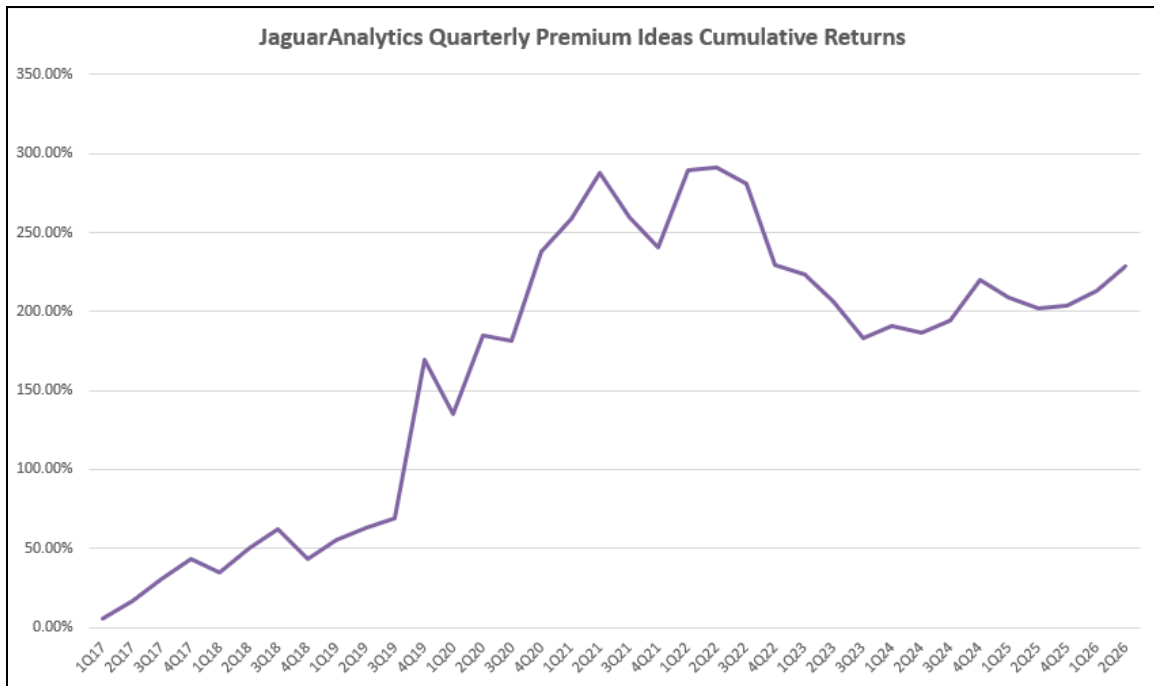
Historical performance

Since inception in Jan 2017, our Premium Ideas have produced total return of +229%. This compares to S&P 500 Index up +99%, DJIA up +66%, and NASDAQ +177%.

Quarter	Link to Outlook + Premium Ideas	Abs. return	Alpha vs S&P	Cumulative return	Equity (\$100K Initial Capital)
1Q17	Link	5.33%	+57 bps	5.33%	\$105,331.58
2Q17	Link	10.82%	+680 bps	16.73%	\$116,732.61
3Q17	Link	11.48%	+816 bps	30.13%	\$130,134.78
4Q17	Link	10.02%	+389 bps	43.17%	\$143,168.55
1Q18	Link	-5.73%	-451 bps	34.96%	\$134,960.54
2Q18	Link	11.49%	+856 bps	50.47%	\$150,474.23
3Q18	Link	7.64%	+44 bps	61.97%	\$161,966.81
4Q18	Link	-11.56%	+231 bps	43.25%	\$143,249.35
1Q19	Link	8.47%	-346 bps	55.38%	\$155,376.24
2Q19	Link	5.09%	+251 bps	63.28%	\$163,277.70
3Q19	Link	3.46%	+249 bps	68.93%	\$168,933.21
4Q19	Link	59.47%	+5,008 bps	169.40%	\$269,396.80
1Q20	Link	-12.60%	+763 bps	135.44%	\$235,441.70
2Q20	Link	21.06%	-5 bps	185.02%	\$285,019.44
3Q20	Link	-1.22%	-818 bps	181.54%	\$281,543.66
4Q20	Link	19.97%	+937 bps	237.78%	\$337,776.38
1Q21	Link	6.03%	+43 bps	258.15%	\$358,151.12
2Q21	Link	8.20%	+27 bps	287.52%	\$387,518.25
3Q21	Link	-7.27%	-729 bps	259.36%	\$359,356.26
4Q21	Link	-5.14%	-1,291 bps	240.87%	\$340,870.30
1Q22	Link	14.21%	+2,065 bps	289.32%	\$389,315.83
2Q22	Link	0.53%	+1,385 bps	291.37%	\$391,371.26
3Q22	Link	-2.79%	+361 bps	280.47%	\$380,468.99
4Q22	Link	-13.51%	-1,802 bps	229.05%	\$329,053.19
1Q23	Link	-1.80%	-901 bps	223.12%	\$323,119.55
2Q23	Link	-5.34%	-1365 bps	205.86%	\$305,864.97
3Q23	Link	-7.35%	-389 bps	183.38%	\$283,383.90
1Q24	Link	3.90%	-589 bps	190.53%	\$294,435.87
2Q24	Link	-1.96%	-798 bps	186.80%	\$288,664.93
3Q24	N/A**	4.02%	+53 bps	194.31%	\$300,269.26
4Q24	Link	13.07%	+937 bps	219.71%	\$339,514.45
1Q25	Link	-4.95%	+51 bps	208.83%	\$322,708.48
2Q25	Link	-3.34%	-1,407 bps	201.86%	\$311,930.02
4Q25	Link	0.84%	-67 bps	203.56%	\$314,550.23
1Q26	Link	4.83%	+973 bps	213.39%	\$329,743.01
2Q26	Link	7.11%	-94 bps	228.56%	\$353,187.74

* Quarterly Outlook was not issued in 4Q23 and 3Q25

** Quarterly Outlook was not issued in 3Q24, but full write-ups for all Top Picks were provided to clients.



2Q26 Performance Review

Q2 seemed like a run-of-the-mill quarter on the surface, as the overall performance of our Top Picks continuously tracked the returns of the benchmark S&P 500 closely throughout this period. In fact, there wasn't a single week where our returns strayed more than 3.5% above or below the S&P QTD. However, looking past the averages, the quarter was in reality characterized by a series of violent and wild swings across many of our individual Top Picks, as well as a couple of wrong calls, all of which ended up being a net negative on our final performance.

Prominent examples of the aforementioned wild swings include:

- **Adtran (ADTN)**, which was up by as much as +33% QTD through late May before sharply reversing over the course of June to finish -10% lower, amid heavy profit-taking across the entire AI complex due to a hawkish Fed repricing. The selloff took place despite the company having demonstrate strong operational resilience, with Q1 revenues increase 15.5% YoY and Q2 revenue projections implying a further TTM growth acceleration.
- Our energy plays **Transocean (RIG)** and **YPF (YPF)** recorded QTD highs of +17% and +32%, respectively, before news of Washington and Tehran's so-called peace deal MoU sent all manner of oil-related stocks tumbling into quarter-end. As such, **RIG** is now down -22% while **YPF** has finished just +8% higher. By the way, that MoU is turning out to be a complete farce. At this time of writing (June 27th), the US military is once again conducting airstrikes on Iranian infrastructure while Tehran continues to attack its neighbors and ships in the Strait of Hormuz.
- **MDA Space (MDA)** ran up by as much as +48% intra-quarter during May, but gave back much of that performance since the **Space X (SPCX)** IPO to close out Q2 with an +18% gain.

Meanwhile, the two picks we admittedly got wrong were:

- **Karman (KRMN)**, which was our worst performer at -44%. In retrospect, while the Pentagon is continuing to hand out record contracts to the company for ammunition replenishment (helping Karman's active pipeline to triple YoY to \$3B as of late May), we believe there are two valid reasons why this has failed to support the stock. Firstly, the entire ammo production sector is grappling with severe production bottlenecks, component shortages (especially solid rocket motors), and labor constraints. This has created medium-term pressure on Karman's order book to revenue conversions. Secondly, in late May, the Karman insiders unexpectedly dumped 14M shares into the open market via a secondary offering, at a fixed discounted price of \$61 per share.

Shares were trading above \$65 right before the announcement, which led to a sharp overnight drop. Unsurprisingly, sentiment has remained at rock bottom since.

- **Celcuity (CELC)**, which finished the quarter down -15% after plunging on underwhelming Phase 3 data for gedatolisib. Although the trial met its main goal, the consensus was disappointed to see progression-free survival of just 11.1 months vs the 14.6 months observed in earlier, smaller-stage trials. The results were also worsened by the disclosure of a patient death in the trial's triplet treatment arm, which was attributed to toxicity. This now puts their competitor **Relay Therapeutics (RLAY)** firmly in the driving seat to capture the largest share of the HR+/HER2 advanced breast cancer market within the PI3K inhibitor space.

Conversely putting aside those negatives, there were two bright spots in the portfolio:

- While **CELC** was an underperformer, all three of our other biotech picks (**AXSM**, **EWTX**, and **CGON**) enjoyed stellar rallies in late Q2 amid a broad-based surge in the biotech sector as money began rotating out of AI/tech stocks. Our bull case for Axxome Therapeutics in particular played out perfectly as the US FDA approved the company's Alzheimer's disease agitation label expansion Auvelity.
- **NWPX Infrastructure (NWPX)** had a monster quarter and was our best performer outright, finishing +76% higher. The company crushed Street estimates during Q1 earnings, with EPS notably coming in 55% ahead of consensus at \$1.08 alongside 19% YoY revenue growth. Of note, their Water Transmission Systems backlog surged to a record \$430M from \$346M in just the space of three months, and it's also worth keeping in mind that earnings call commentary indicated is *"additional capacity for further order intake into WTS."* To top it all off, management also raised their full year FCF outlook to \$53M at the midpoint vs \$43M prior.

Given the recent spell of volatility and violent sector rotations we are experiencing as the market enters Q3, we believe it would be prudent for Jags to only carry over existing Top Picks that still have hard catalysts taking place in the weeks ahead. Namely:

- **Celcuity (CELC)**: For those who still want to take a chance on this name, the US FDA's priority review target date for the New Drug Application of gedatolisib is **on or before July 17th**. This decision will dictate whether the drug receives its first commercial approval. While the 11.1-month PFS data was no doubt disappointing (as mentioned above), the general consensus among Street analysts is that it is still sufficient enough to strongly support a regulatory approval.
- **Edgewise Therapeutics (EWTX)**: The company's expected closing of its \$2.65B divestment of its muscular dystrophy pipeline to Servier will take place in Q3. Additionally, **GRAND CANYON trial data is still expected in late 2026** (either Q3 or Q4).

- **MDA Space (MDA):** The company is advancing development for its proprietary CHORUS Earth observation constellation ahead of its scheduled late-2026 launch. Management has also been regularly announcing new additional satellite and data contracts, and will likely continue to do so over the course of Q3.
- **YPF (YPF):** Argentina's LNG Final Investment Decision (targeting upwards of \$17B) remains on track for 2H26. Separately, the VMOS pipeline capacity expansion will link Neuquén directly to the Atlantic coast by late 2026. This will immediately lift the existing artificial cap on Vaca Muerta production (due to all existing pipelines to refineries and domestic markets being nearly full).

We recommend exiting all other Q2 Top Pick positions which you may have.

1Q26 Macro Outlook and Sentiment

AI Summary: [Video](#) | [Slide Deck](#)

Writing a macro note in an uncertain geopolitical environment is very hard. It is so much easier to build a research piece on a single stock from ground-up level that explains all pieces of an investment opportunity. But to do so using top-down approach is extremely difficult. The last macro note I wrote was on December 20th, 2025 (please see [HERE](#)). In that note, I made a pitch that in 2026 we would see “broadening of the bull market” which would lead to Mag-7 stocks underperforming S&P-493 basket. Here is the key picture from that note:

- **PILLAR 1: Broaden AI Exposure** – The Mag-7 growth premium is eroding. The next wave of value comes from the S&P 493 adopting AI.
- **PILLAR 2: Capitalize on Small-Cap Recovery** – A supportive macro environment and historically wide valuation discounts create a compelling cyclical opportunity.
- **PILLAR 3: Growth at a Reasonable Price (“GARP”)** – Participate in economic growth while mitigating risk from extreme valuations in mega-cap tech.

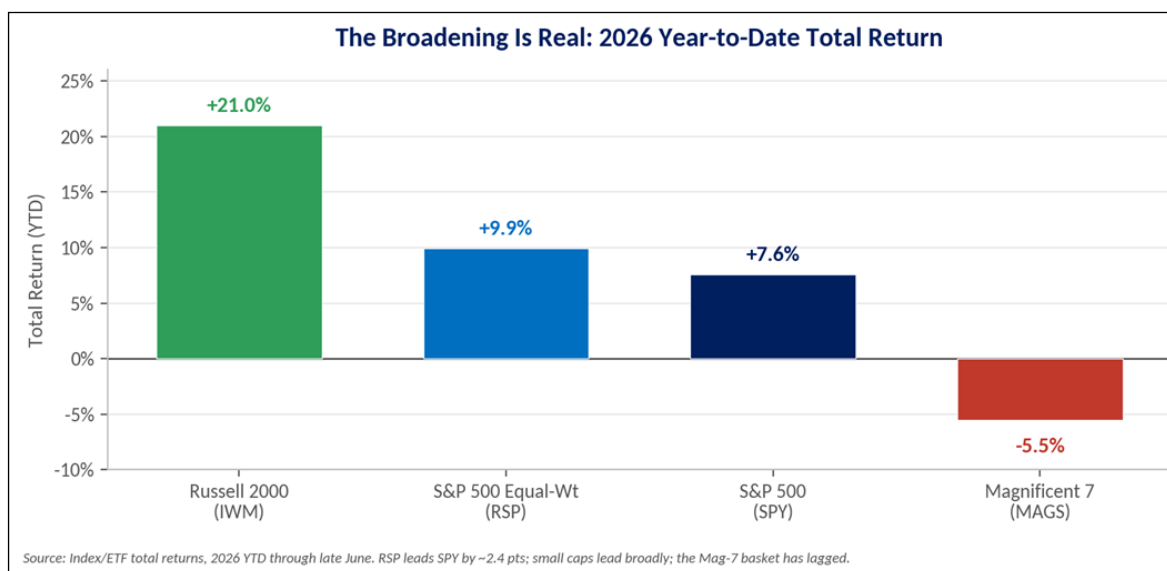
Six months ago, this was seen as highly contrarian call: the era of hyper-concentration was ending, and the smart money for 2026 would migrate away from the Magnificent 7 and toward the forgotten 493, small caps, and reasonably-priced growth. The framework rested on three pillars. Today I want to do something every analyst should do but few actually do: grade my own homework, in public, with the data the market has since handed us.

The verdict is encouraging on the equity-rotation thesis – and sobering on the macro backdrop that surrounds it. Bottom line: the three-pillar rotation thesis is working on the field of play, but the rate-cut tailwind I was counting on has not only failed to arrive – it has reversed into a rate-hike risk due to Iran war. The thesis now has to win on fundamentals alone, without help from the Fed. That distinction matters enormously for how you position into year-end.

- **A broadening driven by falling rates** is a rising-tide trade where you buy the most rate-sensitive, lowest-quality names and let duration do the work.
- **A broadening driven by earnings convergence** – which is what we actually have – is a stock-picker's market where quality and fundamental inflection separate winners from value traps. Get that wrong and you will own the right theme through the wrong vehicles.

The Scorecard: Grading the Three Pillars at the Half - Before the argument, the evidence. Here is how each pillar has performed against the tape through late June 2026:

Pillar	The December Call	2026 Evidence	Verdict
1 — Broaden AI Exposure	Mag-7 premium erodes; S&P 493 adopts AI	RSP +9.9% vs SPY +7.6%; MAGS -5.5%	VALIDATED
2 — Small-Cap Recovery	Wide discounts + macro tailwind	Russell 2000 +21%; record 3,000	VALIDATED
3 — GARP Rotation	Rotation out of priced-for-perfection mega-tech	Banks & HC lead; housing stalls	PARTIAL

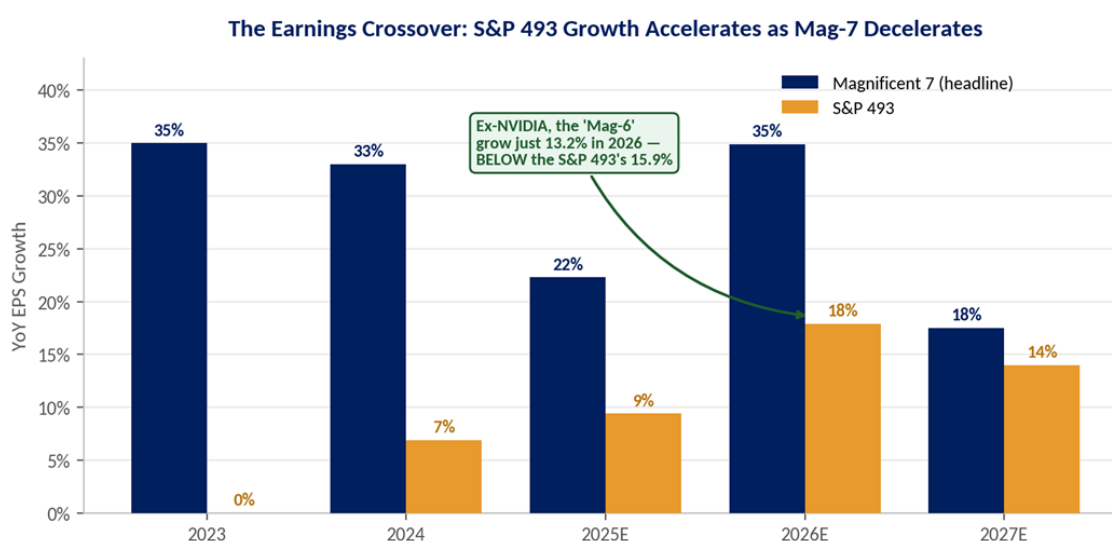


Pillar 1 – Broaden AI Exposure: VALIDATED, and the Engine Is Earnings - The cleanest read on the whole thesis comes from a single relative-performance line: equal-weight versus cap-weight. Through June 23, RSP (the S&P 500 equal-weight) returned **9.93%** against SPY's **7.58%** – a ~2.4-percentage-point lead that flatly reverses the cap-weight dominance of 2023-2025. Meanwhile the Roundhill Magnificent Seven basket (MAGS) is **down roughly 5-6% year-to-date**, and June 2026 was its worst month on record. The seven horsemen are no longer riding in formation; dispersion inside the basket is now the dominant feature, not the exception.

But price is the symptom. The *cause* – and the reason I have conviction this persists rather than mean-reverting in a month – is the earnings crossover. In my December note I argued the S&P 493 would close the growth gap with the Mag-7 through 2026. FactSet's data now shows that gap has not just narrowed; on the measure that matters, it has *inverted*. Here is the punchline that the headline index numbers bury: **Excluding NVIDIA, the remaining "Mag-6" are projected to grow CY2026 earnings just 13.2% – BELOW the S&P 493's 15.9%.**

The crossover I forecast for “sometime in 2026” has, on an ex-NVIDIA basis, already happened.

This is the hinge of the entire bull case for broadening, so it is worth being precise about what is and isn't true. On a *headline* basis, the Mag-7 still show gaudy 2026 growth (~35%), and a casual reader would conclude nothing has changed. But that headline is a mirage built on two distortions: NVIDIA's singular contribution, and a series of one-time GAAP gains (Alphabet's unrealized equity marks, Amazon's Anthropic stake revaluation, Meta's tax benefit) that flatter reported net income without reflecting operating reality. Strip out the one stock that is genuinely in a league of its own, and the “magnificent” growth premium that justified paying 30x+ earnings simply isn't there anymore. Figure 2 makes the convergence visible:



Source: FactSet (John Butters) consensus estimates. Headline Mag-7 2026 growth is inflated by NVIDIA and one-time GAAP gains; on an ex-NVIDIA basis the crossover has already occurred.

Figure 2 – The growth premium that justified mega-cap multiples is converging away

The investment implication is blunt and it is the single most important sentence in this note for anyone managing a portfolio: Portfolios heavily parked in large-cap tech will continue to bleed relative performance against portfolios that actively hunt under-owned GARP value – and the names where investors can see a clear, fundamental inflection from agentic AI adoption will be rewarded most violently of all.

Note the honest caveat, because I want to be as rigorous here as I demand others be. The full-year, all-in crossover is not yet street consensus: Morgan Stanley, for instance, still models Mag-7 net-income growth ahead of the 493 until Q4 2026, with relative outperformance “stretching into 2027.” So, this is a transition, not a completed event. But transitions are precisely where the alpha lives – by the time the crossover is undisputed and printed on every strategist's slide, the multiple re-rating will already be behind us. The whole point of the December call was to be early. We are early, and we are right.

Pillar 2 – Small-Cap Recovery: VALIDATED (and the Strongest Pillar of the Three) - If Pillar 1 is the most intellectually satisfying, Pillar 2 has been the most lucrative. The Russell 2000 has **surged roughly 21% year-to-date**, crossing the 3,000 level for the first time in its history and closing at a record 3,007 in late June, while the S&P 500 added less than half that. Early in the year the small-cap index outran the S&P 500 for a record ~14 consecutive sessions – the longest such streak since 1996. This is the “Great Rotation” made real, and it is the clearest vindication of the December thesis.

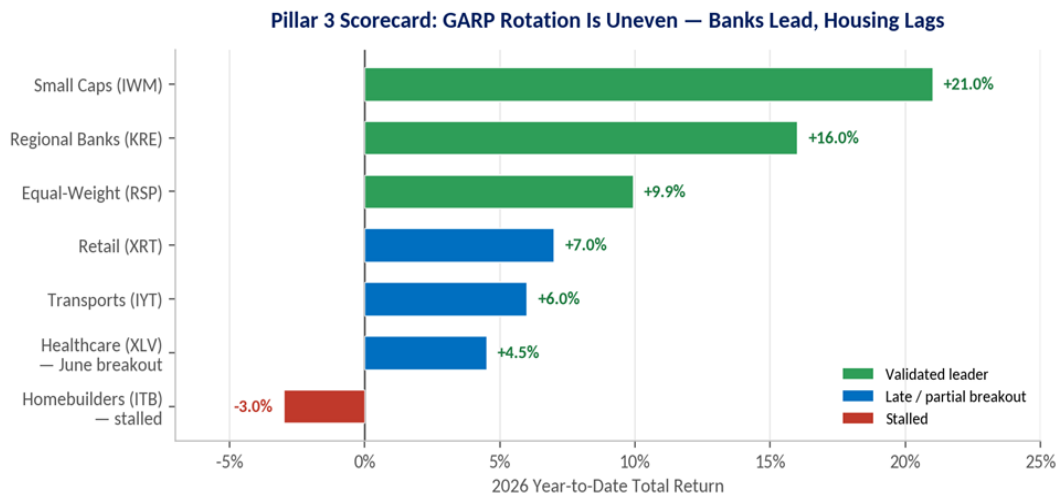
The setup that powered it was exactly the one I laid out: small caps entered 2026 at their widest **valuation discount to large caps in roughly 30 years**. With the Russell 2000 trading near 18-20x forward against the S&P 500's 25x+, you were being paid to take the rotation. Add an earnings recovery (2026 small-cap EPS growth is tracking ~17-22%, ahead of large caps) and the domestic-revenue profile that insulates these names from tariffs and geopolitical supply shocks, and the move had real fundamental legs rather than being a pure liquidity squeeze.

Here, though, is where the macro regime flip forces a refinement to the original call – and it is a refinement, not a retreat. My December logic leaned partly on *falling rates* relieving the roughly 40% of the Russell 2000 that carries floating-rate debt. That tailwind is gone (more on the Fed below). The fact that small caps have kept outperforming *anyway* tells you the valuation-discount and earnings arguments are doing the heavy lifting – but it also means the lowest-quality, most-leveraged tier of the index is now exposed if rates grind higher.

Refined call: stay overweight small caps, but tilt decisively to QUALITY – favor the S&P 600 (IJR), which screens out the unprofitable tail, over the broad Russell 2000 (IWM). In a hawkish-rate world, “high rates kill zombies,” and you do not want to own the zombies.

This is consistent with what I wrote in December about a “purified” small-cap pool: sustained 4%+ rates burn off the unprofitable, high-debt names that clutter the Russell 2000, leaving a cleaner cohort of cash-generative survivors. That thesis is more relevant now, not less. The tell to watch: IWM has actually seen net *outflows* in 2026 even as price rose, and estimate revisions within the weaker half of the index are softening – evidence the move is partly rotation/valuation-driven and that security selection, not index beta, is how you should express it.

Pillar 3 – GARP Rotation: PARTIALLY VALIDATED, and Refreshingly Uneven - The third pillar is where the picture gets textured. My December thesis said that as extreme mega-cap valuations became the focus of investor anxiety, capital would rotate “violently” into pockets of reasonably-priced growth – and I named the likely beneficiaries: healthcare, regional banks, transports, retail, and eventually housing. The rotation has indeed begun, but it has been distinctly *two-speed*, and the dispersion is itself the lesson. Figure 3 scores the expressions.



Source: Sector ETF total returns, 2026 YTD through late June. Regional banks (steeper curve), small caps and equal-weight lead; healthcare only broke out in June; homebuilders remain range-bound despite lower mortgage rates.

Figure 3 – The GARP rotation is real but selective: regional banks and small caps lead, healthcare broke out only in June, housing remains stuck.

The winners first. **Regional banks (KRE)** have been the standout GARP expression, breaking out in early June as the 2s/10s curve re-steepened to roughly +27 to +31 basis points. The logic is clean: a steeper curve is oxygen for net interest margins, the group trades near 11x forward earnings (a ~28% discount to its own history), and loan growth and M&A are reviving. This is GARP in its purest form – double-digit earnings growth available at a single-digit-discount multiple.

The most interesting development, though, is **Healthcare (XLV)**. For most of 1H26 it was the market's most-hated sector – down ~7% year-to-date as late as April while the S&P 500 rose ~5%, its defensive reputation in tatters. **Then, in June, it staged a genuine breakout: the share of XLV constituents above their 50-day moving average leapt from 25% to 61% in a single month, and the sector reclaimed its 50-day line.** This is exactly the kind of violent, sentiment-driven rotation into a beaten-down, reasonably-valued cohort that the December thesis predicted – it simply arrived on healthcare's schedule, not mine. The catalyst and the risk are the same name: GLP-1 pricing dynamics around Eli Lilly, whose early-August results will set the tone.

And the laggard: **Homebuilders (ITB/XHB)** remain range-bound and modestly negative on the year despite 30-year mortgage rates dipping toward 6.5%, because builders' rate-buydown incentive costs are crushing margins, existing-home inventory is rising (projected +9% in 2026), and roughly 27% effective tariffs on construction materials are inflating costs. The structural shortage of 3–5 million units provides a floor, but the sector cannot break out until the 10-year decisively breaks lower. I am keeping housing on the watchlist precisely where I left it – a coiled spring waiting on rates.

The Pillar-3 lesson for 2H: the GARP rotation is a security-selection exercise, not a sector-ETF exercise. Lead with regional banks (KRE) and the fresh healthcare (XLV) breakout; keep homebuilders on the bench until the 10-year cracks below ~4.30%.

What Changed: The Macro Regime Flip – From a Rate-Cut Dream to a Rate-Hike Risk -

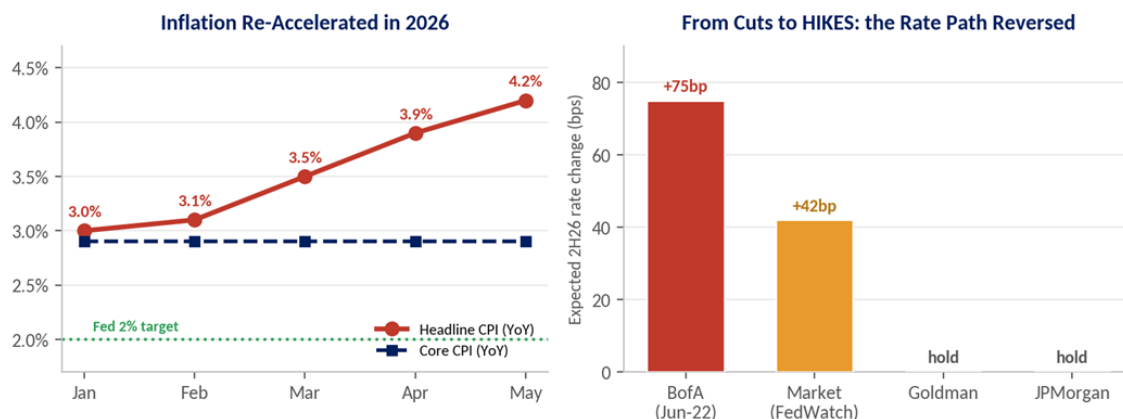
Now the hard part, and the single biggest revision to the December worldview. That note carried one explicit caveat – I worried about stalling job growth and argued that “it is paramount that we get some interest rate relief in 2026 for my broadening logic to play out.” I was right to flag rates as the swing variable. I was wrong about which direction the risk would break. Three forces have combined to flip the Fed's reaction function from easing-biased to inflation-fighting.

- **The Iran war and the oil shock.** The US/Israel conflict with Iran that began in late February 2026 closed the Strait of Hormuz – roughly 20% of global seaborne oil – and drove Brent above \$113 at its peak, the largest supply shock on record. A mid-June framework/ceasefire has since collapsed oil back toward the high-\$60s/low-\$70s (WTI), the lowest since before the war. But the inflation damage to 1H prints is done, and the ceasefire is fragile.
- **Inflation re-accelerated, hard.** May CPI came in at **4.2% year-over-year** – the hottest since April 2023 and a third consecutive monthly acceleration – with energy up 23.5% over twelve months. Core held at 2.9%, which tells you this is substantially an energy/supply shock rather than a broad demand-pull spiral, but 4.2% headline is 4.2% headline, and it has poisoned the well for rate cuts.
- **A new, hawkish Fed Chair.** Kevin Warsh was sworn in as the 17th Fed Chair in late May, and his first FOMC on June 17 was read as a regime change. He held rates at 3.50-3.75% but eliminated forward guidance, stressed “restoring price stability,” and suggested policy “isn't particularly restrictive.” The committee split 9-9 and the median dot now points to a rate **increase**; one strategist called it “a new era of monetary policy.”

Put those together and the rate path has not just lost its downward tilt – the market is now pricing the opposite. Most strikingly, Bank of America's economics team reversed in a June 22 note to call for **three 25bp hikes** in the back half of 2026 (75bp total, to 4.25-4.50%), arguing “the Fed's inflation problem has gotten unambiguously worse” and “the data call for hikes.”

I will be candid: I find a full 75bp of hikes hard to believe, and it is one of the most hawkish calls on the Street – Goldman has pushed cuts out to 2027 and JPMorgan sees a flat hold. But the mere fact that a hike is now the modal market expectation (CME FedWatch put a December hike near 88% after the FOMC) is the story. Figure 4 frames both halves of the flip.

The Macro Regime Flip — the Rate-Cut Tailwind Becomes a Rate-Hike Risk



Source: BLS (May CPI, released Jun-10-2026); BofA Securities (A. Bhawe, Jun-22-2026); CME FedWatch; Goldman Sachs; JPMorgan. New Fed Chair Kevin Warsh's first FOMC (Jun-17) read decisively hawkish.

Figure 4 – Inflation re-accelerated to 4.2% and the consensus rate path inverted from cuts to hikes; this is the regime change that reframes 2H positioning.

There is one more wrinkle that deserves intellectual honesty, because it complicates my own December narrative. That note leaned heavily on the “jobless growth” / AI-displacement story – the idea that a weakening labor market reflected AI efficiency rather than economic frailty. The 2026 data has not been kind to that thesis: May payrolls came in at **+172,000** with unemployment at 4.3%, and prior months were revised up. The labor market firmed rather than fractured. That undercuts the “AI is quietly hollowing out jobs” framing and, awkwardly for doves, reinforces the hawkish case – a resilient labor market gives Warsh every reason to prioritize inflation over employment. I would rather flag this against my own prior call than paper over it.

An Out-of-Consensus Angle: The Phase-2 Capex Air Pocket Is the Bridge to Broadening -

Here is where it gets interesting, and where I want to push beyond the December framework into something more provocative. The bear case on this whole rotation is that any wobble in the Magnificent 7 drags the entire market down with it – concentration cuts both ways. **I think that fear, while real, actually contains the seed of the broadening thesis's vindication, and the mechanism is the AI capex cycle reaching its digestion phase.**

The numbers are staggering: the big hyperscalers are guiding to roughly \$700-725 billion of AI capex in 2026, up some 77% from ~\$410 billion in 2025 – the largest concentrated infrastructure build in the history of technology. For three years this was an unambiguous tailwind for the “sellers of the picks and shovels.” But we are now seeing the first cracks of digestion: Meta shares fell ~9% on a single capex-guidance raise, the market signaling it will no longer reward spending without a visible return. This is the textbook late-Phase-1 dynamic – the point where capital intensity starts to compress free cash flow and the “spend-to-win” narrative loses its automatic bid. **The non-obvious conclusion: the very capex air pocket that threatens the Mag-7's multiples is what FUNDS Pillar 1's payoff. Every**

dollar of hyperscaler capex becomes another company's opex savings – the S&P 493 and efficient small caps are the ones converting that GPU buildout into margin expansion.

This is the rotation from **Phase 1 (AI infrastructure)** to **Phase 2 (AI application)** that I sketched in December, now arriving on schedule. In Phase 1 the value accrued to NVIDIA and the hyperscalers who *sold* the capability. In Phase 2 it accrues to the broad market that *uses* it – the regional bank automating 80% of its back office, the mid-cap industrial running supply-chain agents in place of a team of analysts, the healthcare administrator collapsing claims-processing costs. Jensen Huang himself has declared the “agentic AI inflection point,” and the early adopters are telling: Uber exhausted its full-year 2026 AI-tooling budget in four months. The demand for applied AI is real, and crucially, the companies that benefit are overwhelmingly the under-owned 493 and the GARP cohort – not the seven names everyone already owns.

Positioning for the Second Half: Five Moves

1. **Stay overweight the broadening via equal-weight (RSP).** This is the most macro-robust pillar because it depends on earnings convergence and mega-cap mean reversion – not on the rate path. Trim only if NVIDIA-led Mag-7 earnings re-accelerate and MAGS retakes its 200-day with breadth narrowing again.
2. **Hold the small-cap overweight, but tilt to QUALITY (IJR over IWM).** The rotation is intact, but the hawkish pivot directly threatens the ~40% of the Russell 2000 that is unprofitable and floating-rate-levered. Reduce the leveraged tail if the Fed actually hikes in September and the 10-year breaks above ~4.75%.
3. **Within GARP, lead with regional banks (KRE) and the June healthcare (XLV) breakout; bench homebuilders.** KRE benefits directly from the re-steepened curve; XLV offers a cheap defensive profile with improving breadth. Add homebuilders only on a decisive 10-year break below ~4.30%.
4. **Hedge the macro tail explicitly.** The dominant risk is an oil/inflation re-acceleration (Hormuz re-closes, ceasefire breaks) forcing the Fed to genuinely hike. If BofA's 75bp scenario starts to materialize, rotate toward energy, financials, and the dollar, and cut duration-sensitive growth. Watch the next two core PCE prints and the September FOMC.
5. **Re-underwrite the AI-infrastructure names for Phase-2 digestion risk – and rotate that exposure toward the adopters.** Hyperscaler capex at ~\$725B is now under a microscope (Meta –9% on a raise). The infrastructure trade may pause even as the application layer inflects. This is not a reason to abandon AI exposure – it is a reason to own it through the 493 and GARP names capturing the productivity, not just the seven names funding it.

The Bottom Line - Six months in, the intellectual core of the December thesis has held up well: the market is broadening, small caps *are* leading, the earnings crossover *is* happening, and capital *is* rotating into reasonably-priced growth. What I underestimated was the macro tail – the Iran war delivered a genuine oil and inflation shock, and the Powell-to-Warsh handoff flipped the Fed from a friend of the rotation into a wildcard that could, at the margin, hike. The honest synthesis is this: the rotation no longer has the wind of falling rates at its back, so it has to win on fundamentals. The good news is that fundamentals – the ex-NVIDIA earnings crossover, the small-cap valuation chasm, the Phase-2 productivity handoff – are precisely where this thesis was always strongest.

Stay the course on broadening, but express it through quality and fundamental inflection rather than rate-sensitive beta. The portfolios that win the second half will not be the ones still hiding in the Magnificent 7, nor the ones blindly buying every zombie small-cap – they will be the ones doing the work to find where agentic AI is about to inflect an under-owned business.

Jaguar Premium Ideas

At Jaguar, everything we do starts from bottom-up detailed research and analysis, overlaid with top-down macro and game theory wherever necessary. We like to think outside of the box. It is hard work and smart work. It requires inclination, the desire to get our hands dirty with details that actually matter. It requires plenty of reading and understanding to form a strong opinion.

As a result, you will quite often find us at the opposite side of conventional Wall Street thinking, or technicals on the chart. But at the end of the day, it's not our job to agree or disagree with consensus. Our job is to simply highlight risks and find opportunities to make money.

Note:

The performance of our Premium Ideas is always tracked based off the actual stock prices, as the intended purpose is to simulate an actively managed long/short portfolio where common stock positions are refreshed once every quarter, with the goal of materially beating the S&P (while taking on moderately higher volatility) over time.

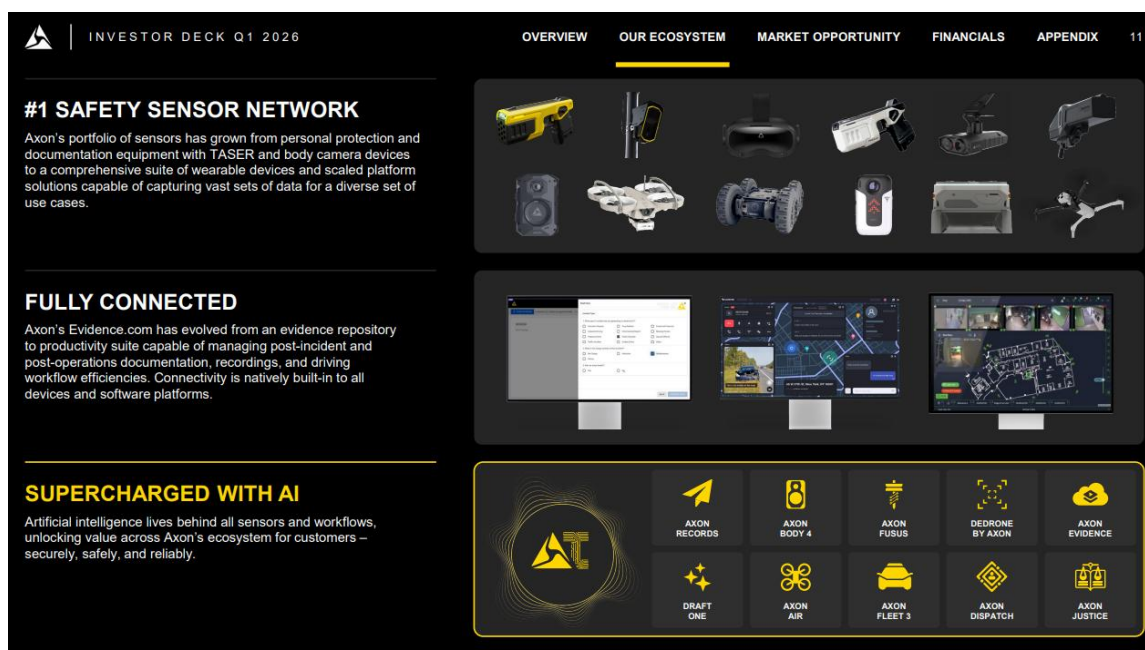
Due to entry and exit prices at the start and end of a quarter being out of our control, we do not provide option trade suggestions for our Top Picks. We will however be monitoring the price action and fundamentals of the Top Picks as the quarter progresses, and suggest option trades to Pro Jag clients (via JaguarLive, JaguarWebinar, or Morning Conversations) when the right entries present themselves.

The choice of whether to implement our Premium Ideas via constructing a portfolio of common stock positions or via the provided option trade suggestions shall be left to the discretion of the reader.

Axon Enterprise (AXON)

AI Summary: [Video](#) | [Slide Deck](#)

Axon Enterprise is the dominant provider of hardware, software, and AI-powered solutions for public safety agencies. The company was best known for the TASER conducted energy device and for Axon Body – the de-facto standard body-worn camera in U.S. law enforcement. But as we've stated plenty of times before, Axon is not just a TASER company. The real business is a deeply embedded, cloud-connected platform that spans every major workflow in modern policing: Evidence Management, Digital Report Writing, Real-time Situational Awareness, Dispatch, Drone Integration, License Plate Recognition, and increasingly, AI-augmented decision support across all of the above.



The company operates across three primary customer segments. State and local government is the largest, comprising approximately 70-75% of revenue, with Axon selling into roughly 17,000 of the approximately 18,000 police forces in the United States. Federal and international make up the remainder, with international growing rapidly – bookings crossed \$1 billion in 2025 – and enterprise (retail, logistics, healthcare, gaming and other private security verticals) representing what management views as potentially the largest segment of the business over a five-to-ten-year horizon.

Revenue breaks down into two main streams: Product/Connected Devices (TASER hardware, body and fleet cameras, and platform hardware) and Cloud Services (Evidence.com storage, software subscriptions, and AI-powered workflow tools). **Cloud services now represent roughly 44% of total revenue and carry gross margins above 80%,**

which is the structural engine behind the company's long-term margin expansion story. As cloud mix grows – driven by AI adoption and software upsell – blended margins follow.

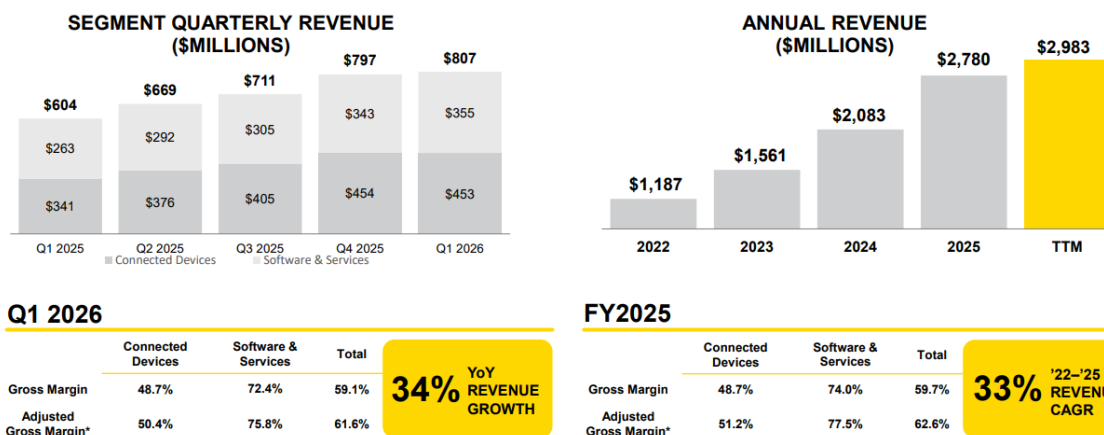
Q1 2026 Earnings: Bookings Momentum is the Story

Kicking things off with the company's Q1 earnings from May 6th. The number that mattered most was not Revenue. It was the Future Contracted Backlog of \$14.3B. To put that into context, the company generated \$2.78B in total revenue for all of 2025. A \$14.3B backlog represents more than five years of current annual revenue sitting in signed, contracted commitments. This is not a demand signal or a pipeline projection – it is money that is contractually owed to Axon. Shares rose approximately 18% in the two weeks following the report, directly attributable to bookings outperformance versus expectations.

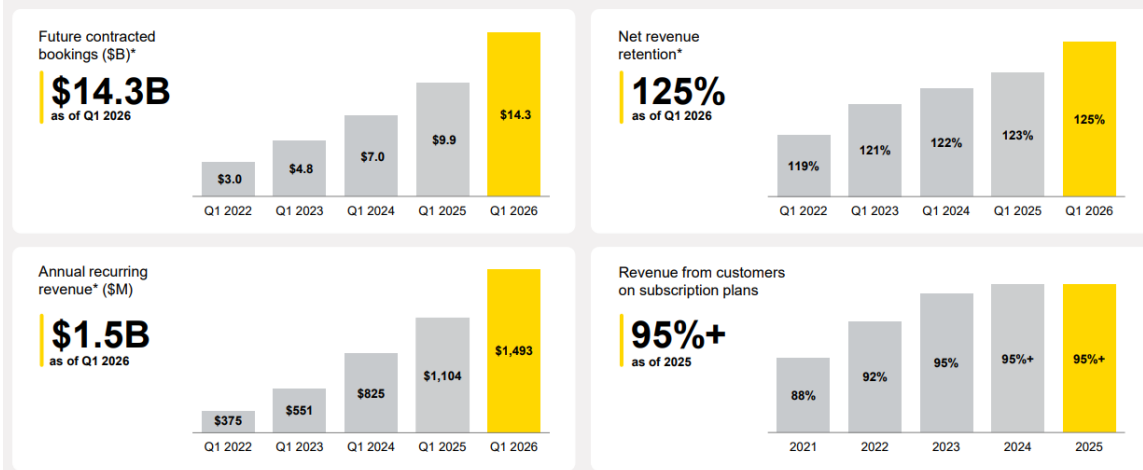
Q1 revenue came in at \$807.3M, up 33.7% Y/Y, beating consensus. Product revenue grew 32.8% on sensor strength (body cameras, fleet cameras, and platform hardware), while cloud services grew 34.9% – the faster-growing of the two segments and the more strategically important one. Adjusted EBITDA was \$247.6M, implying a 30.7% margin for the quarter. Management indicated the company expects to do more than the \$750M in AI Era bookings it achieved in 2025 during 2026 – a subtle but pointed signal of accelerating AI Era momentum.

The backlog build has been relentless. From \$7.1B at Q4 2023 to \$14.3B by Q1 2026 – roughly doubling in five quarters. Importantly, this backlog growth has been concurrent with revenue acceleration, meaning conversion rates are healthy and the book-to-bill dynamics remain favorable. For a company targeting approximately \$6B in revenue by 2028 (management's stated target, in which they express high confidence given backlog, recurring model, and new products not yet launched), this backlog provides an unusually clear line of sight.

STRONG, CONSISTENT GROWTH WITH ATTRACTIVE GROSS MARGIN PROFILE



IMPROVING FORWARD-LOOKING INDICATORS



The Product Pipeline

Understanding Axon's growth durability requires understanding its product pipeline in detail, because the market's revenue models are systematically underestimating what is coming. The products listed below are either shipping, in late-stage development, or generating real bookings today. Management has explicitly stated that to hit the \$6B 2028 target, Axon is not relying on everything going perfectly. The buffer in the backlog and the breadth of the pipeline give the thesis multiple shots on goal.

AI Era / Draft One: Draft One is Axon's flagship AI product and the most tangible near-term proof point that AI can change the economics of law enforcement. The product uses body-worn camera audio to automatically generate draft incident report narratives. The ROI for agencies is concrete and measurable: Piper Sandler puts the return at 30-50%, driven primarily by reduced officer overtime and administrative burden. Officers, in many cases, are now subconsciously dictating more detailed audio during incidents specifically because Draft One is listening – an emergent behavioral change that improves the quality of evidence in addition to saving report-writing time.

AI Era as a bundle currently prices at approximately \$200 per officer per month (with Draft One available standalone at \$65/month/officer), contributing to a total software dollar-attach of approximately \$400 per officer per month. Piper Sandler estimates that AI Era attach could reach 100% penetration within the installed base over time, with an enterprise version also planned. For context: Axon averages less than 1% of a typical agency's budget today. Full AI Era adoption could push that to 3-5% – as has already occurred with Baltimore, which signed a \$150B contract in Q2 2026. The installed base has essentially no incentive to self-develop AI solutions, and every incentive to adopt Axon's – the analogy to cloud storage adoption is apt.

Drone as First Responder (DFR) and Dedrone: DFR may be the most underappreciated segment in the Axon story. The concept is straightforward: Instead of dispatching a police unit to an incoming call, a drone launches first, arrives faster, and provides live situational awareness to officers and dispatch before any ground response. From agencies already running DFR programs, Axon's Chief Customer Officer Mike Wagers cited a striking statistic: 20-40% of the time, officers no longer need to respond to calls at all because the drone has resolved the situation or determined a ground response is unnecessary. Some agencies report "negative response times" – the drone arrives before the dispatcher finishes routing the call to units.

The Safer Skies Act is helping change counter-drone regulations in the United States, potentially allowing local agencies to expand from detection to active mitigation of unauthorized drones. Axon views this as a detection-versus-mitigation framework, with mitigation strategies spanning physical webs, cyber-takeover (via Dedrone's D-Fend technology), intercept, and jamming. Axon has booked over \$750 million in Dedrone revenue since acquisition – approximately 1.5x the purchase price – and is actively integrating Dedrone and Fusus into a single centralized drone security portal. DFR was already active across all 11 U.S. sites for the 2026 World Cup. Piper Sandler describes Dedrone as potentially the biggest near-to-medium-term positive surprise for the company.

IN THE SENATE OF THE UNITED STATES

DECEMBER 15, 2025

Mr. PETERS (for himself, Mr. GRASSLEY, Mr. JOHNSON, and Ms. CORTEZ MASTO) introduced the following bill; which was read twice and referred to the Committee on Homeland Security and Governmental Affairs

A BILL

To expand the authority to use counter-unmanned aircraft system technologies to State, local, Tribal, and territorial law enforcement and correctional agencies, and for other purposes.

Be it enacted by the Senate and House of Representatives of the United States of America in Congress assembled,

SECTION 1. SHORT TITLE.

This Act may be cited as the "SAFER SKIES Act".

Prepared and Carbyne / CAD: The traditional computer-aided dispatch (CAD) system is what Axon management calls the "taxi-dispatch" of public safety – a decades-old workflow ripe for replacement by AI. Prepared, Axon's next-generation dispatch platform, is already deployed in approximately 1,000 of the roughly 6,000 U.S. CAD environments. The Carbyne acquisition – a modern, cloud-native CAD solution – was a natural fit: prior to their respective acquisitions, Prepared and Carbyne were each independently planning to build exactly what the other had. Together, they form a complete dispatch modernization platform.

A panel of police chiefs participating in an Axon-hosted webinar on June 24th specifically called out Prepared as critical infrastructure for integrating DFR and real-time command

center operations. One Chief described Prepared as “the next iteration of what dispatch looks like.” The CAD replacement cycle plays out over years, but the installed base opportunity is enormous, and Prepared’s competitive positioning – native integration with TASER, Body, DFR, and Evidence.com – creates switching costs that standalone CAD vendors cannot match.

Axon Body 5 and TASER N+2: Hardware refresh cycles are a reliable, recurring revenue driver that the market sometimes treats as boring. They should not. The next generation of the Axon Body camera – informally called Body 5 – is expected to be announced by no later than the 2027 User Conference and will feature 25x the processing power of the current generation. This is not a minor spec bump; 25x processing power opens entirely new on-device AI capabilities, faster evidence upload, and integration with AI-powered real-time audio and video analysis that is currently performed in the cloud. The TASER N+2 is expected to include improved aiming capabilities and dart improvements – and TASER already commands gross margins in the low-to-mid-60s.

Axon Body Worn Mini (ABW Mini): Axon is preparing to launch a lower-cost body camera variant approximately \$200 cheaper than the full Body camera. This is the product that unlocks the enterprise segment. Enterprise customers – retail loss prevention, hospital security, casino surveillance, logistics, telecoms – represent addressable markets that dwarf the 900,000 sworn U.S. officers that Axon currently serves. Some individual enterprise clients have security forces larger than the New York Police Department. Management sees enterprise as potentially the biggest piece of the business in five to ten years, and ABW Mini is the price-point entry into that market.

AXON PRODUCTS DELIVER RESULTS FOR OUR CUSTOMERS

What customers are saying:





“Decrease time spent redacting evidence by **75% with Redaction Assistant.**”
Rowlett Police Department



“Decrease time spent writing incident reports by **67% through Draft One.**”
Fort Collins Police Department



“**Fleet 3 ALPR** covers equivalent to **five officers in the field.**”
Fairfax County Police Department



“Over **400+** unauthorized drone detections with **Dedrone.**”
Tulsa State Fair



“**TASER 10** was a no-brainer.”
Scottsdale Police Department



“Increase the recovery of a stolen vehicle by **32 minutes with Fusus.**”
Cobb County Police Department

Don't Sleep on International Growth

International currently represents approximately 15-20% of Axon's business, concentrated in the UK, Canada, Australia, New Zealand, and select continental Europe. International bookings crossed \$1B in 2025, and the trajectory is accelerating. The historical friction in European markets – a reluctance to move law enforcement data to the cloud given data protection concerns – is eroding rapidly as the AI value proposition becomes clear. European police forces that previously insisted on on-premise infrastructure are reconsidering, because cloud is a prerequisite for AI, and AI is where the productivity gains are.

Following a European investor roadshow in June 2026, Piper Sandler reported that conversations on the ground confirmed accelerating traction, with France, Switzerland, and Spain all actively testing Axon with their national police forces. Full country deployments have already occurred – including an eastern European country and a Caribbean nation. Piper Sandler estimates Axon can land approximately two sizable EMEA deals annually, and the AI Era is expected to launch in international and enterprise versions. The World Cup, where Axon was already involved in all 11 U.S. sites primarily around counter-drone, is a live showcase for what the full platform looks like in a high-profile, multinational public safety environment.

Competitive Position: Why the Installed Base Is the Moat

Competition comes up in nearly every investor conversation about Axon, particularly the perceived threat from Motorola Solutions (MSI). The framing is mostly wrong. Axon's win rates are strong, and the company typically loses only when a customer is acutely price-sensitive – a rare condition in public safety procurement, where liability and reliability concerns far outweigh cost considerations. Axon won all eight U.S. State Agency deals that came up in 2025. The Axon Body camera remains the de-facto platform given its battery performance, integration capabilities, and the sticky Evidence.com cloud ecosystem that wraps around it.

The more apt competitive comparison is with Flock Safety, which Axon management specifically identifies as the competitor that worries them most – not Motorola. Flock competes in license plate recognition and automated alerts, and has a similar innovation velocity and strategy. But even here, Axon's advantage is the integrated platform: Sheriff Adkinson of Walton County, FL put it precisely in an Axon customer panel – he prefers products that do 80% of the job but work together seamlessly across the agency over point solutions that excel individually but don't integrate. Axon is the integration. Flock, Motorola, and every other competitor are point solutions by comparison.

The other structural moat is budget positioning. Axon on average represents less than 1% of a customer's budget. This is an unusually low share of wallet for a mission-critical, deeply

embedded platform vendor. It means price is almost never the gating factor on renewals, and it means there is significant runway for upsell – particularly as AI Era, DFR, Prepared, and ALPR layer on top of the existing TASER and Body base.

Option Flow

Simply put, there isn't much to see right in the option market. The lone near-term entry was from May 26th when someone bought 220 July 500 Calls for \$8.70 offer.

DATE	OPTION	DTE	QTY	PRICE	SIDE	PREMIUM	SENTIMENT	OPEN INTEREST	QTY > OI
2026-05-26	AXON Jul26 500 Calls	52d	220	\$8.70	On Ask	\$191K	BULLISH	7	Yes

Bottom Line

Axon Enterprise is one of the cleaner long-term compounding stories in large-cap technology. The company has a dominant installed base across virtually every U.S. law enforcement agency, a \$14.3B contracted backlog that provides revenue visibility most software companies cannot approach, and a product pipeline that layers multiple independent growth vectors – AI Era, DFR, Dedrone, Prepared, enterprise, international – on top of a recurring hardware refresh cycle that never goes away.

The consensus growth expectation is approximately 27-30% annually through 2027 and 2028. The bull case does not require heroic assumptions. It requires AI Era to attach at rates that agency feedback suggests are achievable, DFR to continue its conversion from pilot to standard operations across the agency network, and international to deliver the two sizable EMEA deals annually that management thinks is a reasonable steady-state. On top of that, GAAP EPS is about to inflect materially as stock-based compensation dilutes against a rapidly growing revenue base – a technical but real driver of multiple compression on a GAAP basis that will bring a new category of valuation-sensitive investors into the stock.

Price targets across Morgan Stanley (\$600), Piper Sandler (\$674), and TD Cowen (\$825) span a wide range – reflecting genuine debate about the pace of AI Era and enterprise adoption. But the directional signal is uniform. Axon is becoming the operating system for public safety globally, one contracted agency at a time, and the backlog strongly suggests that the conversion from “trying Axon” to “full deployment” is accelerating, not plateauing. For investors who can tolerate the budget-cycle lumpiness and the premium multiple, this is a name worth owning through the product cycle ahead.

AXON Axon Enterprise, Inc. Nasdaq GS

© StockCharts.com

Industrial / Defense

Open: **417.05**

Ask:

Mkt Cap: **37.2B**

P/E: **186.92**

Friday 26-Jun-2026

High: **477.17**

Bid:

Fwd Dividend: **N/A**

EPS: **2.49**

▲ **+9.79%**

Low: **403.79**

Last:

Fwd Yield: **N/A**

Last Earnings: **2026-05-06**

Chg: **+41.43**

Prev Close: **423.40**

Optionable: **yes**

SCTR (LrgCap): **20.4**

Next Earnings: **2026-08-04**

Last: **464.83**

Volume: **5,703,180**

RSI(14) 48.79



C.H. Robinson Worldwide (CHRW)

AI Summary: [Video](#) | [Slide Deck](#)

C.H. Robinson is a global third-party logistics (3PL) company and the largest freight broker in North America, managing nearly 40 million shipments annually. Unlike traditional shipping companies, the company operates on an asset-light model. Instead of owning a fleet of trucks, it acts as a massive intermediary, matching businesses needing to ship their goods with a vast network of transportation providers. Key operations include:

- **Freight Brokerage & Transportation:** Connecting shippers with contract carriers across all major modes, including truckload (TL), less-than-truckload (LTL), ocean, air, and rail.
- **Supply Chain Management:** Providing logistics services like warehousing, cross-border shipping, customs brokerage, and supply chain consulting.
- **Logistics Automation:** Utilizing a proprietary AI and automation platform to manage the shipping lifecycle, enabling digital freight matching, pricing, tracking, and order management.

How shippers can engage with C.H. Robinson



**Logistics
like no
one else™**

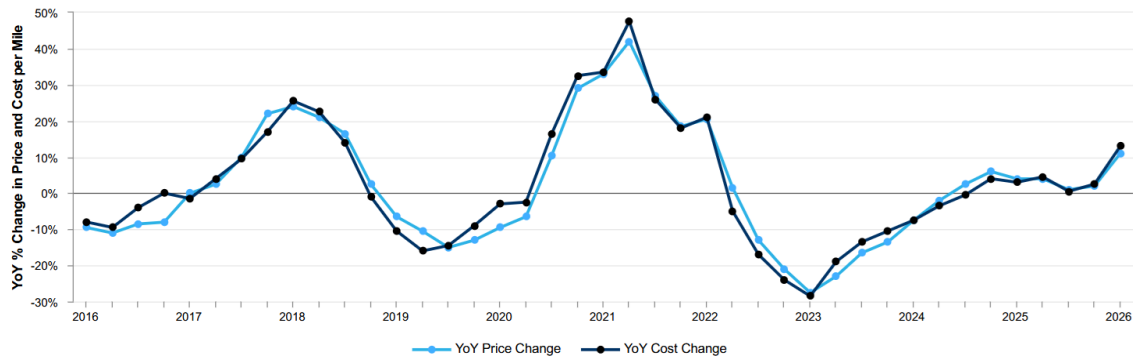
Initial goal	Recommendation	Ideal for
Long-term relationship and specialized support based on your industry	A dedicated account team and our global TMS	• Enterprise-level shippers • High-volume supply chains
Strategic planning for complex logistics challenges	Personalized meeting with our logistics experts to assess needs and recommend tailored solutions	• Growing businesses • Shippers with evolving needs
Pricing for North America truckload or LTL freight	Spot market quotes, custom plans, or long-term truckload and LTL freight solutions	• Mid to enterprise size businesses • First-time shippers
Quick shipping prices for standard North America freight	Instant rate estimates via Freightquote by C.H. Robinson	• Small to mid-sized businesses • Infrequent shippers • Paying by credit card

The Trucking Market is Going from Tight to Tighter, But Nuance Matters

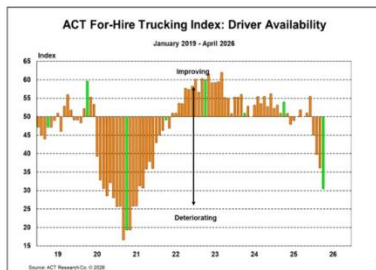
At JaguarAnalytics, we have been routinely pointing out since the start of the year a positive inflection in the North American trucking cycle. Heading into Q3, we believe the industry is continuing to exhibit clear signs of a transition from what was a prolonged, 43-month-long freight recession into an initial phase of a cyclical upturn. However, it's important to realize that rather than a massive uplift in demand, this recovery is primarily

driven by a severe supply-side contraction of small fleet capacity and collapsing driver availability. This has in turn led to a reacceleration in truckload prices and cost per mile:

Truckload Price and Cost Change



Throughout 2024 and 2025, operating cost inflation (driven by sharp rises in specialized insurance premiums and unhedged spot fuel costs) triggered an estimated 41% spike in small-carrier bankruptcies and authority license revocations. This resulted in a significant reduction in capacity heading into this year. Additionally, tightened Federal Motor Carrier Safety Administration (FMCSA) compliance oversight and drug-and-alcohol clearinghouse rules have also permanently removed non-compliant operators from the active driver pool, creating an immediate and sudden labor shortage. This labor deficit reached a critical level in April 2026 as the [ACT Driver Availability Index](#) collapsed to 30.4.

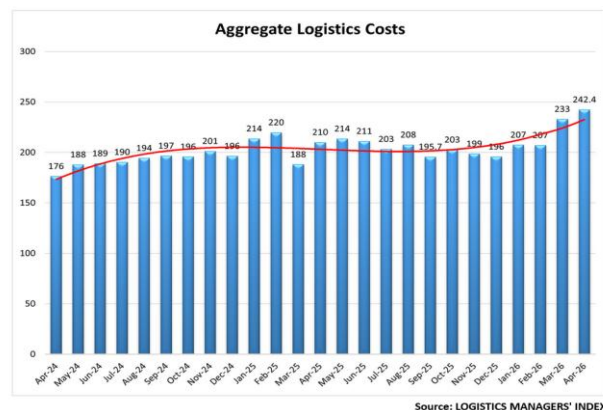


DRIVER AVAILABILITY INDEX:

The Driver Availability Index decreased 5.7 points to 30.4 in April from 36.1 in March, the lowest level since September 2021. The sharp drop in recent months shows the market has moved into a new driver shortage, due in no small part to the immigration crackdown and tighter driver regulations. The new nondomicile CDL rules took effect in mid-March, but effects of several rule changes are weighing on the market. Driver availability is a key component of capacity in the market, and additional scarcity seems likely, supporting higher freight rates.

The medium and large fleets in our survey reported a steady and loose driver supply through the long freight downturn, and their driver availability should reflect the net effects of new FMCSA rules.

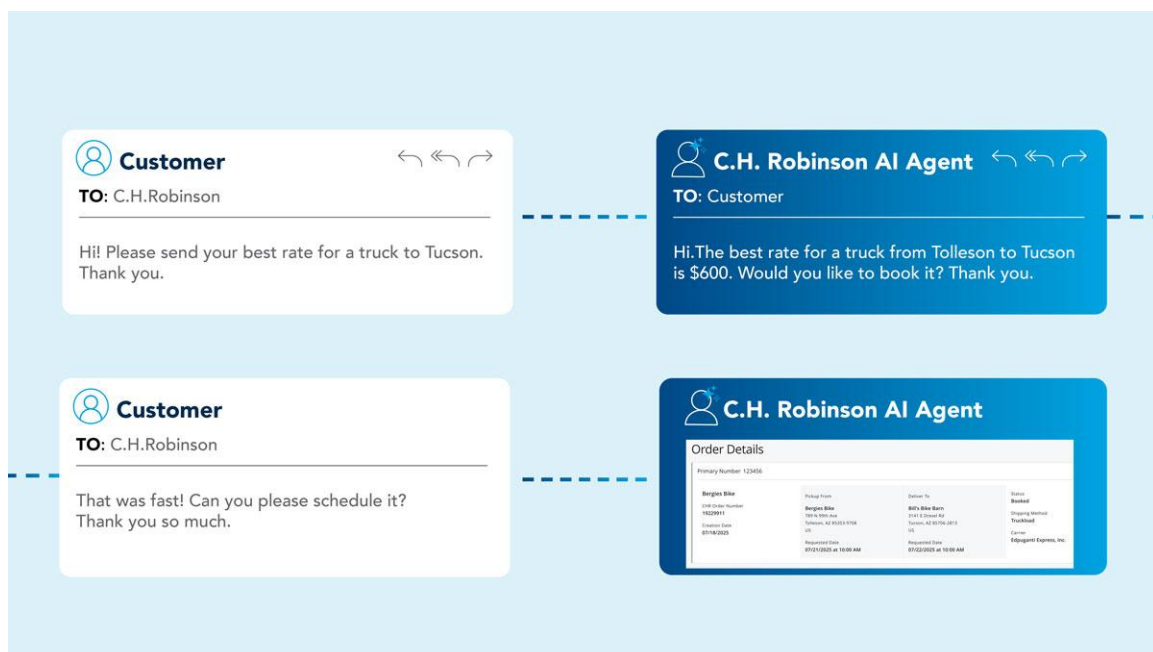
Similarly, the [Logistics Managers' Index \(LMI\)](#) has risen to 69.9 in April, the fastest expansion since March 2022, driven by a sharp drop in available transportation capacity. Notably, aggregate logistics costs have reached a four-year high of 242.2, with respondents predicting a further increase to 254.7 over the next 12 months.



Thus, given the highly-nuanced nature of the above circumstances, we believe it would be best to avoid owning trucking fleet operators for the time being as they are likely experiencing elevated operating costs and difficulties in hiring. **Instead, we prefer owning asset-light brokers with massive digital carrier networks like C.H. Robinson who will enjoy significant pricing power and spread expansion as corporate shippers attempt to race and outbid each other to secure capacity for the back half of 2026.**

This is because when capacity contracts, the opportunity cost of primary tenders will begin to shift as spot market rates offer higher yields per mile than shippers' fixed contract rates, which results in tender rejections. When the primary carrier rejects a load, the freight is then offered to the secondary tender, then the tertiary, down to backup carriers. Each step down the routing hierarchy results sequentially higher pre-negotiated contract rates, typically scaling at 3% to 7% premiums per tier. **FYI: As of May, the National Outbound Tender Rejection Index has risen above 15%** (which indicates extremely tight capacity, similar to what we witnessed in early 2022), inflecting sharply from the 2023-2025 cyclical trough of 5%.

Eventually, when all tenders get rejected, the freight gets forced out of the contract environment and into the volatile spot market, and this is where C.H. Robinson shines. When these shippers reach out for emergency routing, the company will charge a high "buy rate" to guarantee assignment using its real-time digital matching platform and extensive database of independent owner-operators. And because the company possesses such a massive network, it is able purchase the underlying transportation capacity at prevailing spot market costs that are materially lower than the premium rate paid by the shipper, which results in a highly profitable spread.



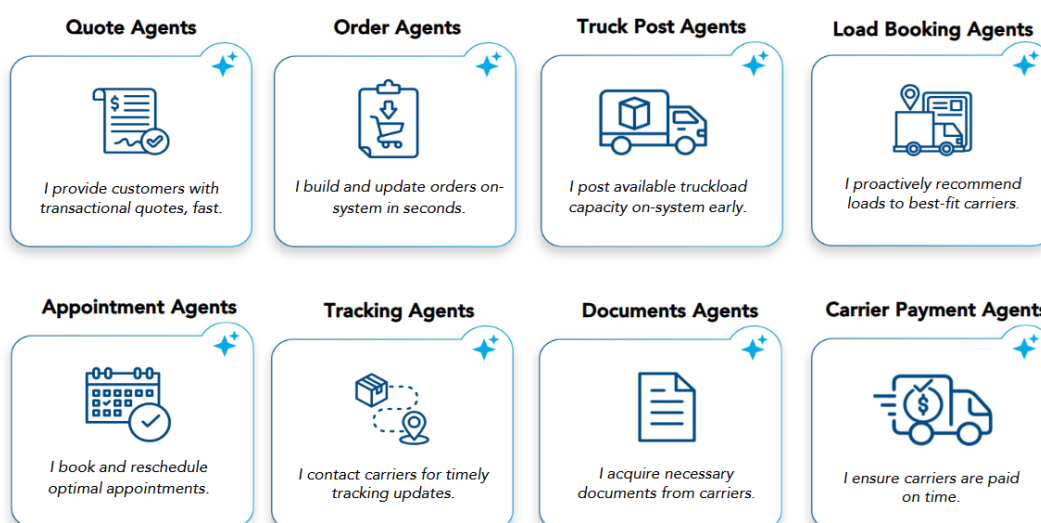
Consensus is Underappreciating the Margin Expansion Potential from C.H. Robinson's New Agentic AI Routing Platform

Historically, C.H. Robinson's financials would indicate a strictly linear relationship between routing volumes and shipping team headcount. Increasing volumes meant increasing labour costs as the company's operations were traditionally performed manually through human agents. However, this is no longer the case as **the company has recently undergone an aggressive transformation into an agentic AI-driven low-marginal-cost autonomous platform. Instead of relying on human agents, the company now trains its logistics and pricing engine on data from ~40 million annual shipments, and is able to automate spot and contract quoting by calculating immediate market clearing rates based on a multitude of variables, including localized capacity constraints, weather disruptions, and regulatory variations.**

Shippers are now able to receive automated, guaranteed quotes via API or EDI integrations within seconds, removing human input completely. And once a load is secured, the system automatically broadcasts it across the company's digital network of over 100,000 vetted carriers. The platform identifies optimal backhaul routes for small fleets using historical lanes, current positioning, and predictive route preferences. Furthermore, rather than relying on personnel to execute check-calls to confirm driver location, the platform utilizes Electronic Logging Device data and mobile tracking to stream automated location data. **This optimization allows a single human logistics engineer to manage up to four times the volume under the legacy pre-AI format.**

MEET OUR FLEET OF AI AGENTS

Just a sample of the agents performing tasks that defied automation for decades



On May 21st, at the [Wolfe Research Annual Global Transportation and Industrials Conference](#), CFO Damon Lee would mention that C.H. Robinson's automated (AI-handled) booking penetration within North American Surface Transportation has surpassed 85%. As a result, the company's cost-to-serve per shipment has lowered by 17% YoY, while personnel expenses as a percentage of net revenue are being forecast to compress by 2.5 ppt this year.

Looking ahead, if our thesis about a trucking cycle recovery turns out to be correct, then C.H. Robinson will likely enjoy significant margin expansion as personnel and SG&A expenses remain essentially flat despite a rise in volumes thanks to automation. This improvement in operating leverage will likely lead to a series of substantial earnings beats in upcoming quarters.



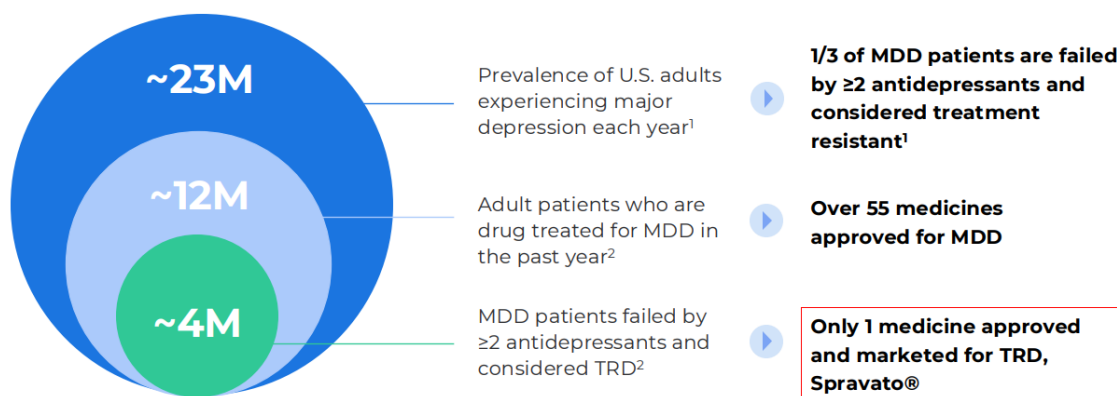
Compass Pathways (CMPS)

AI Summary: [Video](#) | [Slide Deck](#)

Compass Pathways is a clinical-stage biotechnology company headquartered in London with a singular focus: developing COMP360, a proprietary, synthetic formulation of psilocybin, as a treatment for mental health conditions where existing options have failed. The company isn't building a diversified pipeline. Rather, it is building around one molecule, one mechanism, and one initial indication – treatment-resistant depression – with adjacent programs in PTSD and anorexia nervosa that could represent meaningful follow-on optionality if the lead program succeeds.

Treatment-resistant depression is defined as major depressive disorder that has failed to respond adequately to at least two different antidepressant treatments. Estimates put the TRD population in the United States at approximately four million adults. Current standard-of-care options for these patients are limited, often poorly tolerated, and rarely durable. The unmet need here is not incremental – it is profound. Spravato (from Johnson & Johnson), the only FDA-approved treatment specifically for TRD, generated \$1.7B in sales in 2025 off roughly 100,000 patients, meaning it has penetrated only about 2.5% of the addressable population. That statistic alone frames the scale of the opportunity COMP360 is entering.

Treatment-Resistant Depression (TRD) Affects 4 Million in the U.S.



TRD ▶ The definition of TRD adopted by the US Food and Drug Administration (FDA) is **failure to respond to two or more antidepressant regimens** despite adequate dose and duration and adherence to treatment³

COMP360 is not a daily pill. It is administered as a single or double dose within a controlled clinical setting, paired explicitly with professional psychological support. Patients receive the treatment in a monitored environment over approximately six to eight hours and do not take anything home. This delivery model is meaningfully different from

conventional antidepressants – and it is the source of both the commercial complexity and the commercial opportunity, as we will discuss.

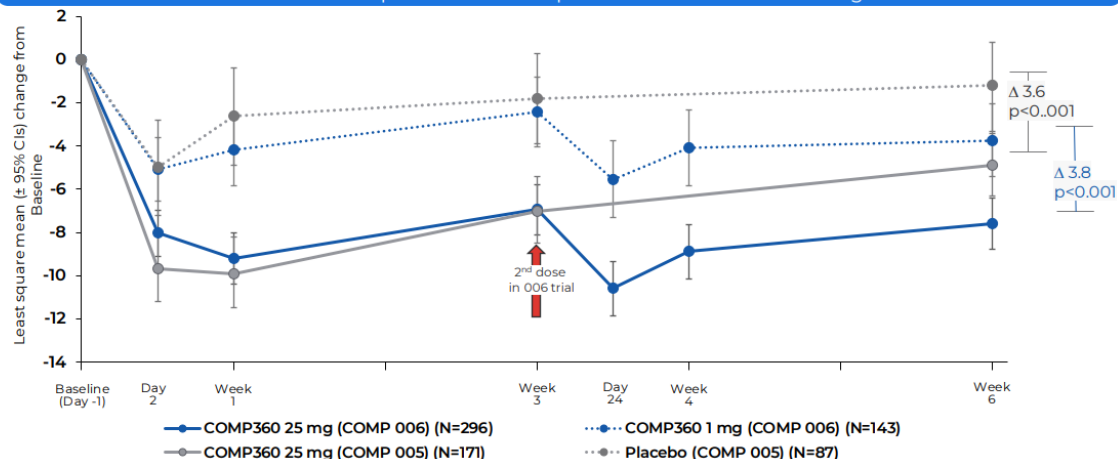
The Clinical Data: Three Trials, One Consistent Answer

The foundation of the Compass investment thesis is unusually strong by clinical-stage biotech standards. COMP360 has now succeeded in three controlled trials – one Phase 2b and two Phase 3 pivotal studies – each demonstrating statistically significant and clinically meaningful reductions in depression symptom severity.

The Phase 2b study was the first rigorous, placebo-controlled psilocybin trial of its kind. A single 25mg dose of COMP360, administered with psychological support, produced a statistically significant improvement ($p < 0.001$) in depressive symptoms at three weeks. That result was the scientific credibility anchor that launched the Phase 3 program. The two Phase 3 pivotal trials – COMP005 and COMP006 (Part A) – both achieved their primary endpoints in 2025 and early 2026, confirming that the 25mg dose produces a highly statistically significant and clinically meaningful reduction in depression severity versus control. Stifel raised its probability of regulatory approval to 90% following these results. Three trials, three consistent confirmations of efficacy – the approvability question is largely answered.

COMP005 & COMP006 Both Achieved Primary Endpoints With High Statistical Significance*

- At week 6, 25% reduction in MADRS in 005, increasing to 39% in 006
- Consistent magnitude of MADRS total score improvement between two Phase 3 studies
- 2nd administration at Week 3 shows potential for a deeper treatment effect than a single administration



What remains outstanding is the COMP006 Part B 26-week data, expected in early Q3 2026. This dataset will characterize long-term durability and retreatment dynamics – i.e., how long the benefit lasts and what the protocol looks like if a patient relapses. Management views this less as a binary efficacy read (the primary endpoint is already established) and more as an educational dataset for payers and prescribers. The 26-week

data will complete the NDA package and form the basis for dosing language, payer value messaging, and real-world treatment expectations. It is important, but it is not the approval pivot – the pivotal data is already in hand.

The Executive Order

On April 18, 2026, President Donald Trump signed Executive Order 14401 directing the FDA to accelerate access to psychedelic medicines for patients with serious mental illnesses. The order includes funding provisions, clinical trial support mechanisms, and – most consequentially for Compass – a directive that the FDA provide Commissioner’s National Priority Vouchers to breakthrough-designated psychedelics that meet the program criteria.

The CNPV is a specific regulatory tool that compresses the FDA review timeline to as little as one to two months, versus the typical six to twelve months for standard review. COMP360 already holds Breakthrough Therapy designation. Following the executive order, CMPS received a CNPV for COMP360 in April 2026. Combined with the rolling NDA submission already underway, **a CNPV-accelerated review could deliver an FDA approval decision in early 2027 – materially ahead of the 2028 commercialization timeline that is still embedded in many sell-side consensus models.**

There is a subtler signal worth noting. Management disclosed that FDA standard meeting and request timelines have, in their words, “*gone away entirely*” following CNPV designation. That language goes beyond what the priority voucher mechanism alone implies. It suggests a wholesale shift in regulatory engagement posture – not just faster review, but fewer procedural friction points across the entire approval process. For a company that was reportedly excluded from the initial CNPV cohort in March 2026 before the executive order resurrected the pathway in April, the reversal is dramatic and the practical implications are underappreciated by the market.

The Commercial Case

The most persistent bear argument against COMP360 has been the six-to-eight-hour monitoring window. The concern is simple: if a clinic has to dedicate a room and nursing staff to a single patient for most of a workday, the economics of scaling are prohibitive. This argument has some intuitive logic to it. But it dissolves quickly when you look at the actual infrastructure that already exists.

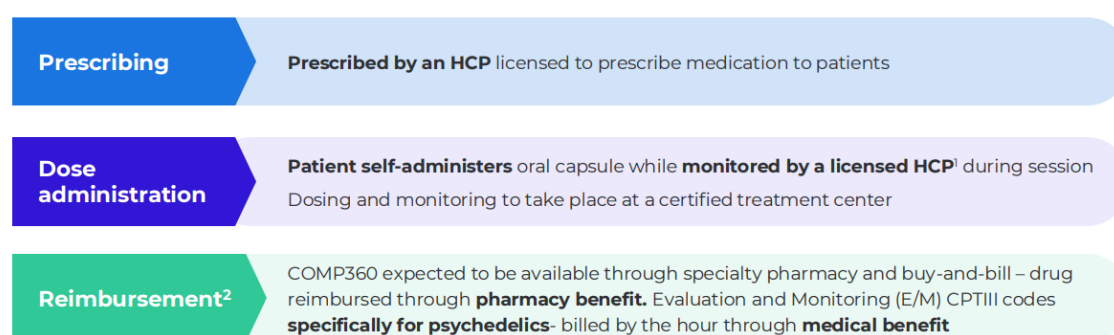
There are approximately 7,300 to 7,500 Spravato and interventional psychiatry centers already operating in the United States. These centers have monitored treatment rooms, nursing protocols, and observation workflows built specifically for multi-hour psychiatric treatments. Private equity has been investing in expansion of this infrastructure independent of COMP360 – roughly 1,000 new centers were added per quarter in 2025

alone. Management explicitly noted that these sites are not being built just for Spravato; they are being built for the next generation of interventional psychiatry, and operators already understand what is coming.

The delivery mechanics are also more favorable than the initial framing suggests. Spravato requires 25 to 50 caregiver-assisted visits per year. COMP360 is expected to require dosing approximately once every six weeks initially, declining over time. That is dramatically less treatment burden per patient – and per room. Critically, the six-hour COMP360 observation window can be staggered with same-day Spravato dosing in the same room, meaning COMP360 is not displacing Spravato revenue at existing sites. It is a zero-capital-expenditure add-on revenue stream for centers already built and staffed.

On reimbursement, COMP360 is positioned more favorably than Spravato was at launch. Spravato had no CPT codes at approval, which caused early delays and claims denials as payers worked out how to process the novel treatment. COMP360 has already secured Category III CPT codes that enable time-based reimbursement across the full treatment duration – meaning providers can bill by the hour for the monitored observation period. This is a structurally important distinction: it makes the unit economics of each COMP360 session clearly profitable for centers before the drug even launches. The early insurer pushback that plagued Spravato is unlikely to repeat given that payers have already learned the cost-savings math on psychedelic-adjacent treatments, and the reimbursement framework for COMP360 is more complete from day one.

COMP360 Prescribing, Dosing, and Reimbursement is Expected to Easily Integrate within Current Clinical Practice



The Rescheduling Math Nobody Is Modeling

Here is the piece of the CMPS story that is most underappreciated in consensus models: state-level rescheduling timing. Psilocybin is currently a Schedule I controlled substance under federal law. FDA approval alone does not make it available for prescription – federal DEA rescheduling and individual state rescheduling must follow.

The Street has been modeling a fragmented, state-by-state post-approval rollout stretching into 2028 and beyond. Compass has quietly dismantled that assumption. Management disclosed that nearly 90% of the U.S. population lives in states that are expected to reschedule COMP360 within 30 days of federal DEA rescheduling. Separately, management indicated that FDA controlled-substance reviews and DEA rescheduling could converge near the time of FDA action – meaning the traditional sequential timeline (FDA approval, then DEA scheduling, then state-by-state adoption) may collapse into a near-simultaneous event.

If 90% of the U.S. population can access COMP360 within 30 days of federal action, and federal action could come within weeks of NDA completion in Q4 2026, the commercial ramp in 2027 could be far steeper than consensus anticipates. HCW has a 2027 revenue estimate of \$147.8M for CMPS versus FactSet consensus of \$56.2M – a 2.6x gap. For 2028, HCW estimates \$606.9M versus consensus of \$225.9M. That divergence reflects a fundamentally different assumption about the pace of post-approval access, and the rescheduling data point strongly supports the bull case.

Meanwhile, Marijuana Moment reported on June 24th: A Drug Enforcement Administration (DEA) judge has issued an order laying out the schedule for a hearing on the Trump administration's move to reschedule cannabis that is set to start next week.

POLITICS

DEA Judge Sets Testimony Schedule For Marijuana Rescheduling Hearing Starting Next Week

Key Opinion Leader Calls

LifeSci Capital analyst Francois Brisebois was out on June 11th after hosting a psychiatry KOL and came away highly encouraged about the commercial outlook for CMPS' COMP360 in TRD. With 35 years of experience treating mood disorders and running active Spravato and TMS clinics, he sees psychedelics as one of the most exciting innovations in mental health right now, with durability viewed as a critical differentiator. Key takeaways included:

- The KOL sees psychedelics as a much-needed paradigm shift. Durability was a key differentiator highlighted by the KOL (greater durability could reduce treatment burden, improve adherence, and lower overall healthcare costs). He also highlighted the growing momentum across the field (excitement among leading psychiatrists and

national KOLs following the recent APA meeting, with many clinics actively preparing for future approvals).

- COMP360 was viewed as a near-term, high-impact entry in large TRD market. *"We're encouraged by the KOL's enthusiasm about COMP360's potential in TRD, and views the large, still-underserved TRD population as a key opportunity for uptake, if approved. With the 26-week data expected in 3Q26 and a regulatory filing to follow (4Q26), we're particularly encouraged to see our KOL is preparing for implementation in his clinic so he can integrate the therapy once it becomes available."*

Option Flow

I don't need to say much here. The screenshot below speaks for itself.

CMPS 37 flow events · 14 HA entries · 4 research entries

Side: **All** Premium: **All** Sentiment: **Bullish** Qty > OI: **All** X Clear 34 shown

DATE	OPTION	DTE	QTY	PRICE	SIDE	PREMIUM	SENTIMENT	OPEN INTEREST
2026-06-22	CMPS Jan27 15.0 Calls	207d	300	\$3.40	On Ask	\$102K	BULLISH	1,718
2026-06-22	CMPS Jan27 15.0 Calls	207d	300	\$3.40	On Ask	\$102K	BULLISH	1,718
2026-06-09	CMPS Jul26 12.0 Calls	38d	1,000	\$1.25	Near Ask	\$125K	BULLISH	4,500
2026-06-09	CMPS Aug26 10.0 Calls	73d	598	\$2.70	On Ask	\$161K	BULLISH	2,845
2026-06-09	CMPS Aug26 10.0 Calls	73d	586	\$2.70	On Ask	\$158K	BULLISH	2,845
2026-06-02	CMPS Aug26 15.0 Calls	80d	1,000	\$2.52	Near Ask	\$252K	BULLISH	5,957
2026-06-01	CMPS Jan27 20.0 Calls	228d	753	\$3.30	Near Ask	\$248K	BULLISH	3,627
2026-05-29	CMPS Jul26 13.0 Calls	49d	700	\$1.70	On Ask	\$119K	BULLISH	8,217
2026-05-29	CMPS Aug26 15.0 Calls	84d	995	\$1.72	Near Ask	\$171K	BULLISH	3,654
2026-05-21	CMPS Jul26 12.0 Calls	57d	995	\$1.70	Near Ask	\$169K	BULLISH	2,399
2026-05-21	CMPS Jul26 12.0 Calls	57d	1,000	\$1.30	On Ask	\$130K	BULLISH	2,399
2026-05-20	CMPS Jul26 12.0 Calls	58d	1,900	\$1.00	On Ask	\$190K	BULLISH	141
2026-05-19	CMPS Aug26 11.0 Calls	94d	1,000	\$1.55	Near Ask	\$155K	BULLISH	5,284
2026-05-14	CMPS Jan28 20.0 Calls	617d	426	\$3.10	On Ask	\$132K	BULLISH	160
2026-05-14	CMPS Jan28 20.0 Calls	617d	446	\$2.85	On Ask	\$127K	BULLISH	160
2026-05-14	CMPS Jan28 20.0 Calls	617d	553	\$2.95	On Ask	\$163K	BULLISH	160
2026-05-04	CMPS Aug26 11.0 Calls	109d	2,000	\$1.52	Near Ask	\$304K	BULLISH	1,116
2026-05-04	CMPS Nov26 9.0 Calls	200d	410	\$2.92	Near Ask	\$120K	BULLISH	68

Bottom Line

Compass Pathways sits at one of the more compelling inflection points in biotech right now. The clinical data is in hand across three trials. The NDA is rolling. The FDA has compressed its review timeline to a potential one-to-two-month clock post-filing. A presidential executive order has explicitly accelerated the rescheduling pathway. And

nearly 90% of the U.S. population lives in states expected to reschedule within 30 days of federal action.

The near-term calendar is clear: COMP006 Part B 26-week data in early Q3 2026, NDA submission completion in Q4 2026, and a potential approval decision in early 2027.



Ferrari (RACE)

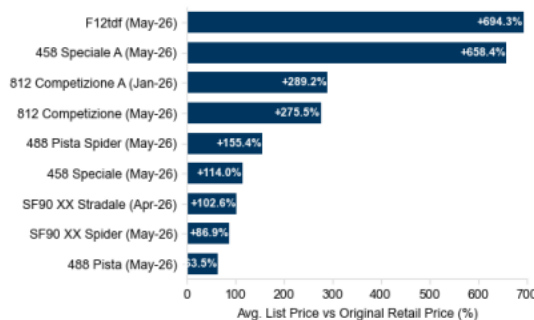
AI Summary: [Video](#) | [Slide Deck](#)

As we have alluded to recently (Webinar, Conversations), the significant pullback for this luxury car brand is overdone. In fact, as we will argue, it is sitting at one of its most attractive entry point in years.

Ferrari is a Maranello, Italy-based manufacturer of ultra-luxury sports cars, grand tourers, and the Purosangue SUV, operating under one of the most globally recognized and coveted brand identities in the world. Ferrari generates revenue across three segments: Cars and Spare Parts (the dominant segment, covering new vehicle sales and replacement parts), Sponsorship, Commercial and Brand (primarily Formula 1-related revenues, licensing, and merchandising), and Other (financial services and related income).

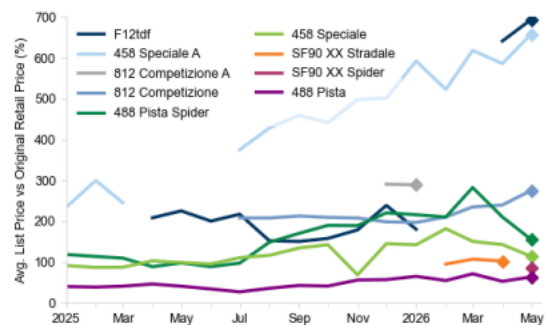
Ferrari's business model is structurally unlike any other automakers. The company deliberately constrains production well below demand, creating persistent order books that routinely extend multiple years into the future. **This scarcity-driven allocation discipline is the foundation of the brand's pricing power and the key reason Ferrari's residual values on special and limited-edition models continue to trade at substantial premiums to original list prices.** As of May 2026, Goldman Sachs' proprietary residual value tracker shows special-series models commanding premiums of +694% (F12tdf), +658% (458 Speciale A), and +289% (812 Competizione A) to their original retail prices, even as the broader used Ferrari index has softened modestly. That divergence – scarce specials appreciating while range models normalize – is exactly how a healthy luxury allocation model is supposed to work.

Exhibit 9: While range models have seen weakness, we highlight the resilience of recent special models...
Average list price appreciation vs original retail price by select special model (%)



Source: Ferrari.com, Goldman Sachs Global Investment Research

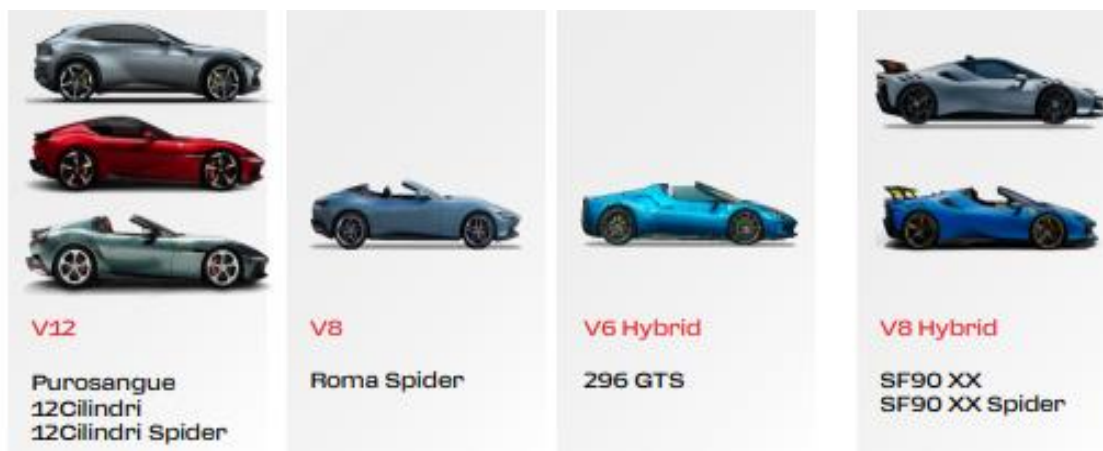
Exhibit 10: ...which have outperformed the overall depreciation in residual values
Average list price appreciation vs original retail price by select special model (%) over time



Source: Ferrari.com, Goldman Sachs Global Investment Research

The product lineup for Ferrari spans a wide price spectrum. Entry-level models like the Roma and 296 family start around €200,000–€300,000. The Purosangue SUV (€390,000+)

and the 12Cilindri sit mid-range. Special series cars and limited supercars – the 849 Testarossa, 296 Versione Speciale, and the all-important F80 hypercar – command €500,000 to well over €3 million at list, with aftermarket premiums making the true market price even higher. Personalization, Ferrari's program of bespoke options and finishes, currently accounts for approximately 20% of vehicle revenue and has proved remarkably resilient through the current model changeover period.



The Re-Rating: What Happened and Why It's Overdone

Ferrari's shares have declined significantly from their 52-week high of €447.50, trading around €312 as of late June 2026 – a drawdown of approximately 30% from peak. Three overlapping concerns drove the downward spiral: The Luce EV reveal and its polarizing design, a shift to more conservative medium-term guidance (5% top-line CAGR versus prior expectations of higher), and soft residual values on hybrid range models. Each of these deserves an honest look, but when examined carefully, none of these concerns justifies the magnitude of the multiple compression that has occurred.

On Guidance: Management's move to a 5% top-line CAGR target is explicitly described by Ferrari's own management as a move toward *"extra reliability in financial forecasting"* rather than a genuine downgrade in demand expectations. Following front-loaded volume growth in 2021-23 as COVID-related catch-ups cleared the order book, Ferrari is now returning to its natural rhythm of strict volume control, particularly in markets like the UK where residual value protection takes precedence. This is Ferrari's typical playbook – it is not a warning sign. A company that manages to a demand ceiling it deliberately creates is doing exactly what it should.

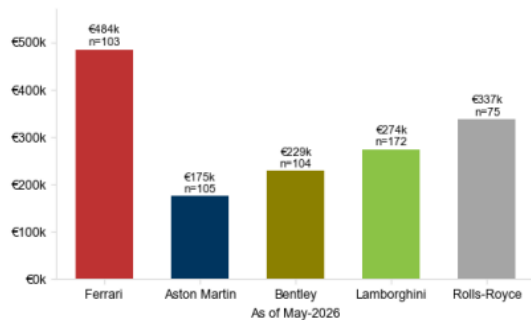
On Residual Values: The hybrid softness is real but not unique to Ferrari. Goldman Sachs' tracking data shows that McLaren's Artura – a direct V6 hybrid peer to the 296 family – also lists at or below retail price, **suggesting the weakness reflects a market-wide preference shift toward combustion engines rather than a Ferrari-specific brand problem.** The SF90 Stradale, Ferrari's flagship hybrid, lists approximately 14% below original retail, which is

Jaguar 3Q 2026 Outlook and Premium Ideas – June 29th, 2026

admittedly uncomfortable. But non-hybrid, higher-end, and convertible models remain resilient, with the F8 Spider (+28.9%), 812 GTS (+27.8%), and Purosangue commanding secondhand premiums well above retail. Ferrari continues to outperform Aston Martin, Bentley, Lamborghini, McLaren, and Rolls-Royce on median used-car listing price across the five key markets tracked. **The brand is intact.**

Exhibit 14: On an individual product level, we highlight that Ferrari's Purosangue clearly outperforms its closest peer, the Lamborghini Urus...

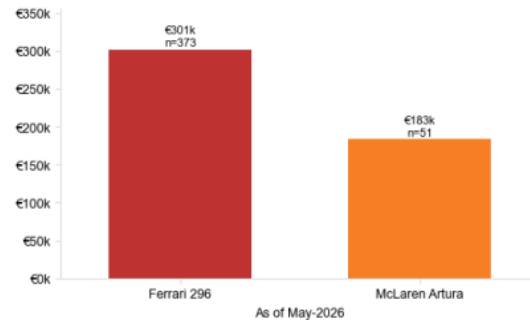
Average listing price of SUV models per brand (€k, as of latest month)



Source: Company websites, Goldman Sachs Global Investment Research

Exhibit 15: ...while both Ferrari's 296 and McLaren's Artura V6 hybrid on average list below retail price (c.€320k/€261k, respectively)

Average price of 296 listings (GTB/GTS) vs Artura average price (€k, as of latest month)



Source: Company websites, Goldman Sachs Global Investment Research

The Luce: A Brand-Identity Debate the Market Is Mispricing

Ferrari's first fully electric vehicle – the Luce – was revealed in Rome in late May 2026, and the market's reaction was severe. Shares fell approximately 8% in the days following the reveal. **The criticism centered not on the Luce's performance credentials – 1,036 horsepower, 0-100 km/h in 2.5 seconds, a top speed above 310 km/h, and more than 530 km of range are genuinely impressive figures – but on design.** The Luce is minimalist and futuristic in a way that departs radically from classic Ferrari visual language, and former Ferrari chairman Luca di Montezemolo's quote warning of destroying a myth was widely circulated and damaging.

Luce: the EV design dividing Ferrari fans

Exhibit 1: Ferrari Luce design: minimalist, futuristic and far from classic Ferrari
The Luce's controversial exterior design



Source: Ferrari

Exhibit 2: Luce rear design: more tech object than Ferrari drama The rear design of the Ferrari Luce



Source: Ferrari

BofA GLOBAL RESEARCH

Exhibit 3: Luce cockpit: Apple-like minimalism meets Ferrari tradition The Luce's cockpit design



Source: Ferrari

BofA GLOBAL RESEARCH

The contrarian reading here is important. Management was entirely deliberate about the design. CEO Benedetto Vigna's framing – that new technology demands design that visually represents that technology, and therefore the Luce must look different from an ICE Ferrari – is internally consistent and strategically coherent. The Luce is priced at €550,000 starting, with personalization likely bringing the effective price to €650,000 or above. That is broadly in line with Ferrari's global average selling price, meaning the Luce is not diluting average selling prices (ASPs). Ferrari has not guided to volume targets, and deliveries begin only in Q4 2026 with a modest initial run. The risk of a visible flop on one model within a rich product pipeline is manageable – Ferrari still has three additional models to unveil in 2026 after the Amalfi Spider and the Luce, and several of these are expected to lean back toward the ICE attributes dealers report their clients most want.

Critically, management positions the Luce as an additive range model designed to reach new demographics and geographies – particularly Asia and the Nordic markets, where BEV penetration is highest and a new, younger customer cohort is attainable without cannibalizing the existing ICE and PHEV buyer base. This is a portfolio expansion move, not a brand pivot. Ferrari explicitly reaffirmed its *"technological neutrality,"* confirming it will continue selling V12s and V8s to customers who want them, indefinitely.

The Product Pipeline: The Real Earnings Driver

While the Luce debate consumed investor attention recently, the more important story for near-term earnings is unfolding quietly in Ferrari's model changeover. Five models are approaching end-of-lifecycle in 2026 while six ramp up simultaneously. This is creating a transitional quarter-to-quarter noise that obscures the underlying quality of the growth story. Investors focused on unit shipments in any single quarter are looking at the wrong number.

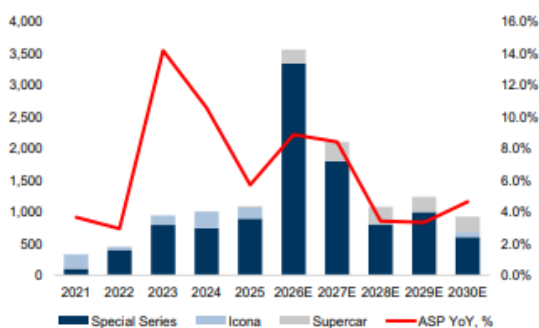
The metrics that matter are price/mix and personalization. Morgan Stanley models Q2 2026 price/mix at +7.5% Y/Y despite volumes declining 1% – a number that sits above consensus at +6.5%. Personalization remains elevated at approximately 20% of car revenue, a level that management says continues to surprise even internal expectations. These figures reflect the quality of the order book, not the quantity.

The F80, Ferrari's most significant new supercar launch in years, is ramping gradually and linearly through 2026. Morgan Stanley models 45 F80 units in Q2 2026, increasing through Q3, with a meaningful 2027 contribution as the model reaches full production velocity. Each F80 carries an ASP well above any range model, and the contribution to EBIT margin per unit is materially accretive. The 849 Testarossa and 296 Speciale family add further special-series volume in 2026-2027, and Goldman Sachs' model shows ASP growth accelerating materially in 2026-27 specifically because of this special series and supercar concentration.



Exhibit 1: While range model price increases and personalisation have driven ASP growth of late, FY26/27 should benefit from a large volume of Specials and the F80 supercar

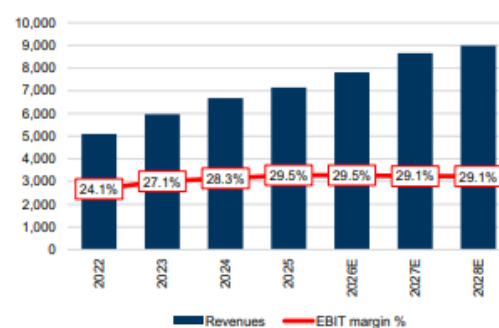
Special volumes (LHS, units); ASP change (RHS, % yoy)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: We expect meaningful top-line and margin expansion, driven by higher-priced, margin-accretive specials and supercar volumes

GSe revenue (€mn) and EBIT margin (%) development



Source: Company data, Goldman Sachs Global Investment Research

The K-Shaped Economy: Ferrari's Most Underappreciated Structural Shield

Morgan Stanley frames Ferrari as one of the cleanest listed exposures to the K-shaped economy, and the characterization is apt. Ferrari's demand is tied not to the aspirational luxury consumer – the person who buys a Rolex on a bonus year and returns the Porsche on a bad one – but to high-net-worth and ultra-high-net-worth individuals whose wealth creation is structurally divorced from economic cycles in the way that most luxury demand is not.

The HNW/UHNW wealth cohort has expanded significantly in recent years, driven by equity markets, private asset appreciation, and AI-linked wealth creation. Ferrari's order book draws disproportionately from this pool. These buyers are not financing their Ferrari; they

are allocating discretionary capital to a durable asset with a long waiting list and historically robust residual value. The scarcity is the point. Allocation discipline and multi-year waiting lists are features, not bugs, of Ferrari's revenue model.

This demand profile gives Ferrari a level of revenue visibility that BofA correctly notes most auto and luxury peers cannot match. Ferrari's order book stretches multiple years forward, filled by customers who have already committed and are waiting on production, not wavering on purchase intent. **This is not a company whose near-term revenue is exposed to consumer sentiment surveys or interest rate movements in the way a typical auto manufacturer would be.** The 2030 guidance of at least 30% EBIT margin remains, in BofA's view, conservative given the model pipeline and mix tailwinds ahead.

Dealer Feedback: Brand Strength Remains Intact

In mid-June, Morgan Stanley had the opportunity to speak with a handful of Ferrari dealers with operations in the United States and in Europe.

Feedback suggested that Ferrari's brand strength remains intact. The strongest products in the lineup today are the 12Cilindri, 296 Speciale and F80, all of which benefit from limited availability, strong customer enthusiasm and, in the case of the F80, expectations of substantial secondary-market premiums. Dealers also remain broadly positive on the Purosangue, although demand has normalized from the extraordinary levels seen at launch and the model is increasingly behaving like a mature Ferrari range product.



"The 12Cilindri is widely regarded by dealers as one of Ferrari's strongest current products and perhaps the purest expression of the themes that are resonating most strongly with customers today. Dealers repeatedly emphasized that naturally aspirated V12 Ferrari remain highly desirable and continue to benefit from growing customer interest in traditional internal-combustion powertrains. From a primary-market perspective, demand for the model remains robust, particularly for the Spider version. One dealer noted that Ferrari has effectively reached the end of the order bank for the model and described the car as one of the strongest contributors to current demand."

The 296 Speciale is one of the most positively received Ferrari launches of the recent past. Across all dealer discussions, the model was consistently cited as one of the strongest products in Ferrari's current portfolio, benefiting from limited availability, strong customer enthusiasm and Ferrari's historically successful special-series formula. Dealers reported that order books were effectively full from launch, with little evidence of customer hesitation despite the residual-value concerns that have affected the broader hybrid range."

Overall, dealers remain constructive on Ferrari's long-term positioning and see no evidence of weakening brand desirability. The key takeaway is that demand remains exceptionally strong for Ferrari's most exclusive, emotional and collectible products.

Option Flow

RACE 18 flow events · 4 HA entries · 2 research entries

Side: **All** Premium: **All** Sentiment: **Bullish** Qty > OI: **All** X Clear 8 shown

DATE	OPTION	DTE	QTY	PRICE	SIDE	PREMIUM	SENTIMENT	OPEN INTEREST	QTY > OI
2026-06-24	RACE Jun26 26th 350 Calls	2d	300	\$5.90	Near Ask	\$177K	BULLISH	26	Yes
2026-06-24	RACE Aug26 380 Calls	58d	176	\$10.30	On Ask	\$181K	BULLISH	224	–
2026-06-23	RACE Aug26 350 Calls	59d	160	\$20.10	On Ask	\$322K	BULLISH	253	–
2026-05-29	RACE Jul26 380 Calls	49d	209	\$6.50	On Ask	\$136K	BULLISH	128	Yes
2026-05-28	RACE Sep26 380 Calls	113d	193	\$14.00	On Ask	\$270K	BULLISH	178	Yes
2026-05-28	RACE Sep26 370 Calls	113d	82	\$16.60	On Ask	\$136K	BULLISH	16	Yes
2026-05-27	RACE Aug26 380 Calls	86d	164	\$7.50	On Ask	\$123K	BULLISH	27	Yes

The Final Word

Ferrari is trading at roughly 32x 2026 earnings and approximately 29x 2027 earnings based on Morgan Stanley's estimates – a significant discount to its historical premium multiple and to where Ferrari has consistently re-rated when the product cycle and earnings momentum align. The stock has de-rated approximately 30% from its highs on a combination of design controversy around one new model, residual value noise concentrated in two PHEV models, and a guidance reframe that management itself characterizes as a reliability move rather than a demand downgrade.

None of the bear case concerns have fundamentally altered the business. The order book extends multiple years. Personalization is running at 20% and surprising management to the upside. The F80 and special series pipeline will drive ASP accretion through 2026 and 2027 in a way that unit counts will systematically understate. Residual values are stabilizing. And Ferrari still has three additional model reveals in the second half of 2026 that could

meaningfully shift sentiment back toward the attributes the market most wants to see: scarcity, heritage, and emotional powertrains.

The consensus price target range across BofA (€350), Goldman Sachs (€383), and Morgan Stanley (€380) sits 22-25% above the current price as of late June 2026. The bull case at Morgan Stanley (€450) implies more than 40% upside if the new model launches deliver and the multiple returns toward historical norms.



Garrett Motion (GTX)

AI Summary: [Video](#) | [Slide Deck](#)

Garrett Motion designs, manufactures, and sells highly engineered turbochargers, air and fluid compressors, and high-speed electric motor technology. The company operates across two broad end markets – mobility and industrial – serving original equipment manufacturers (OEMs) and distributors worldwide. Headquartered in Rolle, Switzerland, Garrett is the world's #1 turbocharger supplier by volume, a position built over decades of engineering leadership dating back to its origins as a division of [Honeywell \(HON\)](#).

On the mobility side – which represents the bulk of current revenue – Garrett sells turbochargers to light vehicle and commercial vehicle OEMs, covering both on-highway and off-highway applications. Its customers here read like a who's who of global automakers: [Volkswagen Group](#), [Mercedes-Benz](#), [BMW](#), [Stellantis \(STLA\)](#), [Ford Motor \(F\)](#), [General Motors \(GM\)](#), and major commercial truck manufacturers across Europe, North America, and China. These are long-cycle, deeply integrated relationships – a turbocharger is engineered into a specific engine platform years before the vehicle ever hits a showroom floor, which means Garrett's revenue visibility is unusually strong relative to most auto suppliers. In aftermarket, the company also sells replacement turbos through a global distributor network, a higher-margin segment that tends to be stickier than OEM business given the massive installed base of turbocharged vehicles already on the road.

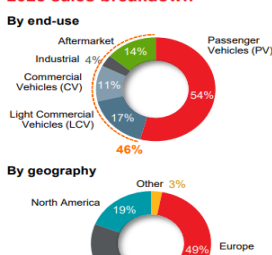
Beyond turbochargers, Garrett also sells electric-boosting products – namely its E-Turbo, which combines a traditional turbocharger with an integrated electric motor and power electronics. This positions the company in the 48V mild-hybrid architecture that automakers are leaning on as a cost-effective bridge to electrification. On the industrial side, Garrett is commercializing its oil-free centrifugal compressor technology – derived from aerospace engineering – targeting commercial HVAC, data center cooling, battery energy storage systems, and general industrial air compression. This segment is small today (approximately \$100M in 2025 revenue) but is the centerpiece of the company's long-term re-rating thesis, as we'll get into shortly.

High performance leader & innovation powerhouse

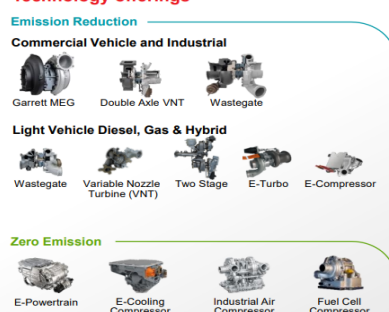
Key 2025 figures

#1 Global turbo player ¹	14.2% Adjusted EBIT margin ⁴
>50% Win rate ² of turbo business	2.0% CAPEX % of sales
~8,700 Employees ³	79% Adjusted Free Cash Flow conversion ⁴
13 Manufacturing plants	1.92x Net leverage ratio ⁴

2025 sales breakdown



Technology offerings



That's the business most investors know. However, the business most investors are missing is something else entirely.

The Turbo Narrative Is Wrong

Currently, the conventional "bear thesis" on GTX goes something like this: EVs are coming, ICE penetration will decline, and turbocharger volumes will follow. That's the "melting ice cube" story, and it was keeping Garrett's multiple compressed for years.

But Garrett's own data now directly contradicts this. Management has cut its 2030 BEV-penetration assumption from 41% to 27%, and **the company now expects turbocharger unit sales to be higher in 2035 than in 2025**. More than 60% of turbo sales are projected to come from non-light-vehicle applications by 2035 – commercial vehicles, off-highway, industrial – segments that are far stickier than consumer auto.

What this means for valuation is significant. If turbo volumes are flat-to-growing rather than structurally declining, GTX's terminal value and free-cash-flow-funded buyback optionality are materially under-modeled. The Street has been pricing in a death that keeps getting pushed out. As the company is forced to extend its legacy tail, re-rating pressure builds.

From Turbo Supplier to Industrial Compressor Platform

Even if you accept the ICE-fade thesis, **what you are completely missing is that Garrett has been building an entirely separate growth engine – and it's hiding in plain sight** inside investor day presentations and partnership announcements that most people skipped over.

The technology at the center of this pivot is Garrett's oil-free foil-bearing centrifugal compressor – essentially re-engineered aerospace technology being repurposed for commercial applications. This is not some side project. It's a product that is entering production with named, blue-chip partners on hard timelines.

For example, in February 2026, Garrett and **Trane Technologies (TT)** announced a strategic collaboration to roll Garrett's oil-free centrifugal compressor technology across Trane's commercial HVAC portfolio, with SOP scheduled for 2027. That was followed in April by a partnership with **Tonfy** – a supplier of battery energy storage systems – to develop liquid cooling solutions for BESS and high-density infrastructure, with mass production also targeted for 2027. Then in May, **Ingersoll Rand (IR)** came aboard with a multi-year partnership targeting industrial end markets including food & beverage and life sciences, with customer deliveries expected in late 2026 and broader commercialization in 2027.

Three major partnerships. Three separate end markets. All announced within roughly three months. A multi-customer validation of this scale transforms GTX from a turbo-decline story into an industrial growth platform. That's not incremental, that's a business model re-rating!

Bringing superior centrifugal foil bearing technology into HVAC

Scroll compressor vs. Garrett centrifugal



Garrett's technology advantage

- Higher energy efficiency and no degradation
- Oil free – no maintenance, worry free
- Ultra-low GWP refrigerant compatible
- Lower vibration & noise

Existing magnetic bearing vs. Garrett foil bearing



- Higher energy efficiency
- No need for complex and costly bearing controller
- Easier & lower cost to integrate in HVAC system
- Faster startup

© 2026 Garrett Motion Inc. 45

Garrett
ADVANCING MOTION

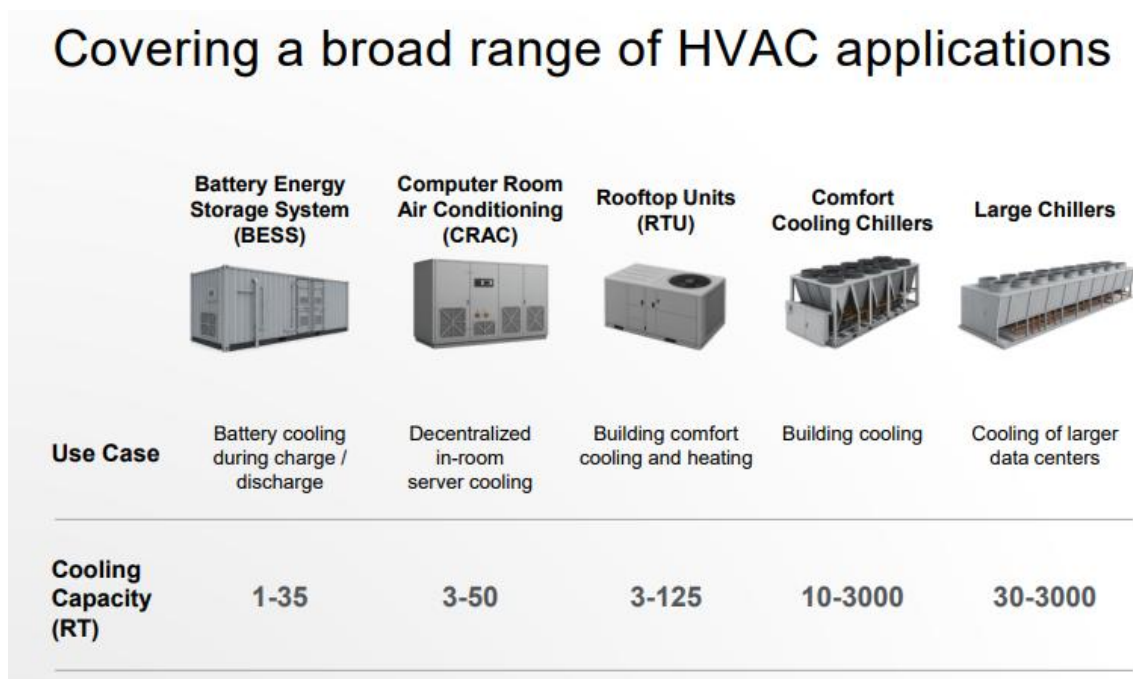
The AI Data Center Angle Nobody Is Talking About

Buried inside what looked like a routine turbocharger investor day in May 2026 was something genuinely surprising. Garrett is entering the AI data center cooling market. And not as an afterthought – as a targeted, management-guided growth vector with a quantified TAM and named customer interest.

Here's the setup: data centers are power-hungry beasts, and up to 50% of their energy consumption goes toward cooling. As AI-driven infrastructure buildout accelerates – GPU clusters, hyperscale facilities, edge computing – the cooling requirement is scaling with it. Garrett's oil-free compressor technology is directly applicable here, both for data center cooling systems and for the backup generator turbos that keep those facilities running when the grid hiccups.

Management has put numbers around this opportunity. Garrett's industrial segment was approximately \$100M in revenue in 2025. The target is over \$500M by 2030 and over \$850M by 2035 – a 20%+ CAGR. The addressable e-cooling TAM alone is flagged at approximately \$7B, with management noting "strong inbound customer testing interest" and deliberately stopping short of committing to win rates – signaling the \$7B figure is a floor, not a ceiling.

The data center backup generator opportunity is a separate, incremental vector. Garrett's turbomachinery expertise maps directly to gen-set turbos – and this is a market receiving enormous tailwinds from hyperscaler capex. This angle is essentially invisible in the current consensus model, which prices GTX purely on the turbo business.



Q1 2026: Did the Market Finally Get the Hint?

Shares of GTX closed up 24.9% following Q1 earnings – a move that tells you everything about how mispriced this stock was going in. The quarter itself was straightforward: net sales increased \$107M versus the prior year, up 12% on a reported basis and 6% on a constant currency basis.

The drivers were broad-based. Double-digit growth in commercial vehicles, industrial, and aftermarket contributed significantly. In North America, growth was led by off-highway, industrial, and aftermarket. Europe saw share-of-demand gains in both gasoline and diesel light vehicles, plus a recovery in off-highway applications. China grew primarily on industrial and on-highway volume. Management increased 2026 guidance, citing momentum in industrial applications and confidence in the pipeline of ZEV wins.

In my opinion, the reaction to earnings wasn't just about the numbers. It was the market beginning to price in the industrial story. With the Trane deal already announced and the TONFY partnership dropping during the earnings period, institutional investors got back-to-back proof points that Garrett's diversification isn't vaporware. The question now is how much of the full re-rating has already happened – and how much is still ahead.

Catalysts to Watch

There are several specific, time-stamped catalysts worth tracking. The Trane and Ingersoll Rand commercial rollouts are both targeted for late 2026 through 2027 SOP – early delivery announcements, order intake data, or revised TAM disclosures from either partner would be material. The Tonfy BESS integration has a 2027 mass-production target, and any acceleration of that timeline – particularly given China's aggressive battery storage buildout – could represent meaningful upside to the industrial segment model.

On the data center side, the key catalyst is customer conversion. Management used language like *"strong inbound customer testing interest"* – which typically means a handful of hyperscalers or major facility operators are kicking the tires. A named data center cooling win, particularly with a recognizable counterparty, would be the single most powerful re-rating event available to this stock. Watch Garrett's IR calendar closely in the second half of 2026 and into 2027.

Longer term, the 2030 target of >\$500M in industrial revenue represents the fulcrum. If management hits even 70% of that number, the blended multiple on GTX looks dramatically different from where it sits today – because that revenue stream carries software-like characteristics relative to automotive turbo content: stickier contracts, margin-accretive, and structurally growing.

Option Flow

Lastly, when looking at JaguarFlow, it's worth noting that throughout the month of May, we saw over \$1.5M worth of call options bought. More specifically:

- Buyer of 1,150 October 29th Calls for \$2.50 on May 7th, a \$287K bullish bet
- Buyer of 2,000 October 33 Calls for \$3.50 offer on May 13th, a \$700K bullish bet
- Buyer of 2,000 January (2027) 39 Calls for \$3.65 on May 21st, a \$730K bullish bet

DATE	OPTION	DTE	QTY	PRICE	SIDE	PREMIUM	SENTIMENT
2026-05-21	GTX Jan27 39.0 Calls	239d	2,000	\$3.65	Near Ask	\$730K	BULLISH
2026-05-13	GTX Oct26 33.0 Calls	156d	2,000	\$3.50	On Ask	\$700K	BULLISH
2026-05-07	GTX Oct26 29.0 Calls	162d	1,150	\$2.50	Near Ask	\$287K	BULLISH

GTX Garrett Motion Inc. Nasdaq GS

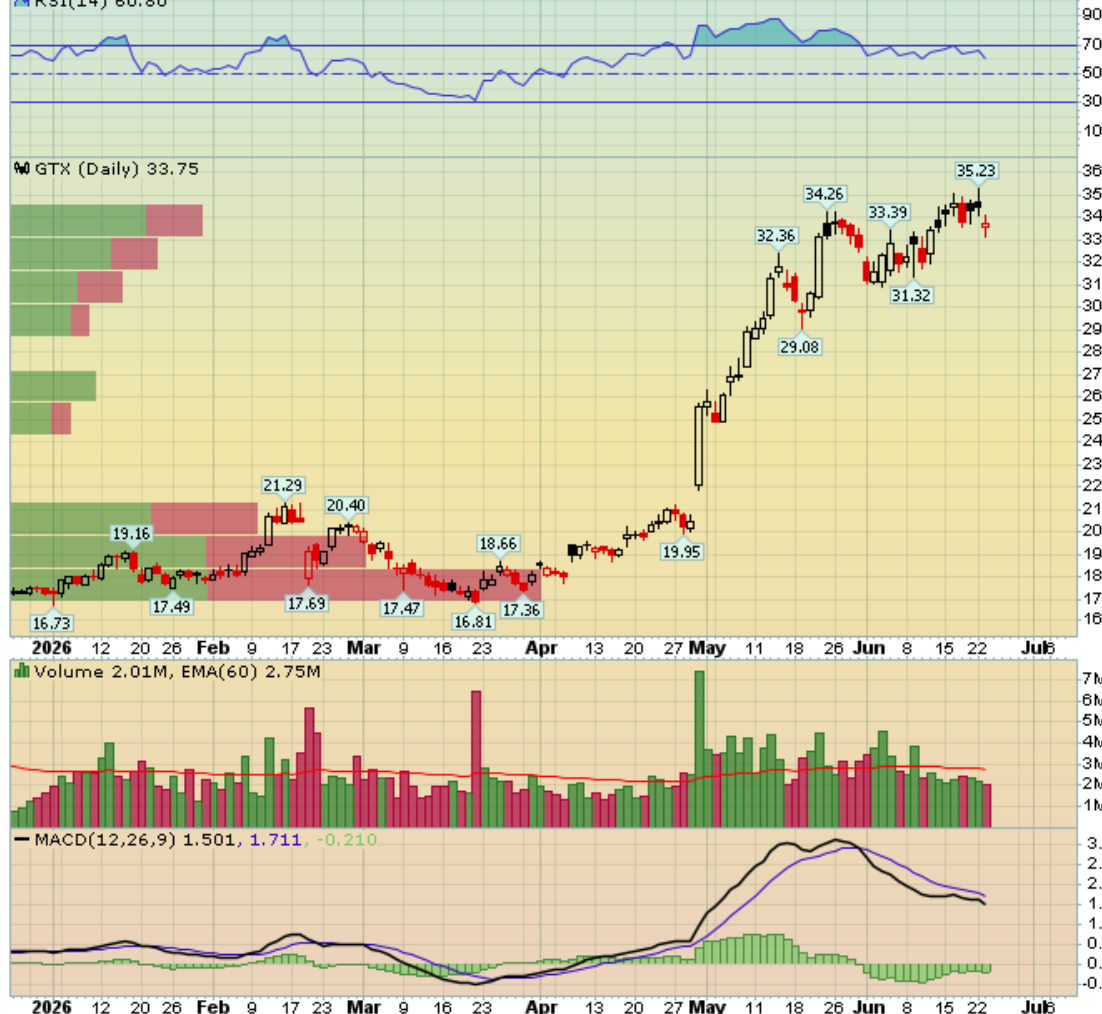
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Industrial / Industrial Suppliers

Tuesday 23-Jun-2026

Open: 33.57	Ask:	Mkt Cap: 6.31B	P/E: 19.74	▼ -2.15%
High: 34.07	Bid:	Fwd Dividend: 0.32	EPS: 1.71	Chg: -0.74
Low: 33.15	Last:	Fwd Yield: 0.95%	Last Earnings: 2026-04-30	Last: 33.75
Prev Close: 34.49	Optionable: yes	SCTR (MidCap): 95.8	Next Earnings: 2026-07-30	Volume: 2,008,370

RSI(14) 60.80



Intuitive Surgical (ISRG)

AI Summary: [Video](#) | [Slide Deck](#)

Intuitive Surgical is the market leader in soft-tissue robotic surgery. Headquartered in Sunnyvale, California, the company has spent three decades building what is arguably the most defensible franchise in medical technology: A robotic surgical platform so deeply embedded in hospital workflows, physician training, and clinical evidence that it functions less like a product and more like infrastructure.

The company's flagship product family is the [da Vinci Surgical System](#), now in its fifth generation (dV5), which enables surgeons to perform minimally invasive procedures through small incisions using robotic arms controlled from a console. The dV5 represents a significant capability leap over its predecessor, the Xi, incorporating an integrated insufflator, advanced 3D camera, force feedback instrumentation, and a growing software ecosystem including Case Insights, SimNow, and telepresence capabilities. A newer platform, the [SP \(Single Port\) System](#), addresses procedures requiring access through a single small incision and is gaining commercial traction. ISRG also markets [Ion](#), a flexible endoscopic platform for minimally invasive lung biopsy.

Revenue is generated across three streams: [Instruments & Accessories \(I&A\)](#), which is the recurring per-procedure consumable business and the highest-margin segment; [Systems](#), which reflects capital placements of da Vinci and Ion platforms; and [Services](#), which covers maintenance contracts and the emerging software subscription layer. In Q1 2026, total revenue reached \$2.77B (+23% Y/Y), with the installed base now exceeding 9,000 da Vinci systems worldwide and approximately 12% of those being the newer dV5. The company guided to 13.5-15.5% procedure volume growth for full-year 2026, the highest enterprise revenue growth rate among large-cap MedTech.



A 30% Drawdown on Wrong Narratives

Year-to-date, Intuitive Surgical is down nearly 30% with investor sentiment has centered around three overlapping fears: slowing procedure growth, instrument pricing headwinds from an extended-use program, and the creeping threat of remanufactured instruments from third-party competitors. Each of these concerns has very little validity. None of them, in our view, justifies the market's current level of pessimism – and that gap between perception and reality is where the opportunity lives.

The May 21st press release (See [HERE](#)) that triggered some of the drawdown announced two things that the Street has conflated into one frightening story. First, ISRG is extending the useful life of its Force Feedback instruments from 6 to 15 uses – a natural supply-side evolution with **no revenue-per-case impact**, as Goldman Sachs correctly notes. Second, the company is extending the useful life of core (non-Force Feedback) instruments, which will modestly reduce I&A revenue per procedure. That second point deserves scrutiny. The first does not deserve the panic it has received.

Force Feedback instruments are currently used in only 7-8% of dV5 procedures – which tells you how early we are in the adoption curve. These instruments carry a 20-30% price premium on a like-for-like basis. The constraint on wider adoption has been supply – not demand, not surgeon preference (which is reportedly high), not price sensitivity. Supply has been the bottleneck.

By extending instrument life from 6 to 15 uses (on five of the six Force Feedback instruments), ISRG gets triple the utility per unit with no change to the underlying cost profile. That's a gross margin tailwind. BofA's Vegas conference notes from May capture this clearly: As ISRG works down existing inventory of lower-life instruments through Q2 and Q3 and transitions to full 15-use supply, the company exits 2026 with meaningfully better Force Feedback availability and a positive margin story to go with it.

The penetration trajectory – from 7-8% today toward 15%+ of the installed base – represents a multi-year I&A revenue and margin driver. BofA estimates that growing dV5 to 15% of the installed base and Force Feedback to 35-50% of dV5 procedures adds approximately 1-2 points of benefit to total revenue per procedure, even as core instrument extension creates a modest headwind.

Another concern is the extended use program for core instruments. ISRG anticipates that by 2027, core instrument use counts will again increase, lowering per-procedure costs. One analyst models I&A revenue per procedure declining approximately -2.5% in 2027

Instrument Innovation

Instrument innovation plays a critical role in enabling consistent performance, improving durability, and supporting lower total cost to treat—advancements driven by ongoing investment in design, manufacturing at scale and data from millions of procedures.

• Force Feedback

Five of the six available Force Feedback instruments have had their number of uses increased from six to 15 (one instrument is cleared for 10 uses¹). These changes will enable Intuitive to fully meet customer demand and further invest in generating evidence that objective knowledge of applied forces in surgery will contribute to improved outcomes.

"Looking ahead, we expect that Force Feedback will play a central role in advancing augmented dexterity and automated instrument control," Jeddi added.

and -2% in 2028 as a result, noting a ~390bps gap between Street consensus revenue growth (13% for 2027) and the analyst's estimate of 9.1%.

But context is everything. The last comparable program occurred in October 2020, and rev/procedure fell from approximately \$1,950 to \$1,800 over two years. What happened next? Robotic penetration in general surgery accelerated from 16.5% in 2020 to 35% in 2024. General surgery procedure volume grew at roughly 25% annually. ISRG traded a modest per-procedure revenue haircut for explosive volume growth.

Also worth noting: management disclosed that the new Extended Use Program may include an unannounced component that lowers the price of certain instruments specifically to stimulate procedure volume in benign cases globally – a price-for-volume strategy that is not yet in consensus procedure models and could push procedure growth above current Street estimates.

Goldman Sachs makes the nuanced point that the underlying I&A tailwinds – dV5 Force Feedback mix uplift, growing advanced instrumentation, and SP System uptake – are real and measurable offsets. Goldman does not project any meaningful decline to consolidated I&A per procedure as a result of this announcement. We align with that view. The strategic playbook is the same as 2020: lower the cost per procedure, expand the addressable case population and care settings, compound the installed base.

The Competitive Moat: Wider Than the Bears Think

The Stifel surgical robotics expert discussion from June 21st is among the more useful primary research notes we've reviewed on this name. A 20-year industry veteran with senior executive experience at a European surgical robotics company stated emphatically: ISRG is "absolutely not" in trouble as new competitors emerge. In the U.S., he expects all other robotic competitors combined to capture a maximum of 15-20% market share over the next five years – meaning ISRG retains a floor of 80% in a market it currently dominates.



The competitive reality is that new platforms need roughly five years to secure meaningful clinical indication approvals. ISRG has FDA clearance across urology, gynecology, general surgery, colorectal, and more. **Medtronic's (MDT)** Hugo and **Johnson & Johnson's (JNJ)** Ottava are racing to close gaps in wristed energy devices, clip applicators, staplers, software, and peripheral components. Meanwhile, ISRG's dV5 just received its first 510(k) for automated instrument exchange – a tangible step toward procedural autonomy. **The capabilities gap is widening, not closing.**

On the remanufactured instrument concern, the Stifel expert is dismissive. The shift toward pay-per-click economics bundles instruments into per-procedure deals, removing the hospital's incentive to source instruments elsewhere. Longer instrument lives also narrow the cost gap between ISRG's per-use pricing and third-party alternatives. This is likely deliberate – a calculated move to drive cost-per-case down globally and protect volume, not a concession to competitive pressure.

Why the Volume Runway is Underappreciated

ISRG delivered Q1 2026 revenues of \$2.77B (+23% Y/Y), driven by I&A growth of 23% and systems growth of 23.5%. The company raised 2026 procedure volume guidance to 13.5-15.5%. Stifel notes this is **the highest enterprise revenue growth rate among large-cap MedTech.**

16%

Da Vinci Procedure growth Y/Y

12%

Da Vinci Installed base growth Y/Y

431

Da Vinci systems placed

\$2.77

Billion in revenue (23% Y/Y)

67.8%

Non-GAAP gross margin

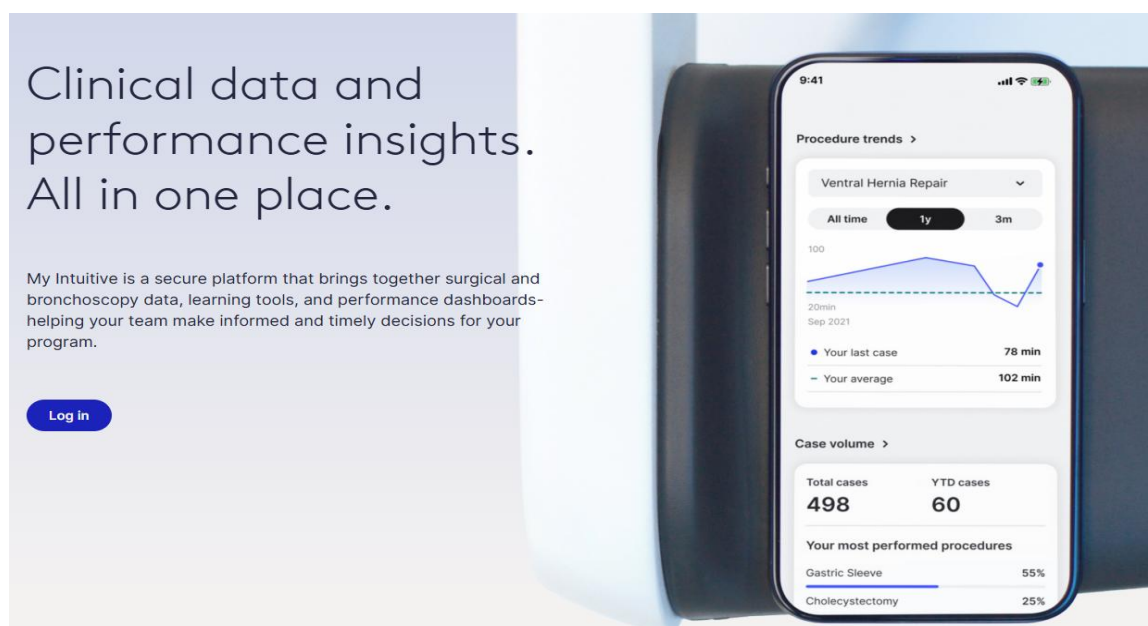
\$2.50

Non-GAAP EPS

The Stifel expert's long-term thesis is that all manual laparoscopic cases performed today could eventually be performed robotically, and that ISRG could **double its U.S. procedure volumes** over time by penetrating underpenetrated specialties and expanding into the ASC setting. The ASC is the most actionable near-term unlock. ISRG already holds patents on a bed-mounted ASC-specific robot – an unannounced form factor engineered to overcome

the footprint and storage barriers that have kept robots out of ASCs. Combined with the refurbished Xi (Xi-R) deployed under pay-per-click economics, this is a two-pronged ASC attack plan not yet priced in by the Street, which largely views ASC penetration as a multi-year aspirational TAM rather than an imminent product cycle.

The AI and data layer is underappreciated optionality that is starting to generate real revenue. Approximately 680 My Intuitive+ subscriptions (priced near \$40K per machine at list) come up for renewal at various points in Q2 2026, with at least one large customer renewing all of them. The wrinkle is that large fleets are now negotiating “network-based rates,” introducing a pricing-realization question on what is otherwise a high-margin software annuity layer. **~680 Q2 renewals represent a fresh recurring-revenue inflection point that the Street barely tracks.** Beyond Case Insights, ISRG is actively building toward intraoperative guidance using video, force feedback, insufflation, and energy datasets from dV5 cases. Telesurgery, subtask automation, and no-fly-zone features are on the product roadmap. The dV5 platform has capabilities that haven’t been turned on yet.



Hidden Angles: What the Street Is Missing

Turning to our Hidden Angles dashboard, several dynamics have surfaced that are not reflected in current consensus models. These deserve direct attention.

The \$1.128B Q1 2026 buyback – ISRG’s first significant repurchase since 2017 when the stock traded around \$80 – is a high-conviction insider signal. ISRG management has historically bought back stock only when it views the shares as materially undervalued relative to long-term intrinsic value. The buyback authorization was recently increased to \$5B. **A rare ISRG buyback at current prices, at a company that has historically abstained**

from repurchases, is one of the clearest management-level endorsements of the valuation thesis.

The ASC bed-mounted robot patent is a concrete product signal. Patents on a bed-mounted ASC-specific robot suggest a yet-unannounced form factor specifically engineered to solve the footprint and storage barriers blocking ASC penetration. Combined with Xi-R pay-per-click placements, ISRG's ASC strategy is more developed than what appears in any press release or earnings call, and the Street is not modeling it as a near-term product cycle.

The unannounced EUP instrument price cut – Disclosed beyond the public Quintuple Aim press release – is designed to accelerate benign-procedure volumes globally. This component is not in Street procedure estimates. If it drives procedure growth above consensus the way the 2020 EUP did, the revenue growth story looks very different from the consensus case that currently assumes a clean -2.5%/-2% I&A headwind in 2027/2028.

ISRG 9 flow events · 14 HA entries · 9 research entries

Side: **All** Premium: **All** Sentiment: **Bullish** Qty > OI: **All** X Clear 3 shown

DATE	OPTION	DTE	QTY	PRICE	SIDE	PREMIUM	SENTIMENT	OPEN INTEREST	QTY > OI
2026-06-23	ISRG Sep26 520 Calls	87d	440	\$3.30	Near Ask	\$145K	BULLISH	416	Yes
2026-05-22	ISRG Jul26 450 Calls	56d	950	\$18.18	Near Ask	\$1.7M	BULLISH	335	Yes
2026-04-22	ISRG Jul26 575 Calls	86d	416	\$5.60	On Ask	\$233K	BULLISH	45	Yes

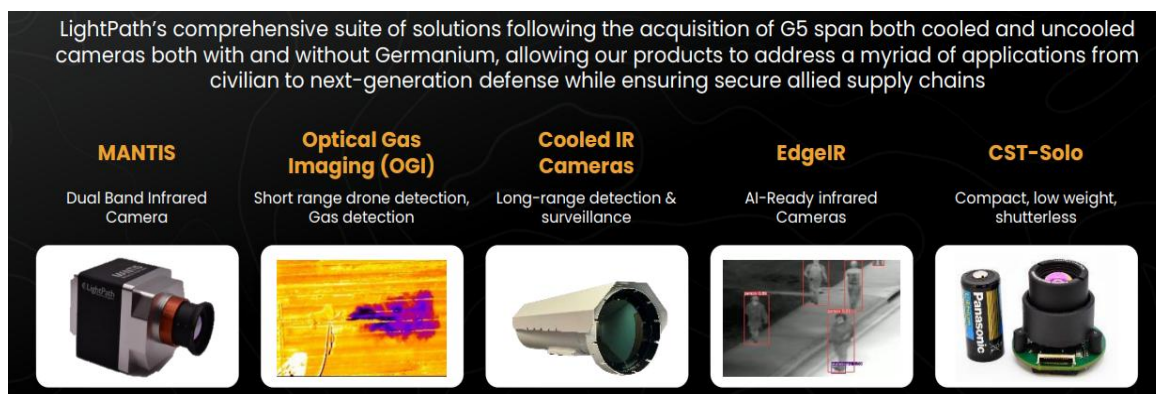


LightPath Technologies (LPTH)

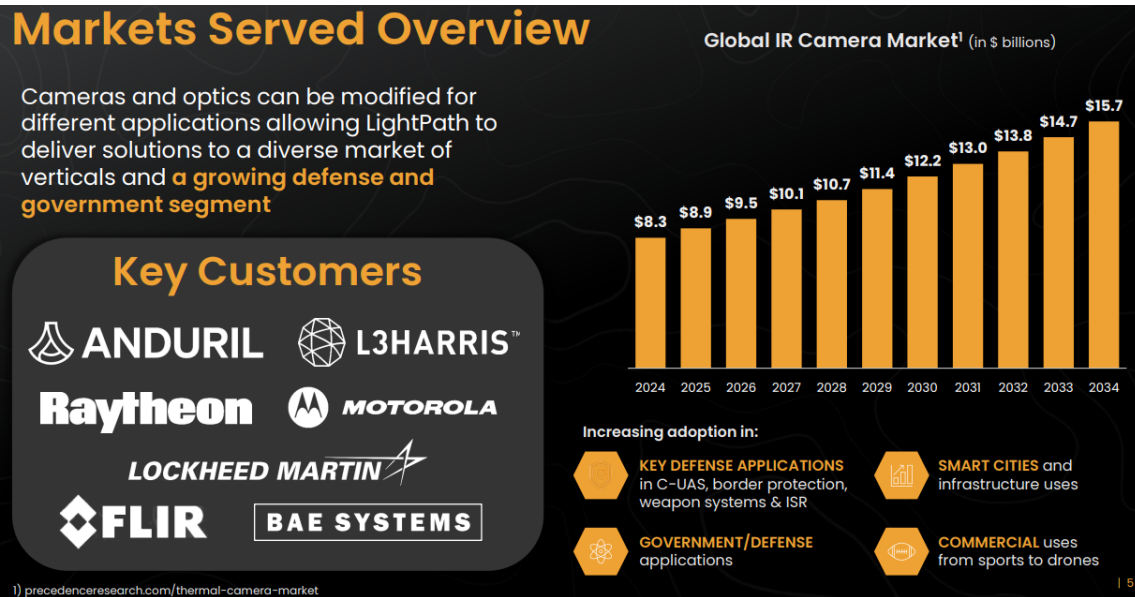
AI Summary: [Video](#) | [Slide Deck](#)

LightPath Technologies is a global manufacturer and integrator of proprietary optical components, infrared thermal imaging systems, and advanced optical materials. The company designs, manufactures, and sells products across a wide range of end markets – defense, public safety, industrial, telecom, and medical – with defense now accounting for more than half of total revenues and growing. Headquartered in Orlando, Florida, LightPath is a vertically integrated manufacturer, meaning it controls the full production chain from raw material melting through lens molding, assembly, and final system integration.

The product portfolio spans three interconnected categories. First, precision optical components: lenses, windows, prisms, and assemblies used in everything from missile guidance systems to industrial cameras. Second, infrared and thermal imaging systems: complete uncooled and cooled camera cores, lens assemblies, and integrated surveillance systems including the G5 Infrared long-range camera platform (acquired approximately one year ago), the MANTIS line of industrial furnace cameras, and the AI-integrated EdgeIR camera module. Third, and most strategically significant, advanced optical materials – specifically its proprietary BlackDiamond chalcogenide glass, which the company manufactures exclusively in-house using a license from the U.S. Naval Research Laboratory.



LightPath's customers skew heavily toward defense primes, government agencies, and systems integrators. On the defense side, it supplies optical components and assemblies for programs including Navy SPEIR, Air Force Counter-UAS platforms (SEWADS), border surveillance systems operated by U.S. Customs and Border Protection, and multiple missile programs currently in production rate ramp. On the commercial side, customers include industrial manufacturers, utilities operators, and telecom infrastructure providers. The mix has been shifting decisively toward defense – and management is leaning into it.



BlackDiamond: The Germanium Killer

To understand the LightPath thesis, you need to understand one material: **BlackDiamond**. Historically, the highest-performance infrared optics – the lenses used in night vision goggles, thermal drone cameras, and missile guidance systems – relied heavily on Germanium, a crystalline metalloid with exceptional infrared transmission properties. There is one problem with Germanium: China controls roughly 80% of the global supply. In August 2023, China began restricting Germanium exports as part of its broader critical minerals retaliation playbook. Prices have since escalated dramatically.

As of early 2026, Germanium was trading at approximately \$8,597 per kilogram. LightPath's BlackDiamond glass became cost-competitive with Germanium at roughly \$2,000 per kilogram – a threshold it crossed years ago. That gap has now widened to more than 4x, and it is structural, not cyclical. BlackDiamond is a direct optical substitute for Germanium in infrared applications and it is manufactured entirely in Orlando using domestically sourced raw materials, and it is 100% NDAA-compliant and ITAR-qualified. **For U.S. defense programs that cannot source from China and cannot justify Germanium's current price point, BlackDiamond is not just the best option – it is increasingly the only viable option.**

The competitive moat here is genuinely unusual. LightPath does not just distribute BlackDiamond glass – it melts the raw chalcogenide materials and molds finished lenses in-house. Competitors cannot easily replicate this process without the NRL license, the manufacturing equipment, and the years of process refinement LightPath has accumulated. **As Germanium prices remain elevated and U.S. defense procurement increasingly demands domestic supply chain compliance, the addressable market for BlackDiamond-based optics is expanding faster than the Street's revenue models reflect.**

Proprietary BlackDiamond™ Glass

Securing America's IR Optics Supply Chains

BlackDiamond Chalcogenide Glass – Licensed from the U.S. Naval Research Lab.
– Offers a Germanium Free IR Optics Solution to the U.S. Defense Industry



Alternative to Germanium
Provides an alternative for use of Germanium and Gallium in optics

SWAP-C
More Materials Mean More Choices
More degrees of freedom for designers lead to smaller, lighter systems



Made in the USA
BlackDiamond glass is produced in Orlando, FL and are made of materials easily sourced from friendly countries



True Multispectral
The new materials operate across entire infrared spectrum, enabling true multispectral imaging with a single camera



Scalable Capacity
Increasing capacity requires only more furnaces, which are made in the USA



BlackDiamond™ Redesign Underway
LightPath engineers are actively transitioning G5's cooled cameras to the use of BlackDiamond™ glass in place of Germanium



The Defense Ramp: Multiple Programs, Accelerating Simultaneously

LightPath is not just a one-program story. It has simultaneous exposure to several defense vectors that are each independently accelerating – and the combination is creating a backlog growth dynamic that consensus models have been slow to incorporate.

The highest-profile near-term catalyst is the airborne BlackDiamond-based defense system that has completed qualification and is positioned for a contract award by late summer or early autumn 2026. This is a specific, management-confirmed timing signal that has not been widely publicized. The program involves an airborne system that replaces an existing component with a BlackDiamond-based alternative offering materially better optical performance. Qualification completion is the final technical gate before award – meaning this is not speculative pipeline. It is a program at the one-yard line.

Counter-UAS is a second, separately growing vector. LightPath's backlog in Counter-UAS has grown to approximately \$30M, tied primarily to Air Force SEWADS programs. Management has now explicitly claimed leading U.S. supplier status for drone optical-assembly payloads – a positioning statement that represents an entirely new commercial identity for LPTH versus how the Street has historically modeled the company.

The drone surveillance and interdiction market is receiving significant incremental budget allocation, and LightPath's combination of BlackDiamond optics, G5 long-range cameras, and domestic supply chain compliance makes it a natural beneficiary.

C-UAS: Counter-Unmanned Aircraft System

Best-in-Class Thermal Camera Systems for Drone Detection, Identification and Tracking



RWS – Integration into Directed Energy Weapon Systems

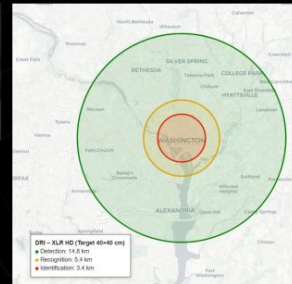


RWS – Integration into Remote Weapon Systems



SUADS – Small Unmanned Air Defense Systems
Program of Record

Illustrative Detection Ranges for a DJI Phantom Drone around Washington DC using our 1000 series camera



13

On the missile side, management disclosed that every missile program LightPath is currently on is running at triple its prior production rate. These are not pilot programs or low-rate initial production contracts – they are scaling. Navy SPEIR is on schedule. New orders are anticipated following the release of the new federal budget. The cadence of defense program activity across LightPath's portfolio is the highest in the company's history, and the order intake data is beginning to confirm it.

\$103M Backlog, G5 Traction, and a Space TAM Nobody Has Modeled

In February 2026, LightPath reported a backlog of approximately \$98M on its earnings call. Three weeks later, at an analyst day facility tour, management disclosed the backlog had grown to \$103M – a 5% increase in less than a month. That rate of order intake acceleration is a signal that demand is building faster than the production ramp, which is typically what precedes a step-function revenue revision.

The backlog composition matters as much as the size. Approximately 85% is concentrated in security and defense. Roughly 70% is expected to be recognized in calendar year 2026, providing unusually strong near-term revenue visibility. And management explicitly stated at the investor day that current Street revenue estimates are understating future revenue given a pipeline with multiple \$10M-plus annual opportunities not yet in consensus models. Management calling out Street underestimates directly, with a specific defense and space demand backdrop, is a high-signal forward indicator.

The G5 Infrared acquisition, completed roughly one year ago, has already proven itself. In the twelve months since acquisition, G5 has booked more than \$100M in new orders, driven by border patrol and Counter-UAS tailwinds. LightPath is now redesigning the G5 camera line to use BlackDiamond glass in place of Germanium – a redesign that will both

reduce component cost and enhance NDAA compliance. Remarkably, even before the redesigned cameras entered production, the company had already received an influx of orders for them. Management's language on this was pointed: before starting real production on the new design, they already knew they would need to add capacity. That is demand-pull at a level that is difficult to manufacture.

What is G5 Infrared?

G5 is LightPath's advanced infrared platform, developed to deliver consistent, high-quality imaging across the most demanding applications. Acquired by LightPath in 2025, G5 brings decades of engineering expertise, vertical integration, and proprietary thin-film coatings into our portfolio.



The newest and least-modeled growth vector is space. At the analyst day, LightPath disclosed a newly acquired capability to produce lenses up to 17 inches in diameter – a specification that directly opens the satellite space telescope addressable market. The average cost of an infrared satellite is approximately \$48M, with the optical payload representing roughly \$16M of that. With BlackDiamond's NDAA compliance and LightPath's domestic manufacturing credentials, this is a TAM expansion that does not appear in a single sell-side model.

The Industrial Layer: Underappreciated Margin Contributor

While defense commands the attention, LightPath's industrial segment also deserves a mention as an underappreciated margin contributor. The MANTIS line of furnace cameras – used in power plants, steel mills, and heavy industrial facilities to monitor high-temperature processes – sells for approximately \$30,000 per unit. These are not commodity sensors. They are purpose-built thermal imaging systems with recurring replacement and upgrade cycles, and they benefit from the same BlackDiamond optics cost advantage that drives the defense business.

Industrial Applications

Mantis cameras are used to monitor high-temperature processes inside boilers and furnaces in power plants, while OGI cameras are used to detect gas leaks in energy production

- Environmental regulations in the US and Europe** are dramatically increasing in scope and complexity, requiring increasingly precise solutions for compliance and monitoring of the roughly 60% of generated power that comes from fossil fuels.
- Solution can be tailored** to monitor processes and allow precise environmental compliance controls and emissions tracking.
- Provides more accurate and reliable monitoring of extreme-temperature processes** across a much larger range of temperatures than current technology, enhancing process safety and efficiency for customers.

The industrial opportunity does not move the needle in the near term the way defense program wins do, but it matters for the long-term margin story. As LightPath scales production volume on its BlackDiamond glass operations, fixed-cost leverage accretes to the bottom line across all end markets. The industrial business effectively rides that cost curve for free, improving margin on a product line that management has identified as having meaningful expansion potential in the power generation and factory automation segments.

JaguarFlow

Finally, when looking at JaguarFlow, we have recently started to see a pick-up in call buying. On May 22nd, there was a buyer of 290+ December out-of-the-money 20 Calls for \$5.12, a \$149K bullish bet. On May 28th, there was a buyer of 300 January (2027) way out-of-the-money 30 Calls for \$4.95, a \$149K bullish bet. Then, most recently on June 5th, there was a buyer of 300 September 15 Calls or \$3.90 offer, a \$117K bullish bet.

DATE	OPTION	DTE	QTY	PRICE	SIDE	PREMIUM	SENTIMENT	OPEN INTEREST
2026-06-05	LPTH Sep26 15.0 Calls	185d	388	\$3.98	On Ask	\$117K	BULLISH	1,135
2026-05-28	LPTH Jan27 30.0 Calls	232d	388	\$4.95	Near Ask	\$149K	BULLISH	328
2026-05-22	LPTH Dec26 20.0 Calls	218d	292	\$5.12	Near Ask	\$149K	BULLISH	26



Liquidity Services (LQDT)

AI Summary: [Video](#) | [Slide Deck](#)

Liquidity Services provides surplus inventory management services for retailers, industrial companies, and government organizations. The company operates the world's largest B2B e-commerce marketplace for surplus assets, offering reverse supply chain solutions to monetize excess inventory, manage returns, and optimize equipment recovery. Their two main sources of revenue come from charging fees to take on overstock and unsold returned goods, and taking a percentage cut of transactions upon finding a buyer for that surplus. They also have a growing public sector business, helping local, state, and federal government agencies to auction real estate and surplus/seized assets.

FROM IDENTIFICATION THROUGH REMOVAL, WE HAVE YOU COVERED



SURPLUS MANAGEMENT

Effective surplus asset management helps you contain costs, optimize use of resources, and make smart investment recovery decisions that further sustainability initiatives.



ASSET SALES & MARKETING

Liquidity Services leverages a wide range of strategies to ensure your surplus are sold through the right channels to the right buyers for the highest recovery value.



ASSET VALUATION

We have the most experience, the strongest commitment to service, and the proven ability to empower better decision making with market and asset insights.

Liquidation is a Counter-cyclical Business and a Beneficiary of Front-running

Liquidation services tend to thrive during bearish inflection points of the economic cycle. Because when economies begin to turn for the worse, it naturally increases the supply of surplus and distressed assets as companies start realizing en masse that they may have ordered too much inventory, with peak demand in the rearview mirror. Moreover, if things escalate and companies end up downsizing, declaring bankruptcy, or seeking cost-saving measures, they will need to quickly liquidate their idle inventory and equipment into cash.

As it relates to the present context, we are currently in a period where many companies have attempted to front-run tariffs and subsequently, container shipping disruptions stemming from the war with Iran, by taking on higher-than-usual levels of inventory. Monthly Manufacturing PMI survey data as well as government export data have shown a counter-intuitive spike in manufacturing output and outbound shipments across the globe

since the Middle East war began in March, primarily attributed to a sharp acceleration in new orders from western hemisphere customers.

J.P.Morgan Global Manufacturing PMI®

Global manufacturing production rises at quicker pace amid boost from price and supply concerns

May 2026

Output growth at near five-year high...

...boosted by clients front-loading orders to avoid rising prices and supply delays

Input costs rise at fastest pace since June 2022

PMI data signalled that growth of global manufacturing production accelerated to a near five-year high in May. There remained doubts about sustaining the upturn, however, amid reports of clients front-loading purchases to mitigate expected price rises and supply chain disruption.

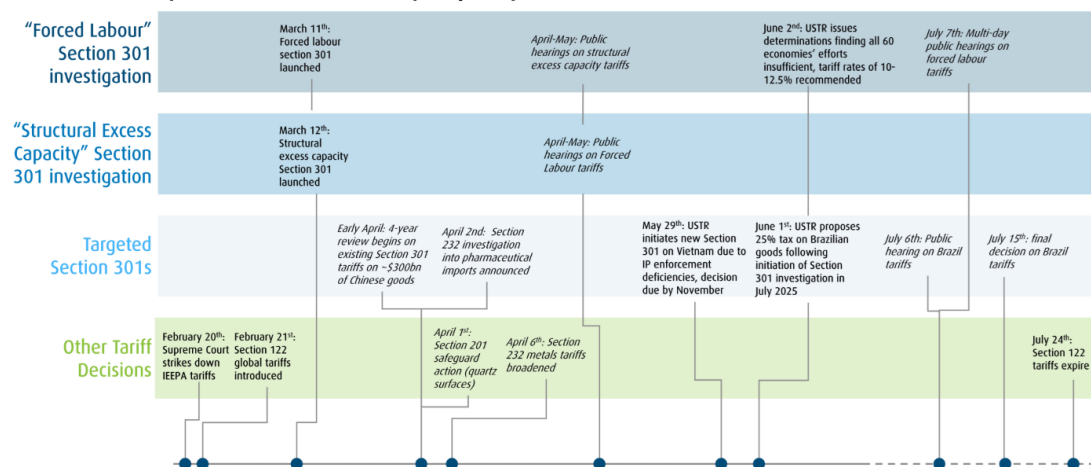


Looking ahead, we believe this front-running will be exacerbated in the near-future by the White House's newly announced Section 301 investigations into "Forced Labor Practices" and "Structural Excess Capacity", which have led to the USTR proposing fresh new tariffs of up to 12.5% on 59 countries and the EU. According to **BMO Capital**:

"We see a very strong chance that a quasi-universal tariff of ~20-25% is likely to emerge in the USA in the second half of 2026 as a result of the Section 301 investigations, something which is not currently on many analysts' radars. The result could be a return to the commodity frontloading market dynamics seen in the run-up to Liberation Day ... The Section 301 investigations have progressed with remarkable speed, with the USTR already making the recommendation of a blanket 10-12.5% tariff as a result of the "forced labor" investigation. We believe that the Administration likely sees these Section 301 tariffs as a natural replacement of the IEEPA liberation day tariffs. Assuming a similar 10-12.5% tariff recommendation arises from the "structural excess capacity" investigation, it is very likely that a quasi-universal tariff of 20-25% will be in place on US imports for much of H2 2026."

Alongside the above investigations, the Trump administration has also progressed tariff rulings in other areas. There have been several major Section 232 expansions rolled out in recent months, including a new investigation into pharmaceuticals imports (up to 100% on certain patented drugs) and a sweeping increase of metal tariffs (raising steel, aluminum, and copper duties to 50% and broadening their scope). The White House has also progressed two country-specific investigations against Brazil and Vietnam, alleging that Vietnam's deficiencies in enforcing IP law are damaging US businesses and bringing a wide range of accusations against Brazil related to digital services, preferential tariffs, IP protection, and even deforestation.

Exhibit 2 - The Trump administration has moved quickly to replace the IEEPA tariff base



Source: BMO Capital Markets

All of this will open up companies to the risk of a spike in unsold inventory as consumers begin to pull back on spending due to inflation and high gas prices, thus providing a strong tailwind for Liquidity Services. Evidence of this dynamic can be seen playing out in the company's fiscal Q2 earnings report on May 7th. EPS came in at 39 cents, about 40% above the Street forecast of just 28 cents, while their EBITDA grew by 37% YoY, which is clear evidence of negotiating power over their handling fees. Additionally, **as shown below, the company reported unusually strong double-digit YoY growth in GMV and transactions across all three of their major marketplaces**, with their total ecosystem now capturing over 6M qualified buyers and more than 15,000 corporate and government sellers worldwide.

Liquidity Services Marketplace Success

Q2-26 total marketplace growth over the prior year included

- D2C GMV increased 41% YoY
- Heavy equipment category GMV up 14% YoY
- +9% Completed Transactions
- +8% Buyer Registrations
- Eclipsed 6.3 million Registered Buyers

LIQUIDITY A Better Future for Surplus

Marketplace	Q2-FY26 Marketplace Highlights
AllSurplus	• +14% Buyer Registrations • 17% YoY GMV Growth in the Energy category
GovDeals (incl. Bid4Assets and Sierra)	• +17% Registered Buyers • +13% Completed Transactions • +12% Auction Participants
Liquidation.com	• +29% YoY RSCG Segment Direct Profit growth • +2% Buyer Registration

Of note, CEO William Angrick would state in the earnings call: **"Our Retail segment GMV was up 29% year-over-year as higher consignment flows in our Retail segment were driven by several top 20 retail accounts following the peak holiday return season. Our D2C**

marketplace, Retail Rush, more than doubled its GMV sequentially during Q2 and continues to establish new records on a month-over-month basis ... Our guidance for the fiscal third quarter of 2026 anticipates year-over-year growth to continue and includes execution on the strong pipeline at CAG, including in energy and continued high volume in our Retail segment despite coming off its seasonally high fiscal second quarter while expecting some mix shift in product flows sequentially."

Crucially, with regards to the back half of 2026, Angrick would also go on to mention that "corporate restructuring budgets typically finalize mid-year", and will be expected to further drive rising volumes of heavy equipment and retail returns onto their CAG (Corporate Asset Group) and Retail Supply Chain Group (RSCG) platforms during Q3 and Q4.

Self-Service Model Expansion = Margin Expansion

Another reason we are making Liquidity Services a Top Pick is that there is also a powerful self-help story at play. Less than two years ago, the company was still predominately operating on a traditional offline consignment model, in which they were completely responsible for the physical collection and warehousing, as well as the auctioning of all the surplus assets. Doing all of the heavy lifting themselves, essentially. In fact, prior to 2021, they didn't even have any sort of online B2B and B2C platform that could automate and simplify some of those processes.

But the good news is that they have finally begun to innovate with the introduction of their online Self-Service platform, which allows their customers to remotely self-handle their own photography, descriptions, and the uploading of all their surplus products into Liquidity Services' marketplace. This essentially takes away most of the physical responsibilities from the company while also granting a greater sense of autonomy to these businesses.



MAXIMIZE RECOVERY

Proven marketing and sales strategies promote your goods to millions of surplus buyers, driving maximum recovery.

SELL ITEMS FASTER

Expect sales times measured in days, not weeks. Listing items yourself allows you to get inventory into our auctions and sold more quickly.

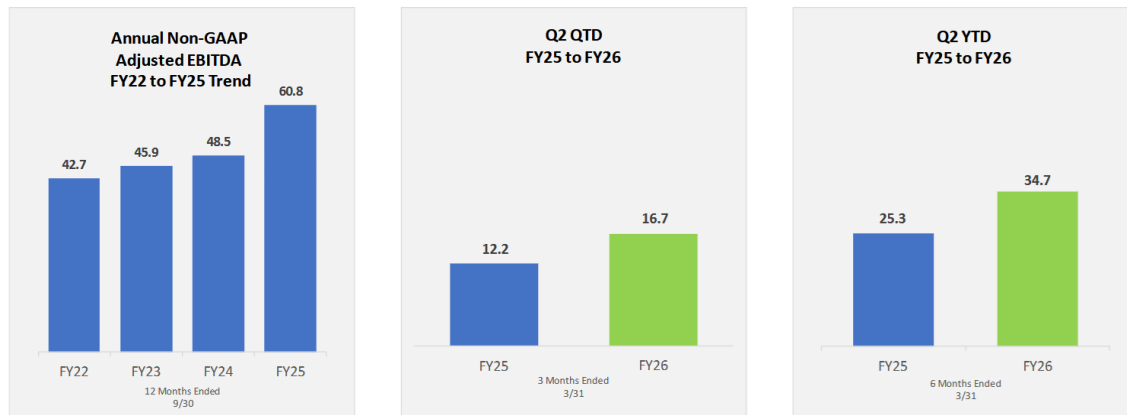
REDUCE OPERATIONAL COSTS

By outsourcing the bulk of surplus inventory management – from sale preparation through fulfillment – you'll significantly reduce program costs.

EXPERIENCE AN IMPACTFUL PARTNERSHIP

You'll have a dedicated account manager to solve all your problems, and you'll benefit from our decades of surplus inventory expertise.

Importantly, this has helped Liquidity Services transfer a large portion of their operating expenses to their customer, resulting in a **near 100% gross margin** for products getting marketed and sold through this online platform. Since the company is now providing the software and buyer networks as opposed to maintaining a large/expensive logistics team and internal warehouses, they are now able to capture a significantly higher percentage of the final sale price directly as high-margin, fee-based revenue. **This is the primary reason why EBITDA shot up by 25% to \$60.8M in FY 2025, and has continued to expand at a rapid pace (30%+ YoY) through the current fiscal year.**



And the story gets even better... According to past management commentary, when Self-Service adoption grows to exceed >80% of total GMV, incremental EBITDA margin expansion will begin to outpace the revenue growth on a consolidated basis. In other words, EBITDA will be able to continue expanding at a rapid pace even if revenue growth doesn't accelerate. Thus, it's worth noting that **they breached that threshold in fiscal Q2 (ended March 31st), with Self-Service transactions now accounting for 81% of consolidated GMV. And for Q3, management is guiding consignment GMV to represent a "low-to-mid eighties" as a percentage of total GMV.** This means we are now right at that critical inflection point in profitability. We fully expect the **LQDT** shares (currently trading at just ~13x EBITDA) to re-rate over the coming months as a result.

GovDeals Will See Robust Activity in Q3

As mentioned at the start, Liquidity Services also has another critical growth engine: a budding public sector business. At present, municipalities and local governments are increasingly shifting away from offline physical auctions toward Liquidity Services' GovDeals online marketplace in order to maximize their recovery values on retired vehicle fleets, heavy machinery, and real estate.

Why the shift? From the state's point of view, there are two major drawbacks to traditional physical auctions: a limited bidder base and a lack of bidding competition. Both suppress recovery values, as they frequently force governments to engage in "fire-sale" pricing with assets sold for well below their true secondary-market fair value. GovDeals helps to eliminate these problems by helping these governments price their assets at closer to fair market value compared to a fire sale, while also getting rid of expenses associated with having to promote and stage their own live auctions several times a year.



When government agencies face the dilemma of how to navigate the waters of surplus disposition, GovDeals is a lifeline to help manage the sale of their surplus inventory. GovDeals prevents this process from becoming a drag on government time and resources.

GovDeals is a complete and sustainable solution specifically created for, and dedicated to, government agencies and their surplus disposition. With over 15,000 sellers utilizing the GovDeals online auction platform, GovDeals has completed over \$4 billion in sales achieved by selling directly to our more than 1 million registered buyers. Our online auction platform regularly generates higher net returns by delivering true market values.

GovDeals is powered by the most experienced and trusted company in the surplus industry - Liquidity Services.

Recently, Liquidity Services expanded GovDeals' capabilities to facilitate the auctioning of judicial foreclosure, tax sales, and surplus public land as a result of fully integrating their acquisition of Bid4Assets. This represents a significant moat as government land sales require strict legal compliance, verified fund escrow, and transparent bidding logs. The Bid4Assets platform digitizes the entire workflow (from title clearance tracking to final payment settlement), which helps authorities mitigate the risk of local bid-rigging and procedural mishaps.

In fiscal Q2, the company's real estate auction volumes grew by more than 20% YoY, with an industry-leading margin of 93%. Management would later mention at the Craig-Hallum Institutional Investor Conference on May 28th:

"As municipal budgets face pressure from sunseting federal stimulus and softening local tax revenues, clearing backlogs of tax-delinquent properties becomes a fiscal priority. Moving these auctions online increases clearance rates by roughly 12%, returning idle real estate to local tax rolls significantly faster than traditional bureaucratic foreclosure channels."

Looking ahead, it's important to keep in mind that public sector procurement cycles typically accelerate ahead of fiscal year-ends and new budget periods in the fall. Thus, we believe the upcoming quarter is seasonally poised to exhibit robust GMV acceleration within the GovDeals segment. This is yet another reason why we have made LQDT a Jaguar Top Pick.

LQDT Liquidity Services Inc. Nasdaq GS

Consumer Discretionary / Broadline Retailers

Open: **38.25** Ask: Mkt Cap: **1.21B** P/E: **42.05**
 High: **39.20** Bid: Fwd Dividend: **N/A** EPS: **0.93**
 Low: **37.53** Last: Fwd Yield: **N/A** Last Earnings: **2026-05-07**
 Prev Close: **38.14** Optionable: **yes** SCTR (SmlCap): **82.3** Next Earnings: **2026-08-06**

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Friday 26-Jun-2026

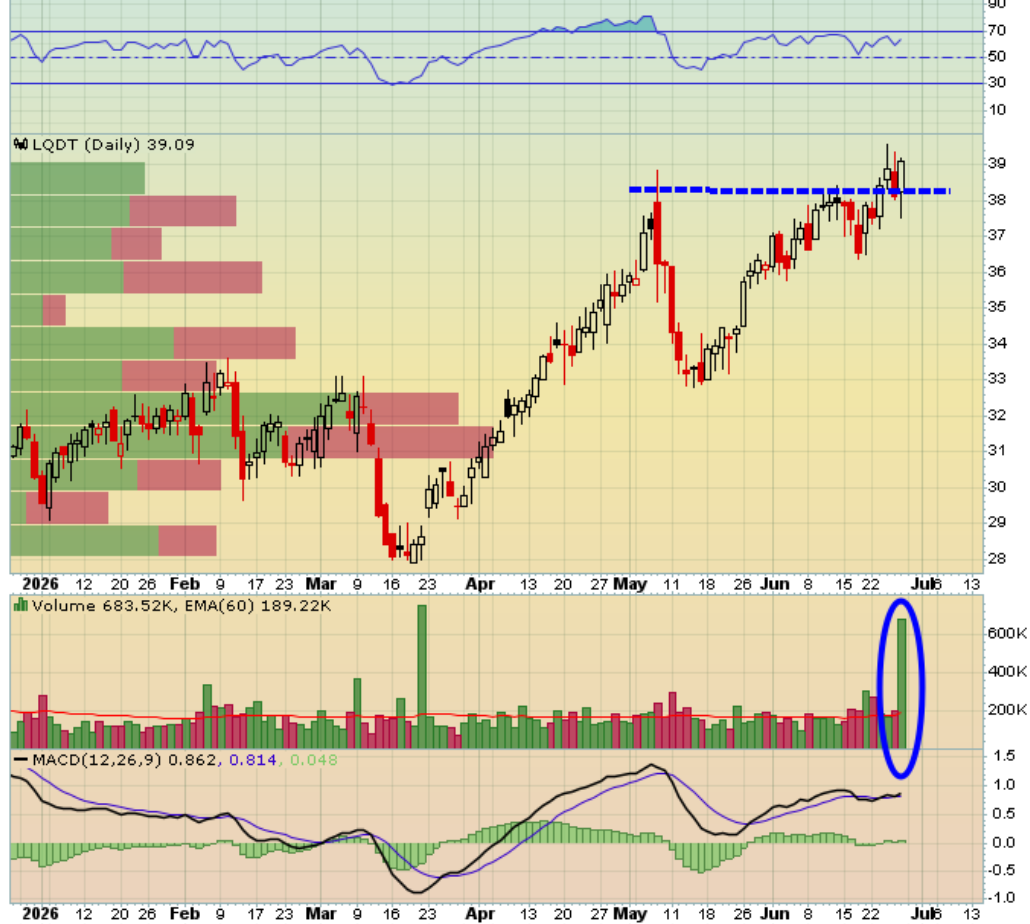
▲ **+2.49%**

Chg: **+0.95**

Last: **39.09**

Volume: **683,517**

▲ RSI(14) 63.85



MercadoLibre (MELI)

AI Summary: [Video](#) | [Slide Deck](#)

MercadoLibre operates the largest e-commerce and fintech ecosystem in Latin America, with presence in 17 countries: Argentina, Brazil, Mexico, Chile, Colombia, Peru, Uruguay, Bolivia, Costa Rica, Dominican Republic, Ecuador, Guatemala, Honduras, Nicaragua, Panama, Paraguay, and El Salvador, (Venezuela was deconsolidated since December 2017). Their business consists of six core pillars:

- **Mercado Libre:** An online B2C marketplace connecting millions of buyers and third-party sellers, ranging from small local merchants to major global brands. The company also sells goods directly to consumers on a first-party basis in selected categories.



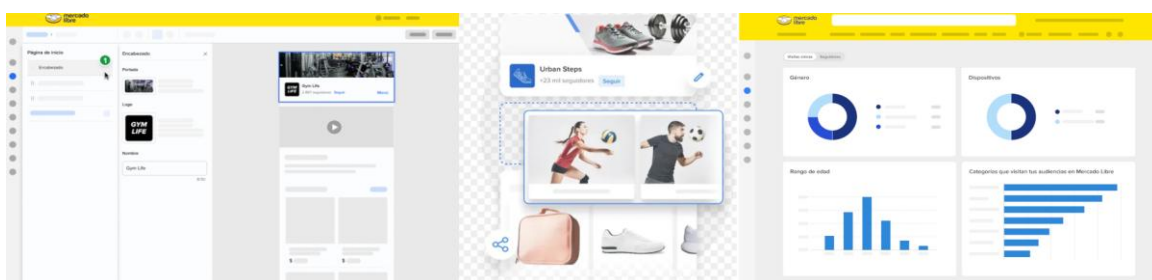
- **Mercado Pago:** A robust digital wallet and payment gateway. It was initially designed to facilitate transactions on the Mercado Libre Marketplace, allowing users to securely and conveniently send/receive payments. But it has since been revamped into a complete standalone app, offering payments, digital banking services, and investments for underbanked populations across Latin America.



- **Mercado Envios:** A proprietary logistics shipping and fulfillment network that handles warehousing, 3rd-party carriers, and fast deliveries across Latin America. The company's fulfillment centers currently account for more than half of all shipments on the Mercado Libre platform, as sellers that use Mercado Envios are eligible to access shipping subsidies that enable free or discounted deliveries for customers.
- **Mercado Credito:** This segment provides consumer and merchant loans in Argentina, Brazil, Mexico, and Chile. The company offers credit lines to merchants that either sell

on Mercado Libre or use its online, POS, and QR payments processing services. Meanwhile, consumers can access credit lines and personal loans once the platform scores and approves them via proprietary models.

- **Mercado Ads:** A digital advertising platform that allows brands to purchase ad space to promote their products/services within the Mercado Libre ecosystem. They can also purchase first-party customer and engagement analytics to further refine their target audiences.
- **Mi Pagina:** An e-commerce builder that lets aspiring sellers easily set up, manage, and promote their own independent digital storefronts, which come fully integrated with Mercado Libre's logistics, advertising, and payments services.



Making Sense of MELI's Poor Performance

Let's not mince words. Shares of **MELI** are highly depressed after having performed horribly YTD, and are entering the back half of 2026 near 52-week lows. Put simply, the market has heavily penalized the stock due to multiple consecutive quarters of margin deterioration, with net profit margins compressing from 9.2% to 6.9% in the space of just a year, alongside a steep deceleration in YoY earnings growth to 4.5% (well below the 55.2% five-year average).

The important thing to keep in mind is that the primary driver of this bottom-line pressure has been the hyper-acceleration of Mercado Pago's credit book. Specifically, under IFRS 9 accounting regulations, Mercado Libre has to recognize their full expected credit losses on Day 1 of asset origination. Thus, when the company issued millions of credit cards over the past 12 months while also extending personal loan maturities from 5 to 8 months in Brazil, it was forced to immediately book massive provisioning outlays (long before they will be able to capture their corresponding interest income). This is what led to the company's compressed Net Interest Margin After Losses (most recently sinking to 17.8% in Q1) which is spooking investors.

Meanwhile, Mercado Libre's e-commerce segment has also been executing an aggressive and deliberate growth-at-all-costs strategy to solidify its regional market leadership against encroaching cross-continental competitors (chiefly **Shopee**, **Temu**, and **AliExpress**). In order

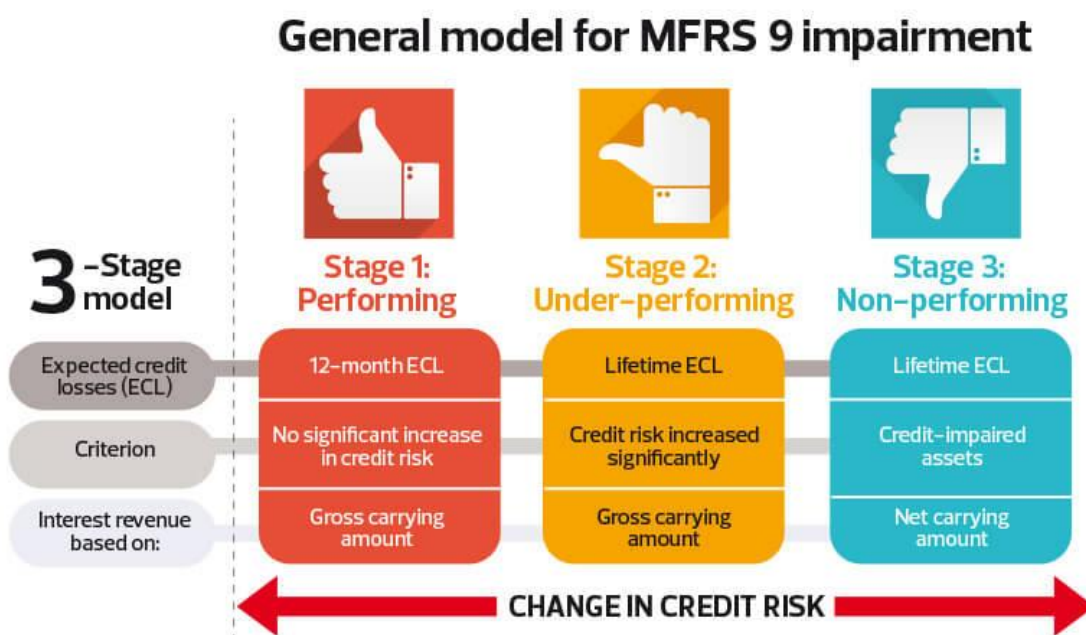
to fend off those emerging rivals, the company has broadly lowered its free shipping thresholds while offering more discounts and incentives to its customers. This move helped to drive strong volume acceleration (Brazil notably saw 56% YoY growth in units sold during Q1), but at the expense of operating margins.

All of this has led to widespread fears of perceived structural and managerial execution risk. Hence, the stock's poor performance. But having said that, we believe there is now a strong case to be made for a sharp recovery over the coming months, due to the following catalysts/tailwinds detailed below.

Bull Case #1: Mercado Pago's Provisions Will Begin to Decrease in Q3

As mentioned above, it was the deployment of millions of new credit cards in the past year that triggered massive and immediate provisioning outlays, which artificially depressed Mercado Pago's NIMAL. The good thing is that under IFRS 9 accounting rules, the provisioning requirement for those cohorts can be lowered significantly once 2H26 gets underway as the company's asset quality has remained robust (90+ day NPLs improved to 8.0% while provision coverage is unnecessarily sitting at a conservative 149%).

To elaborate, during the first five months following a mass card issuance, the new borrowing cohort is categorized as "unseasoned." This period tends to exhibit high volatility as poor-quality borrowers quickly default and enter early-stage delinquency (15-90 days past due). This is the part that requires continuous, high provisioning.



By 2H26, the vast majority of Mercado Pago's massive cohort from 2H25 and 1H26 will have crossed the 6+ month threshold and enter the "seasoned" phase, whereby the Jaguar 3Q 2026 Outlook and Premium Ideas - June 29th, 2026

delinquent borrowers will have already been identified, isolated, and charged off. This means going forward, the remaining active cardholders will represent a much more predictable consumer base with a significantly lower probability of default.

Once a cohort seasons, the requirement for incremental provisioning drops sharply as the company no longer experiences Stage 1 spikes. Instead, Mercado Pago will only be required to make provisions for minor migrations between risk stages. This effectively guarantees an expansion of margins beginning in Q3 as interest income begins to outpace trailing provisions.

Bull Case #2: Multiple Banking Institution License in Mexico is Pending

In addition to the provisioning tailwind, it's also worth noting that Mercado Pago is in the final stages of processing its full Multiple Banking Institution (MBI) license with Mexico's National Banking and Securities Commission (CNBV). Presently, the company is operating in the country under a highly restrictive Electronic Payment Funds Institution (IFPE) framework which does not allow the utilization of customer deposits to fund its lending activities. This is because under IFPE, customer balances are still categorized as electronic money, not commercial deposits. Transitioning to a full banking license will open up that avenue, as well as give the green light for the company to open up high-margin checking accounts, payroll accounts, and certificates of deposit.

The implication here for Mercado Pago is that because customer cash cannot be touched for the time being, the company's fast-growing Mexican loan book (which exceeded \$1.5B in Q1) must be funded through balance sheet securitizations and interbank credit lines. This puts Mercado Pago's cost of funds at the mercy of unfavorable institutional market rates, which severely compresses interest spreads and puts them at a disadvantage vs the traditional banks that fund their lending via cheap retail deposits.

Historically, the timeline from formal license application to a full approval by the Official Gazette of the Federation spans 18 to 24 months. Mercado Pago officially submitted its comprehensive MBI documentation to the CNBV in September 2024. This means we can expect 2H26 to be the most likely timeframe for an official license grant.

MercadoLibre's fintech arm applies for banking license in Mexico

By Reuters

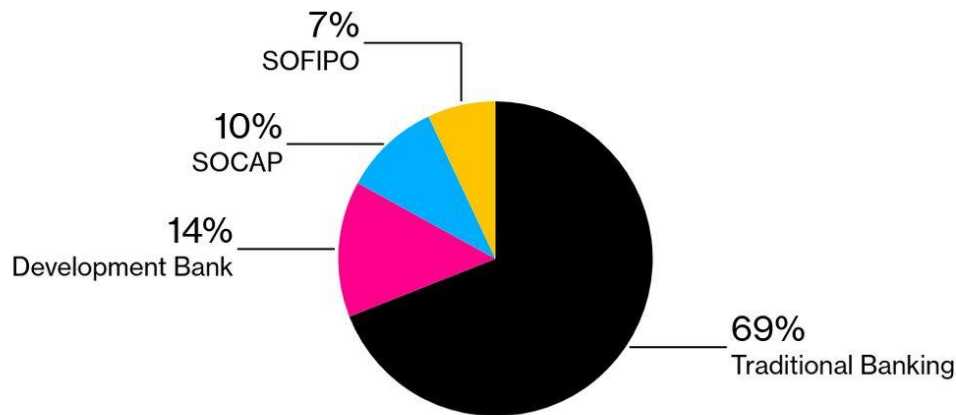
September 26, 2024



Why is this such an important catalyst? Because banking penetration in Mexico remains severely depressed (especially in rural areas), with only ~50% of the total population holding a bank account and less than 20% having access to a credit card or personal loans. Thus, the formalization of the bank license will allow Mercado Pago to immediately begin disrupting traditional incumbents, which still control 69% of deposit accounts, by onboarding its existing retail base.

Mexico's Deposit Accounts Still Concentrated in Big Banks

Big banks hold the bulk of accounts in Mexico



Source: NTT Data, 2025 Payment Methods Study

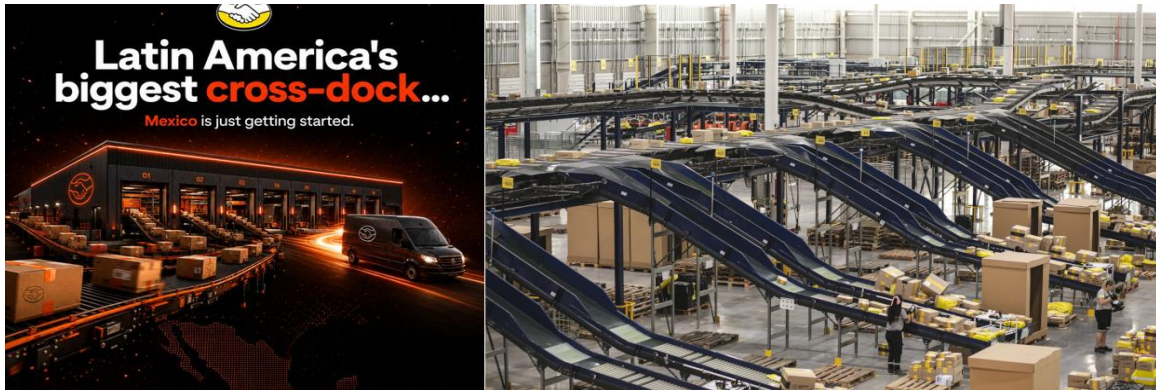
Note: Fintech license known as SOFIPO; Cooperative financial institution license known as SOCAP

Bloomberg

Bull Case #3: XEM3 Logistics Facility Upgrade

The last hidden tailwind to be aware of is the full automation upgrade of Mercado Libre's XEM3 logistics facility in Cuautitlan Izcalli, Mexico. As the largest logistics infrastructure center in Latin America (spanning 80,000 square meters), the facility's processing metrics are expected by management to scale from 550,000 packages per day to nearly 1,000,000 packages per day by late 2026.

Unlike traditional Latin American fulfillment centers that run on static long-term inventory storage and multi-day dwell times, XEM3 was designed to strictly operate as a pure-play Cross-Docking Hub with zero-dwell sortation. This means that when packages arrive, instead of being placed into static storage racks, the goods are immediately transferred onto automated conveyor matrices, automatically sorted by geographic destination zip codes, and directed straight to outbound last-mile delivery vans within a matter of hours rather than days.



According to management, the upcoming automation upgrade in late 2026 will incorporate advanced optical character recognition, dynamic weight-and-volume scanning, and high-speed linear shoe sorters, which is **expected to almost double units processed per labor-hour**. This will not only help to insulate the company from regional wage inflation in Mexico, but it will also enable them to offer same-day and next-day delivery across more than 28 Mexican cities, thus creating an insurmountable logistics moat for Mercado Libre against its competitors in the country. At present, other major e-commerce players like **Temu**, **Shein**, **AliExpress**, and **Amazon** still lack the deep, decentralized domestic cross-docking footprint that Mercado Libre has established for itself.



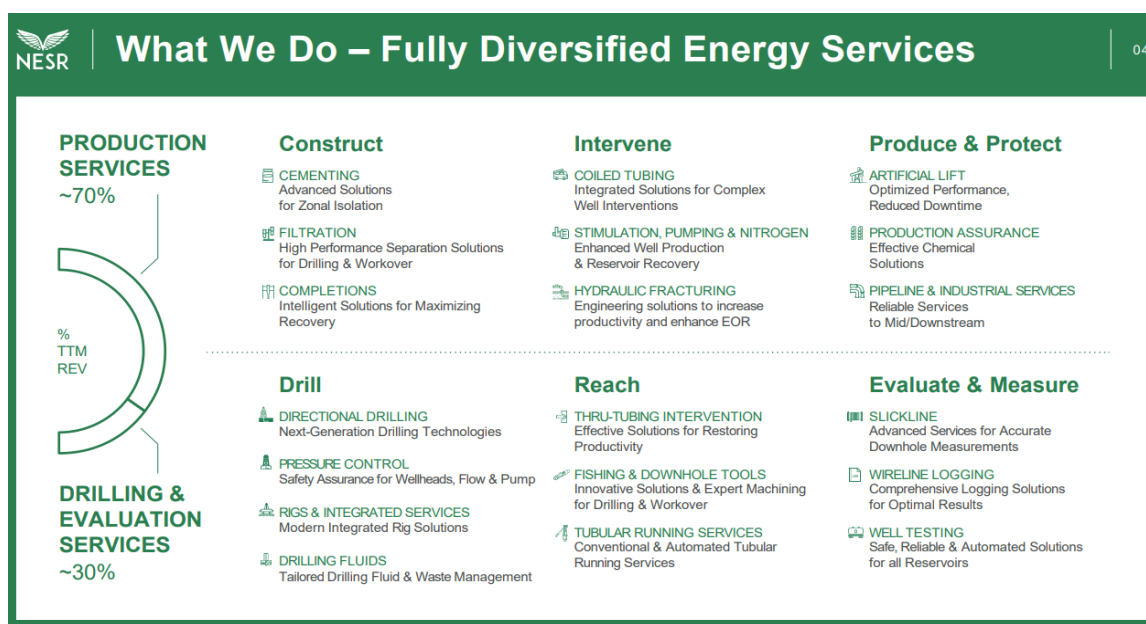
National Energy Services (NESR)

AI Summary: [Video](#) | [Slide Deck](#)

National Energy Services Reunited is a pure-play oilfield services provider focused exclusively on the Middle East and North Africa. The company's business breaks down into two service lines: **Production Services** and **Drilling and Evaluation Services**.

- Production Services include hydraulic fracturing, cementing, coiled tubing, stimulation, and fluid systems.
- Drilling and Evaluation Services encompass directional drilling, wireline logging, testing, and fluids management.

NESR's customers are the national oil companies (NOCs) and international oil companies (IOCs) operating across MENA – **Saudi Aramco, ADNOC, Kuwait Oil Company**, and their counterparts in Iraq, Algeria, Egypt, Libya, and Oman.



What distinguishes NESR from the global oilfield services giants – **Halliburton (HAL)** and **Baker Hughes (BKR)** – is its intentional geographic concentration. Where the majors are diversified across every basin on earth, NESR has planted its flag in a single region and built deep operational infrastructure, local workforce relationships, and regulatory familiarity that pure-play focus enables. In a part of the world where NOCs increasingly reward operators who maintained continuity through conflict and demonstrated local commitment, it's a structural advantage that is now showing up in contract wins.

Country-Specific Upstream Activity Drivers

Saudi Arabia

CALIBRATING FOR LOWER OIL,
RECORD GAS GROWTH VISION 2030

Calibrating
oil activity
to maintain
12mmbpd MSC

Multi-year
growth guide
unchanged until
"middle of the
decade" (call on
Mar '25)

Unconventional
gas mega-invest-
ment to 2Bscfd of
sales gas, grow
overall KSA gas
60% by 2030



Oman

STABLE, AT
ALL-TIME HIGH
ACTIVITY

Stable activity supported
by diverse NOC & IOC
clientele

New energy (hydrogen)
and decarbonization
commitments



Kuwait

GROWTH, BEYOND ALL-TIME
HIGH ACTIVITY

Strong leadership
with ambitious
plans to drill more
than 6,000 wells
through 2030

Recent offshore
discovery and
solid plans for
capacity increase

Rig tender
ramping in 2023
& 2024 to meet oil
growth aims



UAE

GROWTH, BEYOND ALL-TIME
HIGH ACTIVITY

Double-digit
spending CAGR
in 2023 & 2024

Sustained growth
in 2025 beyond
all-time high levels

Oil capacity
expansion to
5mmbpd by 2027
(\$150B in '22-'27)



Iraq & North Africa

MODEST GROWTH

Modest growth
despite certain
political & fiscal
crosswinds

Robust gas
export ambition
from North Africa
to Europe

Activity
materializing in
certain locations
such as Libya



The company went public via a SPAC merger in 2017 and has since grown significantly through a combination of organic expansion and acquisitions. Today, NESR generates roughly \$1.34B in annualized revenue – a number management believes can reach \$2B in run-rate *"fairly soon,"* with a \$3B target within two to three years. Those aren't aspirational projections. They're anchored to a contracted backlog. And that distinction is exactly where the mispricing lives.

The Jafurah Contract: A Multiyear Growth Engine Already in Motion

The headline catalyst for NESR is its winning position on Aramco's Jafurah unconventional gas development – one of the largest unconventional projects anywhere in the world. Announced in October 2025, the contract covers completion services in Jafurah and other unconventional plays within the Kingdom over a five-year term. The scope involves a significant mobilization of completion services in support of Saudi Arabia's Vision 2030 energy diversification agenda.



Saudi Aramco Awards Multi-Billion Dollar Unconventional Contract to NESR

Jafurah is not a marginal contract. It is a decade-defining infrastructure buildout for Saudi Arabia, and NESR secured a front-row seat. **The ramp is already happening faster than expected.** In Q1 2026, NESR reported revenue of \$404.6M – an all-time high – up 33.5% Y/Y, with sequential growth driven primarily by Saudi Arabia and the continued Jafurah

ramp-up. Management guided for continued robust year-over-year growth in Q2 2026, explicitly citing Jafurah plus recent contract awards as the twin drivers.

Over the course of the Jafurah contract lifecycle, drilling and completion activity may trend higher than current levels as the project scales toward Saudi production targets. This means the revenue contribution from a single contract could continue building for years. For a company doing \$1.34B in annual revenue, a contract of this scale and duration is a structural tailwind, not a one-quarter event.

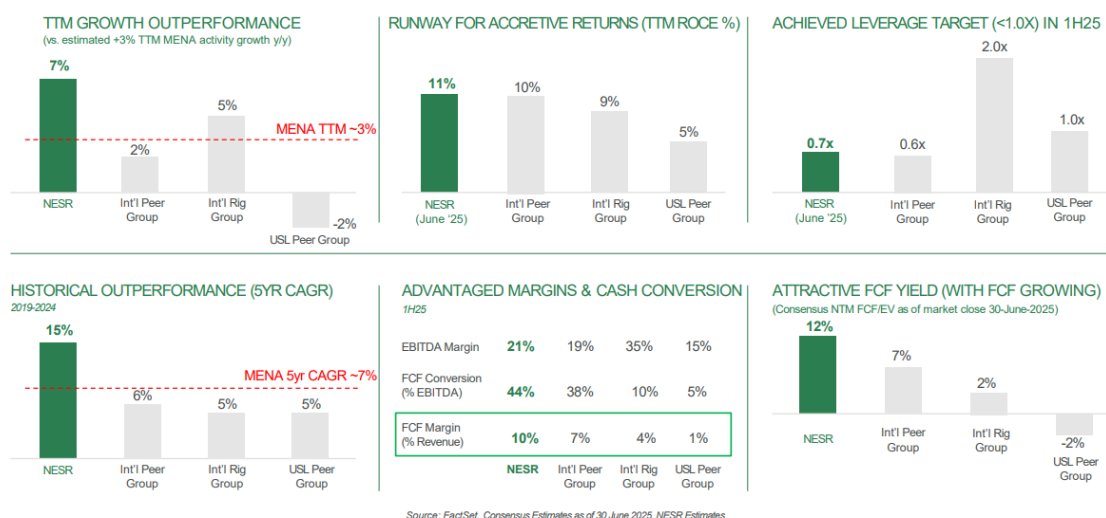
Mena Is Not a Risk – It's The Setup

The conventional knock on the company, as many might expect, is geopolitical risk. The Middle East is volatile, the argument goes, and a company with 100% MENA exposure is one regional flare-up away from a revenue disruption. That narrative has kept the multiple compressed. It is also increasingly detached from what is actually happening on the ground.

Let's run through the region. Saudi Arabia is pushing ahead with three of the largest and lowest-cost upstream projects globally while advancing two additional mega-projects to enhance crude diversification. Exploration continues at pace with six new fields and two new Arabian oil reservoirs adding multi-decade visibility. ADNOC has pledged **\$55B in new projects over the next two years** – a commitment that has since been formalized. UAE's exit from OPEC effective May 1 raises the probability of an above-plan capacity push beyond the 5 MMbpd 2027 target. And North Africa is emerging as a separate, incremental growth leg: Algeria and Libya sit on colossal conventional and unconventional resources, with untapped excess pipeline capacity already in place to export to Europe – a trade route that has never been more strategically valuable.

NESR has invested heavily in deepening its North Africa footprint precisely because management sees what the data shows: regional NOCs are increasing spend, international IOCs are re-entering, and the reshuffling of global supply chains is supercharging the growth outlook. The company secured \$300M in cementing contract wins in Kuwait and North Africa in early 2026, extending its backlog into conflict-insulated geographies and demonstrating that the Jafurah story is not the only story here.

NESR's primarily onshore operations and local workforce composition also make it structurally more resilient than its international peers during regional disruptions. When conflict creates operational uncertainty for a company like Halliburton – companies managing global logistics networks and expatriate labor – **NESR's local-first model means it keeps running while competitors pull back.** That operational continuity is exactly what NOCs reward with contract renewals and new awards. Market share gains in a disruption environment are a non-consensus setup the Street has not priced in.



What The Models Are Missing

Here is where the mispricing gets concrete. Management laid out a path to a \$2B revenue run-rate “fairly soon” – from \$1.34B in 2025 – and a \$3B target within two to three years. That implies roughly 40% revenue growth in 2026 and another 20% in 2027. The Street is modeling this trajectory with deep skepticism, currently valuing NESR at sub-5x 2027 EBITDA.

A sub-5x EBITDA multiple on a company growing 40% Y/Y is a significant disconnect under any circumstances. But the disconnect becomes almost inexplicable when you factor in the nature of that growth: **It is underpinned by multi-year contracts averaging approximately five years in duration, with a range of three to nine years.** This is not a speculative growth story dependent on macro commodity price assumptions or a management team forecasting to a whiteboard. The backlog exists. The contracts are signed. The revenue trajectory is contractually visible in a way that most small-cap growth stories simply are not.

The analyst consensus model is also underweighting the back-half of 2026. Independent analysis models a dramatic acceleration in Q3 2026 to \$456M in revenue (+54% Y/Y) and Q4 2026 to \$517M (+30% Y/Y). That hockey-stick profile assumes not just Jafurah ramp continuation but incremental hydraulic fracturing contract wins not yet announced. Net debt-to-EBITDA is modeled to flip to net cash by 2027 – well ahead of typical small-cap OFS deleveraging timelines – which would unlock capital return and M&A optionality at exactly the moment the growth story is cresting.

The UAE angle deserves specific attention. NESR derives approximately 8-9% of total revenue from the UAE – meaningfully above Baker Hughes, Halliburton, and Weatherford, which sit at roughly 4-6%. As oil-directed ADNOC capex plateaus in 2026-27 (most major oil projects already reached FID by year-end 2025), gas-directed capex is growing strongly

through 2026-28. NESR's disproportionate UAE concentration creates asymmetric upside if ADNOC accelerates or raises its \$150B five-year capex plan – an outcome the consensus model still treats as static since November 2025.

A Capital Return Inflection Nobody Has Priced In

Lastly, NESR carries a 0% dividend yield today. It has never returned capital to shareholders. That is about to change, and the market hasn't noticed.

Management signaled ahead of the Q1 2026 earnings call that it would be introducing NESR's first-ever shareholder return framework – with both dividends and buybacks explicitly under consideration. Simultaneously, the company authorized a fresh \$50 million buyback program. For a stock trading at a distressed multiple on contracted, growing revenue, a buyback authorization provides a meaningful floor on any geopolitically-driven dislocation. **An inaugural capital return announcement from a zero-yield name, layered on top of fresh contract wins in conflict-insulated geographies, is the kind of setup that forces institutional re-rating.** Growth-plus-capital-return is a combination that small-cap OFS names rarely offer, and it tends to attract a different, stickier investor base.



Solventum (SOLV)

AI Summary: [Video](#) | [Slide Deck](#)

Solventum is a global healthcare conglomerate that was officially spun off from 3M (MMM) on April 1st, 2024. With \$8.33B in total revenues in FY2025, the company operates across four primary markets covering MedTech, dental, materials, and data science:

- **Medical Surgical (58% of annual sales):** This segment specializes in advanced tissue repair and wound treatments. Flagship offerings include Negative Pressure Wound Therapy systems, advanced wound dressings, specialized skin care formulations, and synthetic tissue matrices. More recently, the company has also entered the intravenous site management, patient monitoring, and digitalized sterilization assurance markets.

Sample case studies:

Diabetic heel wound
Before After

Venous leg ulcer
Before After

"I have had this wound for a long time, and in the first two weeks of wearing the Snap Therapy System, my wound is healing. The system is small and silent, so I'm not interrupted when I sleep." – Mr. B.

Economic value with 3M™ V.A.C.® Therapy in hospital setting
The economics of healing matters

Take charge of your wound care journey

solventum
Is a wound stopping you from doing the things you love?

Say hello to the Solventum™ Snap™ Therapy System

- **Dental Solutions (16%):** Supplies orthodontic brackets, aligners, and restorative cements. Key product lines include the Filtek composite restorative and the Clarity brand of advanced orthodontic brackets, aligners, and digital treatment planning.

Fast, easy Composite warming
Solventum™ Filtek™ Composite Warmer

3M Clinpro™ CLEAR FLUORIDE TREATMENT
2.1% Sodium Fluoride

CLARITY™

- **Health Information Systems (16%):** Provides software, coding automation, and speech recognition tools for healthcare systems. The company's core offering 360 Encompass system, which automates coding and vastly speeds up the clinical documentation

process through agentic AI. Adoption is primarily driven by end-to-end Revenue Cycle Management (RCM) integrations, as well as growing demand for autonomous medical coding and AI-driven radiology speech reporting applications.

One platform. Endless possibilities.

The Solventum™ 360 Encompass™ System platform is a collection of applications that work together to help hospitals streamline revenue cycle processes, receive accurate reimbursement, promote compliance and make data-informed decisions.

Connect with us today



3,000+ U.S. hospitals

utilize Solventum Computer Assisted Coding (CAC)



30 day commitment

Updates to technology applied within 30 days of regulatory changes



520+ million

clinical documents processed every month*



400+ clinical & content experts

driving customer success and guiding product optimization

- Purification & Filtration (10%):** Offers advanced filtration and separation technologies for biopharma and industrial production. In September 2025, Solventum finalized the divestiture of this segment to **Thermo Fisher Scientific (TMO)** for \$4.1B. More on this shortly.

Solventum is Primarily a “Special Situation” Play

At first glance, Solventum’s low valuation multiple of just ~11x forward P/E and ~9x forward EBITDA doesn’t make sense. The company inherited a high-moat portfolio of over 7,000 global patents from 3M, and possesses immense operational stickiness with a customer retention rate exceeding 90% across its aforementioned Health Information Systems and MedSurg segments. Moreover, the stock also screens exceptionally on profitability, with an ROE of over 37% and a highly efficient FCF conversion rate of over 80%. Management is also targeting long-term operating margins of 23% to 25%. So, why is the stock so cheap?

Put simply, Solventum is a “Frankenstein monster” of sorts, operating as a collection of unrelated healthcare divisions that have been abruptly stitched together by 3M into a standalone entity. The company is widely criticized by analysts and investors for having too many unrelated products and services that do not synergize, with all of their business segments not sharing any common technology, customer bases, sales forces, or distribution channels.

Moreover, the company is still facing multiple operational drags associated with legacy 3M expenses. When Solventum was spun out from 3M, the former retained many operational dependencies on the latter’s enterprise systems and logistics networks, which are still to this day executed under Transition Service Agreements (or TSAs for short). Essentially, 3M

is continuing to provide Solventum with critical corporate functions (including HR, legal compliance, accounting & tax admin, ERP, and CRM infrastructure), and the agreements egregiously include elevated contractual profit mark-ups paid directly to 3M.

As you can imagine, all of this convolution and inefficiency make it extremely difficult to value the stock. I.e., Do we want to value the company as a high-growth/high-moat MedTech and software play? Or do we want to value it based on the other slow-growth segments and administrative aspects that are holding it back? Judging by the low multiples it is trading on, the market is clearly choosing to err on the side of caution by assigning a value that is significantly less than the sum of its parts. A deep "conglomerate discount", so to speak.

	SOLV	Sector Median	% Diff. to Sector
P/E Non-GAAP (TTM)	12.09	16.75	-27.84%
P/E Non-GAAP (FWD)	11.51	17.58	-34.52%
P/E GAAP (TTM)	9.24	23.77	-61.13%
PEG GAAP (TTM)	0.03	0.69	-95.10%
PEG Non-GAAP (FWD)	1.17	1.67	-30.07%
EV / Sales (TTM)	2.15	3.54	-39.23%
EV / Sales (FWD)	2.17	3.36	-35.35%
EV / EBITDA (FWD)	9.32	11.78	-20.94%
EV / EBIT (FWD)	10.30	14.37	-28.30%
Price / Sales (TTM)	1.59	3.59	-55.64%
Price / Sales (FWD)	1.59	3.55	-55.16%

Naturally, this is the sort of story that would attract activist investors, and this is where Nelson Peltz's [Trian Fund Management](#) comes into the picture. Trian first began amassing a stake in Solventum in late 2024 and has built a ~5% ownership of outstanding common stock to date. In early 2025, they launched an aggressive campaign to pressure management into unlocking shareholder value via a series of divestitures, arguing that Solventum was *"built-to-be-broken"*.

At JaguarAnalytics, we aren't normally the sort to get excited over activist stories, as the time horizons for such bull cases tend to be long and drawn out. But what intrigues us in the case of Solventum is the sheer speed at which things are moving. Thus far, in the space of less than 18 months, Trian has been successful in convincing the company to divest its Purification & Filtration business to [Thermo Fisher](#) for ~\$4.1B (announced in September 2025), and has also gotten management to exit 40% of its TSAs with 3M. They are also now on track to exit ~90% of TSAs by the end of fiscal year 2026. To us, this is clear evidence that management is willing to execute Trian's plans to unlock shareholder value.

Most recently, on April 30th, Trian escalated its campaign by issuing an open letter and slide deck to Solventum's Board of Directors. Specifically, Trian has called for two new measures:

- **The immediate separation of the Health Information Systems segment.** Trian argues that independent healthcare IT and SaaS platforms historically command double-digit EV/EBITDA multiples, while Solventum's software and AI clinical-coding assets are trading at an aggregate forward P/E multiple of below 9x. Thus, selling the HIS segment would instantly command a substantially higher standalone valuation multiple on the open market than it gets while buried inside Solventum. The cash can then be used to fund aggressive share buybacks and reduce debt.

- **The evaluation and potential sale or separation of Dental Solutions.** The Dental Solutions segment is the one that is most disconnected from the core MedSurg business, as it operates on not just completely different sales/customer channels, but also wholly separate regulatory networks and manufacturing tracks. Trian argues that maintaining it requires excessive administrative overhead and is a waste of capital.

The overarching idea is that by isolating the core MedSurg division from the specialized dental and software distribution networks, Solventum's will immediately become a highly focused, pure-play medical technology provider. Hence, this will allow SOLV shares to claw back the ~\$13B in shareholder value that Trian believes was lost in the spinoff process.



Trian Fund Management, L.P.
280 Park Avenue, New York, NY 10017
T: 212 451-3000

To: Solventum Board of Directors
April 30, 2026

Over the last eighteen months, we have called on Solventum (the "Company") to act with greater urgency to restore performance to historical levels and simplify its conglomerate structure. Tangible progress has been slow, and shareholders have lost billions of dollars in value as a result.

In short, we believe Solventum's spin-out from 3M has been managed in a way which has resulted in executive compensation being maximized, not shareholder value. The events that have transpired include:

- In its spin-out from 3M, management took one of the biggest performance resets of any U.S. spin-off in the last decade, despite Solventum's strong track record of performance inside 3M and opportunities to perform even better once separated (see attached slide deck pages 3-5)
- 3M analysts estimated Solventum would spin-out at a \$25 billion market cap. Instead, Solventum spun-out at a \$12 billion market cap. \$13 billion in shareholder value was lost in that spin process (pp. 6-7)
- We believe incentives played a meaningful role, as the CEO received more than \$40 million of equity awards at the post-spin share price – awards that are likely worth far more than where they priced (p. 8)
- In our view, management has prioritized managing expectations and done little to restore performance. We estimate the Company has generated \$2 billion less cash flow than it would have under 3M
- We believe the Company has not been transparent about ways it can create value. Waiting to execute on portfolio and capital allocation opportunities has likely cost shareholders billions in additional value (p. 9)
- The CEO has already been paid more than \$80 million in just over 2 years, while the business has gone backwards – all in the context of a company with just a \$12 billion market capitalization that has not delivered a return for shareholders

Several weeks later, on May 15th, Wedbush would initiate Solventum with an Outperform rating (and \$94 price target), stating they believe the shares represent a compelling near-term multi-catalyst special situation:

"We believe the probability of near-term portfolio action is high and increasing. The shift from collaborative language to direct confrontation in the letter, combined with Trian's flagging of the Board's failure to add independent shareholder representation, suggests the probability of a proxy contest or negotiated board seats has increased materially, creating a ticking clock for management to announce additional portfolio actions. Prior to the spin-off, sell-side analysts had estimated a standalone valuation of approximately \$33B, implying a share price roughly double

where the stock currently trades ... We believe Solventum offers an attractive entry point at current levels. Our probability-weighted \$94 price target implies +26% upside from current levels, with our bull case scenario of \$119 per share supported by a segment-level DCF sum-of-the-parts analysis."

The note would proceed to single out the two aforementioned anticipated divestitures of the Health Information Systems and Dental Solutions segments as the most impactful catalysts to be looking out for:

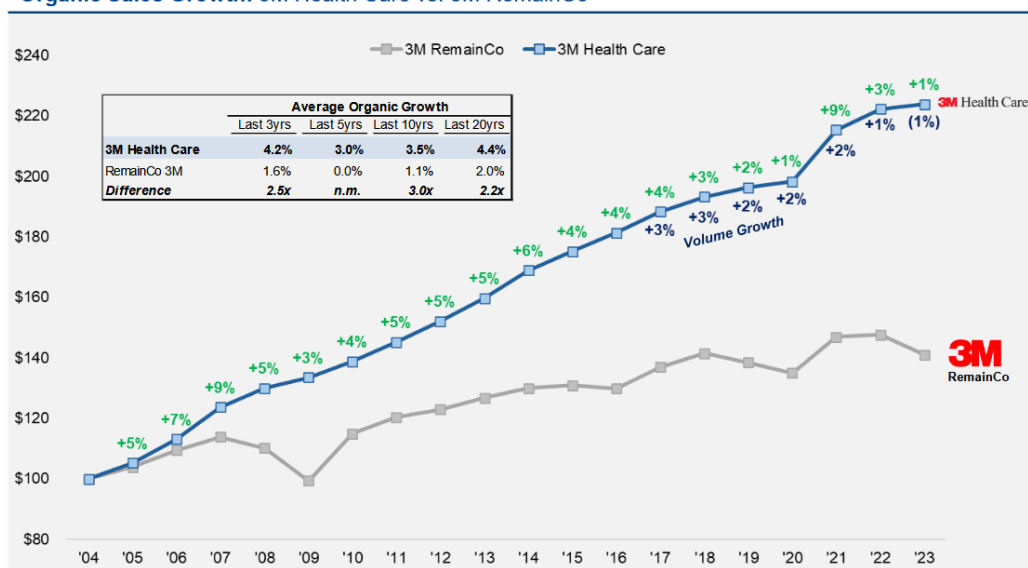
"We believe the most impactful catalyst for value creation at Solventum is the divestiture of the HIS segment (~\$1.4B of FY'25 revenue, ~36.5% EBIT margins) and DS segment (~\$1.3B of FY'25 revenue, ~25.6% EBIT margins) ... The completed \$4B sale of P&F to Thermo Fisher in Sept'25 demonstrates management's willingness to execute, and Trian's Apr'26 open letter explicitly called for the immediate separation of HIS as the next step. Once HIS and DS are separated, the RemainCo would be a focused ~\$5B MS pure-play with leading market positions that we believe deserves to trade at peer multiples (MS peers trade at ~14.0x EV/EBITDA vs Solventum's current ~9.6x) rather than the blended conglomerate discount currently applied."

Crucially, both Trian and Wedbush also observed that Solventum trades at a discount to each of its subsidiary peer groups and even trades below 3M despite historically being 3M's best-performing division. See chart below.

Solventum Had Long Been 3M's Best Performing Business

3M Health Care grew organically every single year for more than 20 years, even through recessions. The business consistently grew at more than 2x the rate of the rest of 3M, and it delivered that growth with healthy volumes and at substantially higher profit margins than the rest of 3M.

Organic Sales Growth: 3M Health Care vs. 3M RemainCo



VAC Peel and Place Launch and Acera Surgical Integration

The special situation bull case aside, it's worth noting that Solventum is also currently targeting the launch of close to 20 new products over the next 24 months while integrating a recent major acquisition. 3Q26 in particular will see two catalysts:

- **The commercial scale-up of the company's VAC Peel and Place dressing architecture within Advanced Wound Care.** According to management, the new kit will integrate five previously separate clinical components into a unified, multi-layer architecture designed for wounds up to 6 cm in depth, using proprietary Granufoam technology. Clinical studies have shown **the new addition will drive a 33% increase in wound volume contraction, demonstrating an 87.8% wound fill at day 7 versus 65.7% for standard configurations.**

Solventum™ V.A.C.® Peel and Place Dressing Kit



Up to 7-days of wear
2-min application^{1, 2}

Easier and faster application of Solventum™ V.A.C.® Therapy is here. Solventum™ V.A.C.® Peel and Place Dressing is the first V.A.C.® Therapy dressing with up to 7-days of wear time. An all-in-one integrated design streamlines application, reduces the time and training required for dressing changes and maximizes consistency of care throughout the patient journey.

All-in-one design makes application easy.

1. Solventum™ V.A.C.® Granufoam Dressing

Conforms to the wound bed without the need for foam fillers, providing uniform negative pressure delivery and effective fluid removal.

2. Perforated Non-adherent Layer

Allows the dressing to extend onto intact peri-wound skin without the need to pre-drape. It is designed to help mitigate tissue ingrowth, allowing up to 7-day wear time.

3. Solventum™ Dermatac™ Drape

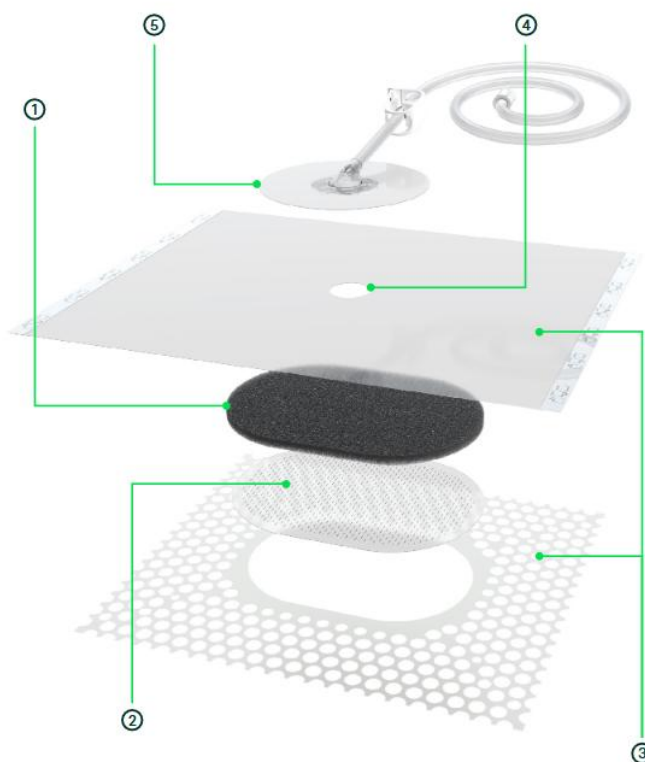
Skin-friendly silicone-acrylic adhesive technology is repositionable upon initial application, provides a tight seal across anatomical locations and may help minimize discomfort on removal.

4. Solventum™ SensaT.R.A.C.™ Pad Hole

Pre-cut for easy and consistent application of the SensaT.R.A.C.™ Pad.

5. Solventum™ SensaT.R.A.C.™ Pad

Helps monitor and maintain pressure at the wound site.



- **The full-scale commercial integration of Acera Surgical (acquired in December 2025) into MedSurg.** Acera boasts a proprietary electrospinning technology platform that can fabricate fully synthetic, fully resorbable polymeric scaffolds for soft tissue repair and wound management. Their electrospinning matrix is the only one in the world capable

of generating fibers ranging from sub-micron to micron diameters, rendering them ~10 times smaller than a human cell. Q3 will mark the critical period where Solventum begins full commercial integration of this acquisition into their advanced wound care sales force and existing acute care hospital relationships. This will bring an immediate boost to revenue and mix-positive gross margin profile, with Acera having reported ~\$90M in sales for FY25 and a double-digit annual growth rate. According to Stifel: *"Synthetic tissue matrices command premium pricing tiers, justified by structural reductions in the total cost of clinical care. Onboarding Acera will shift the MedSurg segment product mix toward high-margin."*

Acera Surgical has engineered a new class of resorbable electrospun fiber matrices designed to restore damaged tissue.

Acera's patented technology enables the engineering of matrices which closely resemble the architecture of native human tissue. The electrospun fiber products developed with this technology have been shown to deliver patient healing without the limitations of traditional biologics.

The matrices are engineered from electrospun fibers ranging in fiber diameter from sub-micron in scale to a few microns to create a fully resorbable healing scaffold. Native cells rapidly infiltrate the scaffold, and then proliferate and differentiate to form new granulation tissue.

Gradual and defined resorption of a sub-cellular fiber matrix is designed to occur at a similar rate to cellular ingrowth and new tissue formation of the surrounding native tissue. As the scaffold resorbs, the porosity of the matrix gradually increases to support continued tissue integration and neovascularization, while eliciting a minimal inflammatory response.

Engineered electrospun fiber matrices are easy to handle and apply in the clinical setting. The soft and flexible material easily conforms to the wound site, yet is strong enough to manipulate and suture as needed.



SLB (SLB)

AI Summary: [Video](#) | [Slide Deck](#)

Formerly known as Schlumberger, SLB is currently the world's largest multinational oilfield services and offshore drilling contractor by revenue. Operating in over 100 countries (81% of their annual sales is generated outside North America), the company provides integrated services and digital solutions for oil & gas production. This includes precision drilling, well construction, reservoir characterization, production systems, and IoT-enabled monitoring. And with recent advancements in AI technology, SLB is also rapidly deploying cloud-based autonomous drilling solutions.



While most energy services competitors continue focus heavily on traditional hardware, SLB's main unique selling point is its absolute dominance in subsurface technology, software orchestration, and digital AI solutions that enable E&P operators to maximize extraction efficiency at the lowest possible cost per barrel. The company possesses the industry's most advanced petrophysical measurement and seismic imaging tools. It also owns DELFI, the industry-leading agentic AI SaaS platform.



Geopolitics is Triggering an International Offshore Renaissance

The primary reason we are making SLB a Top Pick is because we believe the company uniquely benefitting from a combination of three simultaneous geopolitical realignments (Russia vs Europe, deteriorating trade relations with US, and the Middle East conflict), all of which are forcing European and Asian countries to secure alternative sources of energy supply en masse. This is driving a surge in deepwater project starts in the Brazil, Guyana, West Africa, the Gulf of Mexico, and the North Sea. As such, SLB has been quietly securing a series of major contract wins and agreements in recent weeks:

- On April 7th, SLB announced a strategic collaboration agreement with PETRONAS Suriname to provide full project lifecycle services for multiple deepwater discoveries in Suriname's emerging frontier basin. PETRONAS currently holds an 80% working interest in the project, following the complete exit of ExxonMobil in 2024 via the divestment of its 50% equity stake (to PETRONAS). Based on Rystad Energy resource estimates exceeding 500M barrels of oil equivalent and PETRONAS' provisional development layouts, the total addressable subsea backlog opportunity for SLB is estimated at ~\$2.20B.
- Shortly after, on April 9th, SLB announced a substantial Engineering, Procurement, and Construction contract by Beacon Offshore Energy Exploration and Production LLC. Specifically, Beacon requested the design, fabrication, and delivery of a specialized high-pressure, high-temperature multiphase subsea boosting system for the ongoing multi-stage expansion of the Shenandoah deepwater field in the US Gulf of Mexico, spanning Walker Ridge Blocks 51, 52, and 53.
- Separately, the China National Offshore Oil Corporation (CNOOC) awarded SLB a 20-well integrated engineering, procurement, and construction (EPC) contract, for the deepwater Kaiping 18-1 field in the South China Sea, utilizing standardized dual electric submersible pump systems. According to the official press release, total certified proved in-place volumes have reached 102M tons of oil equivalent (~750M barrels), marking China's first ever deep-water, deep-play discovery to exceed the hundred-million-ton threshold.
- Over in Southeast Asia, PTTEP Sabah Oil Limited awarded an EPC contract to SLB for the Kikeh 3B project offshore Malaysia, marking the third major subsea production system award from PTTEP within a 12-month window. The order requires the company to manufacture and deliver several high-specification subsea trees, a dual-bore subsea production manifold, and a high-precision subsea distribution unit.
- SLB's joint venture with Aker Solutions (in which SLB holds a 70% controlling operational stake) also reported a total order intake of NOK 28.8B in Q1, growing its secured order backlog to NOK 80.2B, taking its book-to-bill ratio to 2.2x. This was

driven by recent deepwater contract awards in Brazil, West Africa, and the North Sea, as well as a multi-year contract extension covering engineering, procurement, and asset optimization across a wide array of Equinor-operated platforms.

- **Lastly, on June 11th, SLB signed a long-term framework agreement with Petróleos de Venezuela to support the modernization of Venezuela's oil and gas sector.** The MoU establishes a basis for cooperation across exploration, field development, production, digital enablement, and workforce training and development. It also provides a framework to evaluate broader cooperation to improve performance in existing mature fields, to unlock greater value from the country's heavy and extra-heavy crude reserves.

The months ahead are also shaping up to be promising, with **CEO Olivier Le Peuch** having mentioned in the Q1 earnings call a robust medium-term Final Investment Decision pipeline:

"As you can read in third-party reports, the FID pipeline in 2026 is strengthening and directionally heading over \$100 billion total investment approval visibly ahead of the last 2 years and with another step-up expected in 2027 with deepwater resource getting a large portion of this investment. Regionally, this presents opportunity in Africa, Asia and Latin America. Africa represent one of the most compelling long-term opportunities with a significant base of underdeveloped oil and gas resources.

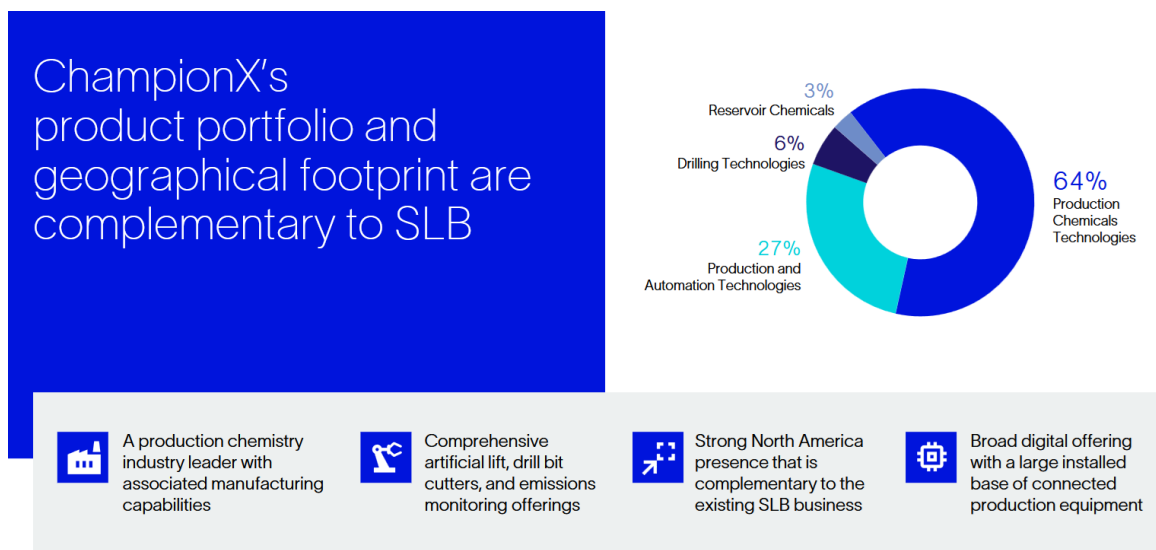
We expect portfolio allocation to shift more favorably towards this region over time. Asia will continue to prioritize access to gas, both onshore and offshore as it works to diversify supply through development of national resources. And across Latin America, from Guyana to Brazil to Suriname, we see continued strength in deepwater development, complemented by short-cycle growth in unconventional in Argentina. Separately, Venezuela continues to represent an exciting growth opportunity where we can expand on our existing operation in country."

ChampionX Synergy

Geopolitics aside, SLB's integration of its ChampionX acquisition (which closed in July 2025) has begun to create cross-selling opportunities. Historically, ChampionX derived the vast majority of its revenues (75% to 80% in a typical year) from US onshore assets, providing specialized chemistry solutions and artificial lift systems for unconventional shale plays. But while they have always been one of the dominant players in the Permian Basin and Eagle Ford, they were never able to gain a foothold internationally.

Thus, we believe SLB's international infrastructure across 120+ countries is going to provide an immediate distribution boost to the existing ChampionX business. In the aforementioned earnings call, management stated that the company has started actively

bundling ChampionX's offerings in Middle East and Latin American nations where SLB holds master service agreements with National Oil Companies. This resulted in a 23% YoY increase in Production Systems segment sales during Q1. These revenue synergies are expected to ramp further in 2H26 following what was a lengthy process of supply chain optimization and combining portfolios.



Meanwhile, on profitability, management is now targeting \$400M in annual pre-tax income synergies following a series of cost optimizations and elimination of overlapping overheads, with 70% to 80% (\$280M to \$320M) to be actively captured by the end of 2026. The nearly-complete integration of ChampionX's raw chemical procurement with SLB's global logistics networks will also be expected to drive a 150-bps reduction in direct operating costs within the Production Systems division by Q3.

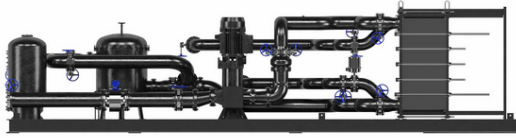
Digital ARR and Data Center Contracts

Lastly, we believe SLB's Digital & Integration business is being grossly underappreciated by the Street (Stifel is the only firm who has consistently published analysis on this small but fast-growing segment). The company is quietly a pioneer in energy-tailored AI solutions, deploying autonomous agents that handle everything from interpreting well logs to predicting drilling issues before they happen and simulating real-time mechanical and piping stress. Their proprietary Domain Foundation Models have been pre-trained on nearly a century's worth of subsurface physics, chemical equations, and heavy asset data.

The company is also becoming increasingly involved in modular data center and high-density AI factory projects across North America, repurposing their liquid-flow engineering and power grid expertise to supply liquid cooling distribution units (CDUs) and energy supply solutions for AI servers. These come packaged together with commissioning,

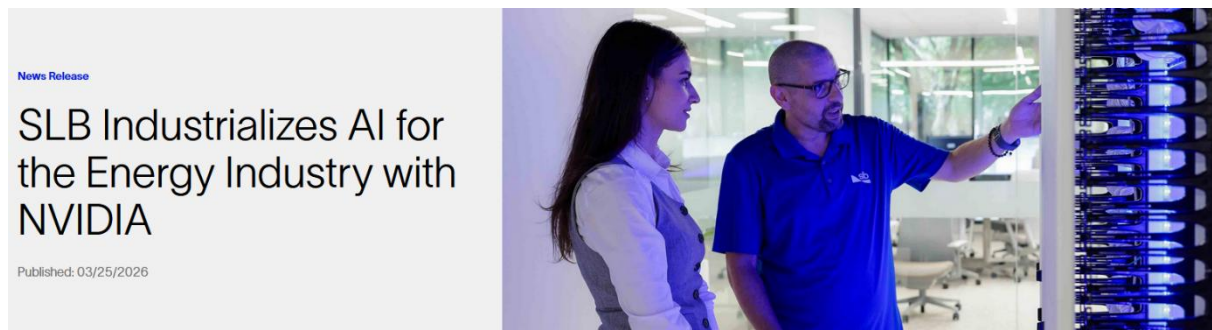
maintenance, management, asset monitoring, and contractor services, all of which generate recurring revenue.

Our products



- **Modular cooling solutions**
Central utility buildings, cooling distribution units (CDUs), and related cooling infrastructure
- **Power distribution equipment**
Low- and medium-voltage solutions for the most demanding AI and machine learning (ML) workloads
- **E-houses**
UL®- and NEC®-compliant buildings and skids, fully tested offsite to minimize site scope
- **Generator enclosures**
Bespoke enclosures, designed and manufactured for all major generator brands

Q1 was an inflection quarter of sorts for the segment, with annualized recurring revenues exceeding \$1.00B for the first time, marking 15% YoY growth. Their data center solutions in particular saw a 45% YoY increase, which coincided with the company converting a 3.1M square-foot technology center in Louisiana into a dedicated manufacturing hub for modular AI. Furthermore, on March 25th, SLB expanded its ongoing technology partnership with [Nvidia \(NVDA\)](#) to commercialize an *"AI Factory for Energy."* This aim is to embed generative AI models and agentic AI workflows directly into SLB's digital platform, with SLB acting as the exclusive modular design partner for NVIDIA DSX AI factories within the energy sector. All of this is helping to expand the segment's margins and reduce their previous reliance on one-time software license sales.



SLB SLB Ltd. NYSE

Energy / Oil Equipment & Services

Open: **46.71** Ask: Mkt Cap: **70.3B** P/E: **20.73**
High: **47.41** Bid: Fwd Dividend: **1.18** EPS: **2.27**
Low: **46.56** Last: Fwd Yield: **2.51%** Last Earnings: **2026-04-24**
Prev Close: **47.42** Optionable: **yes** SCTR (LrgCap): **42.2** Next Earnings: **2026-07-24**

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Friday 26-Jun-2026

▼ **-0.89%**

Chg: **-0.42**

Last: **47.00**

Volume: **16,359,847**

▲ RSI(14) 29.55



Tempus AI (TEM)

AI Summary: [Video](#) | [Slide Deck](#)

Tempus AI is a healthcare technology company that is aiming to advance precision medicine through the use of artificial intelligence. The company has built one of the world's largest libraries of clinical and molecular oncology data (with over 45M patient records and a total size of over 500 petabytes), which is housed in their own proprietary AI-driven operating system called the **Tempus Platform**. This technology primarily serves life sciences and biotech companies, helping to make their lab tests more accurate, tailored, and personal by connecting laboratory results to a patient's own clinical data. **The platform is organically self-reinforcing and self-expanding, as every clinical sequence generated expands the dataset.** Per the company's SEC filings: *"Our novel insight was realizing that all laboratory test results, genomic or otherwise, could be contextualized for a specific patient based upon that patient's unique characteristics, and technology could therefore guide therapy selection and treatment decisions to allow each patient to progress on their own unique path. The drugs recommended, the clinical trials explored, the care pathways evaluated, and the adverse events considered—all have the potential to be refined and enhanced when test results are connected to a patient's personal profile, enabling the right patient to be routed to the right therapy at the right time."*



We See an Impending Financial Inflection in 2H26

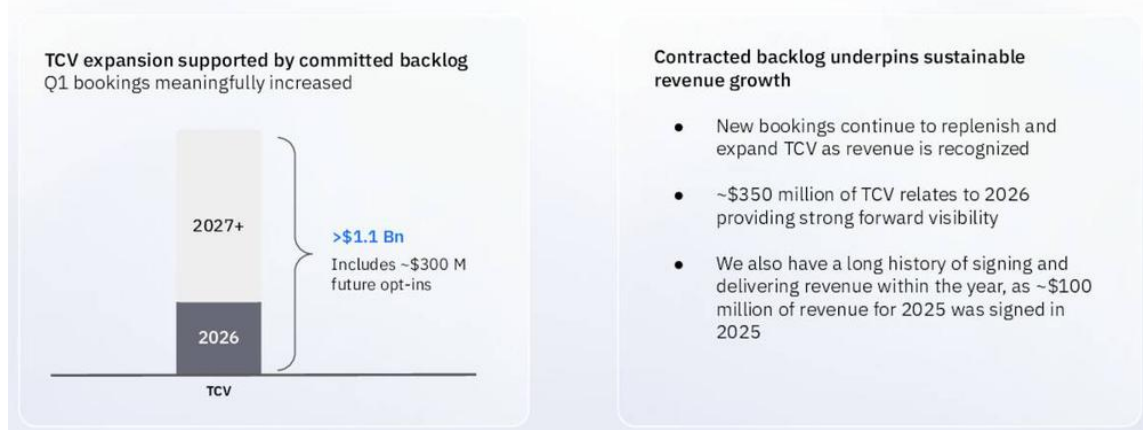
As you'll likely have noticed, **TEM** shares are trading at highly depressed levels at present, down by more than 50% from their late 2025 peak of \$104 and valued at just ~5x forward sales. This is mainly due to fears about the company's widening net losses and potential demand disruption from LLMs. The latter was exacerbated by the company guiding for Jaguar 3Q 2026 Outlook and Premium Ideas – June 29th, 2026

25% revenue growth in 2026 to ~\$1.60B after exiting 4Q25 with 83% YoY growth, which has led to bearish assumptions about open-source AI platforms rendering the business obsolete. We believe that line of thinking is misconstrued for two reasons.

Firstly, keep in mind that back in February 2025, Tempus AI acquired clinical genetic testing data **Ambry Genetics** in a \$600M deal (see [HERE](#)). This deal immediately added \$315M to Tempus' revenue run rate, which in turn pushed management's combined 2025 revenue guidance from its standalone baseline up to \$1.24B vs \$900M initially. Naturally, this inclusion has dramatically distorted the sales growth trajectory going forward, as the company's Diagnostics segment (which accounts for three-quarters of total revenue) saw a 111.5% expansion from the consolidation of Ambry's hereditary cancer risk and rare disease panels. As Tempus enters mid-2026, the company will begin to lap those strong gains. And hence, the 25% growth guidance. In reality, demand is still robust with Tempus' total remaining contract value continuing to reach record levels, most recently breaching the \$1B mark:

Total Remaining Contract Value (TCV) at record levels

Q1 2026 bookings expand TCV, highlighting strong demand and increased forward revenue visibility



Secondly, Tempus AI is clearly turning the corner on profitability. During Q1 earnings, management guided for their first full year of positive EBITDA with ~\$65M being projected for FY26. CFO James Rogers would subsequently reveal at the company's Investor Day on May 29th that the company is beginning to reap the benefits from structural operating leverage, high-margin revenue mix shifts, and expanding average selling prices. To elaborate:

- Data and Applications, which commands a ~75% gross margin, is Tempus AI's most profitable segment. Despite already growing revenues by 40.5% YoY to \$87.0M during Q1, Rogers noted that data monetization will be heavily back-half weighted in 2026

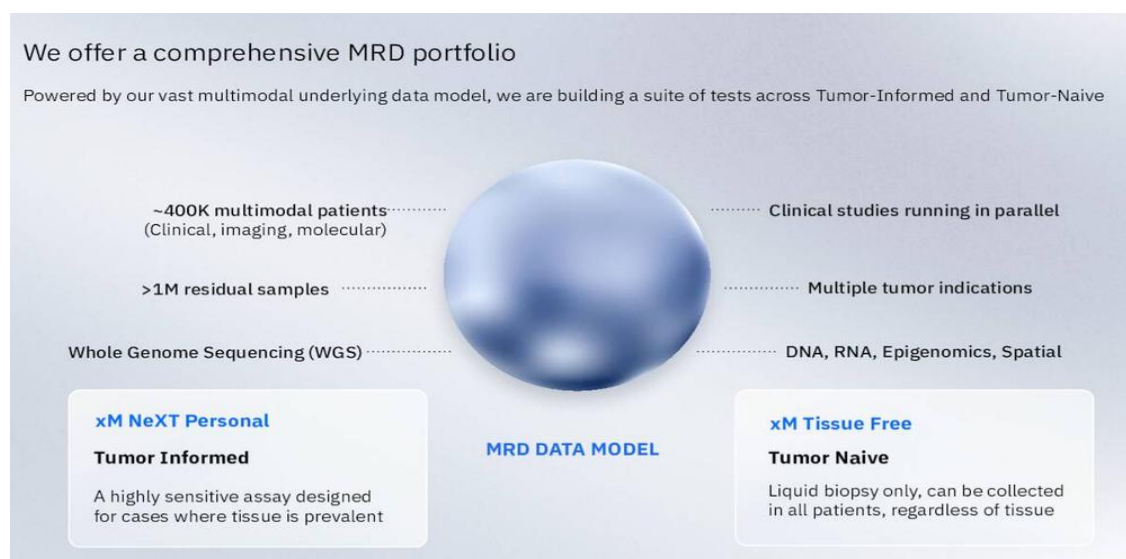
due to the timing of pharmaceutical master service agreement milestone clearances. This implies Q3 and Q4 will see even higher EBITDA contribution from the segment.

- Profitability within the Diagnostics segment has historically been suppressed by lower ASPs on Laboratory Developed Tests (LDTs). But moving forward, Rogers said Tempus AI is “systematically shifting clinical volume over” to its FDA-approved companion diagnostic xT-CDx. This is significant because Medicare is currently reimbursing the FDA-approved xT-CDx platform at \$4,500 per assay, compared to \$2,923 for the LDT variant. This essentially implies ~\$1,577 of additional near-100% margin revenue per Medicare test. As a result, management is projecting a ~\$500 lift to overall oncology testing ASPs on a 12-to-24-month horizon.
- Lastly, Rogers also pointed to the maturation of fixed-asset infrastructure as another source of EBITDA upside. The main contributor to Tempus AI’s deeply negative margins in previous years was elevated investment in physical assets, data licensing, and the deployment of NVIDIA H200/GB200 infrastructure for its multi-modal foundation models. Those expenses are projected to plateau by 2H26.

Given all of the above reasoning, we believe there is a high likelihood that the “AI disruption” and “lack of profitability” bear theses will be negated in the coming months.

Commercial Scaling of the Minimal Residual Disease Portfolio

Minimal residual disease (MRD) testing is one of Tempus AI’s most underappreciated growth drivers. The company’s Tempus xM architecture offers a highly unique plasma-only approach that requires no baseline tumor tissue and combines genomic variants with DNA methylation workflows, using their state-of-the-art machine learning algorithms. This allows their assays to target early-stage (Stage 2 & 3) tumors.



To date, the Street consensus has frequently attributed Tempus AI's low historical MRD portfolio testing volumes as a reflection of weak clinical demand or low commercial uptake. But in reality, management has stated multiple times in the past that they intentionally throttled the commercial rollout of their MRD platform to avoid cash-burn exposure from *"uncompensated laboratory tests"* prior to establishing formal reimbursement (as the company would have to absorb all of the sequencing processing costs while recognizing zero corresponding revenue).

But this is about to change, as over the course of early 2026, Tempus AI has seen consecutive Molecular Diagnostic Services Program (MoDX) Local Coverage Determinations which will open the door to automatic reimbursements in Triple-Negative (TNBC) or HER2+ breast cancer, colorectal cancer, and immunotherapy monitoring. This is essentially the green light that the company had been waiting for to begin seamlessly cross-selling its MRD tests across its established network of over 6,500 oncologists.

This is the main reason why in Q1, Tempus saw a 500% YoY increase in its liquid biopsy MRD assay volumes, executing ~6,500 tests. And looking ahead, the company plans to fully roll out its core Comprehensive Genomic Profiling (CGP) sales force, targeting volumes ~20 times higher than the current run rate by 2027. According to Investor Day management commentary, the company will focus its initial engagements on community oncology practices, which handle approximately 80% of cancer care in the US. This will be an important tailwind to watch in Q3.



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